

The European Union (EU) VAT Directive is implemented in Lithuania through the Lithuanian Law on VAT (in Lithuanian "Pildėtinės vertės mokesčio įstatymas"). VAT is called in Lithuania "Pildėtinės vertės mokeskis" or "PVM".

1. Taxable Persons

1.1 Registration threshold & SME scheme for domestic taxable persons

A Lithuanian taxable person has the obligation to register as a VAT payer and charge VAT to his customers starting from the month in which revenue from supplies of goods and provision of services exceeds EUR 45,000 (for the last 12 months). Where a person controls (alone or with other related persons) several legal entities, all these entities must register for VAT purposes, if their joint turnover exceeds the EUR 45,000 threshold (even though the turnover of the individual entities does not exceed the said threshold). The rule regarding VAT registration of related persons does not apply in case the related persons can prove that none of their management bodies and/or individual members of their management bodies are the same person and their actual economic activities are not of the same nature, and they do not act for each other's benefit or interests.

Lithuania is planning to implement the SME scheme as from 1 May 2025 (although the draft law has not yet been approved by the Parliament). According to the proposed new rules, taxable persons whose annual turnover does not exceed EUR 45,000 in the current and in the previous calendar year will be eligible for the scheme. No sectoral threshold will be introduced in Lithuania.

From 1 May 2025, Lithuania is also planning to introduce a VAT registration requirement for Lithuanian taxable persons acquiring or supplying services that fall under Article 44 of VAT Directive 2006/112/EC from or to other EU taxable persons, with no registration threshold applied. Currently, Lithuanian taxable persons are required to account for VAT under the reverse charge mechanism but have no obligation to register for VAT. It should also be noted that the new VAT registration requirement is planned to apply only in the case of the supply and purchase of services to/from taxable persons established in other EU countries. The rules regarding purchases from outside the EU will remain unchanged—there will be no requirement to register for VAT, but there will still be a requirement to apply the reverse charge mechanism.

Furthermore, a Lithuanian taxable person or a non-taxable legal entity acquiring goods from another EU Member State must also register for VAT, if none of exemptions indicated in Section 3.5 below applies. The registration application to register with the VAT Payers' Register must be filed with the local tax authorities before the revenue exceeds the threshold.

VAT registration application can be submitted only online via Lithuania's State Tax Inspectorate's online service system "Mano VMT".

The decision on registration (or non-registration) is issued within 3 business days from the day on which the competent tax authorities receive the application. The deadline can be extended in case the tax authority needs additional information. If at the request of the tax authorities additional information is to be provided, the decision on registration is issued within 3 business days after the receipt of the additional information.

1.2 Registration threshold & SME Scheme for foreign taxable persons

Currently, there is no registration threshold for foreign taxable persons. A foreign taxable person has the obligation to register for VAT before performing the first transaction subject to Lithuanian VAT. The charge mechanism applies, or if the supply is VAT exempt or taxed with the zero rate VAT (except export and intra-Community supply of goods).

Lithuania is planning to implement the SME scheme as from 1 May 2025 (although the draft law has not yet been approved by the Parliament). According to the proposed new rules, taxable persons established in other EU Member States whose annual turnover does not exceed the Lithuanian domestic threshold of EUR 45,000 in the current and the previous calendar year, and who do not exceed the EU threshold of EUR 100,000 across all Member States in the current and the previous calendar year, will be eligible for the scheme. No sectoral thresholds will be introduced in Lithuania.

Taxable persons wishing to apply the SME scheme in Lithuania should register for it in their Member State of establishment and must hold a valid VAT identification number with the suffix "EX" at the end ("EX number").

Taxable persons established outside the EU will be required to register for VAT from the beginning of their activities in Lithuania, as no VAT registration threshold will apply for them.

Furthermore, a foreign taxable person or a non-taxable legal entity acquiring goods from another EU Member State must also register for VAT, provided that none of exemptions indicated in Section 3.5 below applies.

VAT registration application can be submitted only by electronic means (online) via Lithuania's State Tax Inspectorate's online service system "Mano VMI" (My STI). It should be noted that before submitting VAT registration application, foreign taxable persons must first register in the Register of Taxpayers by submitting Form FR0227.

EU companies may choose in which county they wish to be registered. However, if the company has a branch, a fixed establishment, owns real estate in Lithuania or pays social security contributions as an employer, the company must register in the county where the branch, fixed establishment, real estate or the employee is based.

The following documents must be submitted to the STI when registering for VAT purposes:

- Application to register with the Taxpayers' Register (form FR0227);
- Application to register with the VAT Payers' Register (online application); and
- Commercial register extract issued by the competent authority of the country of establishment, approved with the Apostille and translated into Lithuanian language.

The registration application form (FR0227) can be downloaded at the following link: <https://tinyurl.com/43j3dect7>

The decision on registration (or non-registration) with the Taxpayers' Register is issued within 5 business days from the day on which the competent tax authorities receive the application, meanwhile the registration with the VAT Payers' Register takes 3 business days from the day on which the information is provided to the STI. If at the request of the tax authorities additional information needs to be provided, the decision on VAT registration is issued within 3 business days from the receipt of the additional information.

1.3 VAT Grouping

There is no VAT grouping in Lithuania.

1.4 Fiscal Representative

A foreign taxable person established outside of the EU must register with the VAT Payers' Register through its Lithuanian fixed establishment, if any, or through a fiscal representative. Foreign taxable persons established within the EU are entitled to register with the VAT Payers' Register directly (i.e. without appointment of the fiscal representative). The VAT Law provides for a relief from appointing a fiscal representative for foreign taxable persons established outside of the EU as well, provided that in the foreign country, rules on mutual assistance analogous to the rules provided in EU Council Directive 2010/24/ES and Council Regulation 904/2010 apply. However, currently only companies based in Norway are treated by the STI as complying with the aforesaid and, thus, subject to the relief from appointing a fiscal representative. Meanwhile, all other foreign persons established outside of the EU can only register with the VAT Payer's Register through a fixed establishment or a fiscal representative.

2. Taxable transactions

A person can appoint only one fiscal agent to fulfil VAT obligations.

The fiscal representative is jointly and severally liable for the payment of all taxes due, as well as default interest and fines, together with the represented foreign taxable person.

- the representative has not committed any other financial offences;
 - the representative has not breached customs laws in the past 12 months;
 - the representative has had no tax arrears in the past 12 months;
 - the representative provides services in the following fields: law, accounting, audit or tax consulting;
 - requirement does not apply to audit firms and attorneys at law;
 - the representative has been registered with the VAT Payers' Register for no less than 3 years. This met;
- A taxable person may be a fiscal representative of a foreign taxable person if the following conditions are

2.1 Transfer of business

Lithuania applies the option to exempt the transfer of business as a going concern from VAT (Articles 19 and 29 of the EU VAT Directive).

If the taxable person transfers a business (or part thereof) to another taxable person as a going concern, this transaction is not considered as a supply of goods or services and, thus, falls outside the scope of VAT, provided that the following conditions are met:

- the activities are transferred as a complex of assets, liabilities, rights and obligations related to the said activities;
- the activities are transferred from one taxable person to another; and
- the activities are continued by the transferee after the transfer.

Although the transfer of a business that meets these legal conditions is not taxed with VAT, there are VAT consequences. The taxable person that takes over the business of the transferring entity takes over all rights and obligations, claims, liabilities and responsibilities for VAT such as the remainder of the adjustment periods for (im)movable tangible property.

2.2 Supplies free of charge

Private use of goods by a VAT registered person shall be considered to have occurred when the VAT payer has deducted VAT on the purchase or import of goods (or goods and services used in the production of goods) and:

- the goods are transferred free of charge, granting the recipient or a third party ownership rights similar to that of an owner; or
- the goods are consumed in any other manner that would not qualify for VAT deduction under the law.

The transfer or use of goods by a VAT-registered person is not considered private use if the goods are used as samples for examination, testing, or analysis, provided they are part of the person's regular business activities. Additionally, goods given as low-value gifts for purposes like advertising, entertainment, charity, or support are also excluded from being treated as private use.

There are different value limits depending on the situation. For example:

- Business gifts for representation purposes: up to EUR 75 (excluding VAT); or
- Gifts given to customers who have purchased other goods: up to EUR 15 (excluding VAT).

Other specific situations may have different limits.

When the supplied goods have to be assembled or installed by the supplier or another person acting on behalf of the supplier, the place of supply is in Lithuania if the assembly or installation takes place in Lithuania. There is no formal definition of the notion "supply with installation or assembly" in the VAT Law. Reverse charge is applied to supplies of goods with installation and assembly where the supplier is a foreign taxable person (not established in the territory of Lithuania) and the customer is VAT registered in Lithuania.

3.2 Installation supplies

As a result, the foreign taxable person is not obliged to register with the VAT Payers' Register in Lithuania.

- the supplier shall register the transport of the goods in an appropriate register established by the corresponding Member State, and shall specify the identity and VAT code of the taxable person acquiring the goods in the report on supplies of goods and / or provision of services to other Member States (e.g., VIES report);
 - the taxable person acquiring the goods in Lithuania is a duly registered VAT payer in Lithuania;
 - the supplier is not established in Lithuania (i.e. its registered office (in case of a non-natural person) or the permanent place of residence (in case of a natural person) is not in Lithuania or it has no fixed establishment here; and
 - the supplier shall register the transport of the goods in an appropriate register established by the corresponding Member State, and shall specify the identity and VAT code of the taxable person acquiring the goods in the report on supplies of goods and / or provision of services to other Member States (e.g., VIES report);
 - the supplier (or a third party at its order) transports the goods to Lithuania, and the contract foresees the transfer of the right to dispose of the goods as owner to the customer within 12 months as of delivery of the goods into Lithuania;
 - the taxable person acquiring the goods in Lithuania is a duly registered VAT payer in Lithuania;
 - the supplier is not established in Lithuania (i.e. its registered office (in case of a non-natural person) or the permanent place of residence (in case of a natural person) is not in Lithuania or it has no fixed establishment here; and
 - the supplier shall register the transport of the goods in an appropriate register established by the corresponding Member State, and shall specify the identity and VAT code of the taxable person acquiring the goods in the report on supplies of goods and / or provision of services to other Member States (e.g., VIES report);
- The transfer of ownership of the goods from the call-off stock located in Lithuania is treated as an intra-Community supply by the foreign supplier and intra-Community acquisition by the local customer rather than transfer of own goods followed by local supply by the foreign taxable person (the supplier), provided that the following conditions are met:
- the supplier (or a third party at its order) transports the goods to Lithuania, and the contract foresees the transfer of the right to dispose of the goods as owner to the customer within 12 months as of delivery of the goods into Lithuania;
 - the taxable person acquiring the goods in Lithuania is a duly registered VAT payer in Lithuania;
 - the supplier is not established in Lithuania (i.e. its registered office (in case of a non-natural person) or the permanent place of residence (in case of a natural person) is not in Lithuania or it has no fixed establishment here; and
 - the supplier shall register the transport of the goods in an appropriate register established by the corresponding Member State, and shall specify the identity and VAT code of the taxable person acquiring the goods in the report on supplies of goods and / or provision of services to other Member States (e.g., VIES report);

Quick Fixes.

was adopted in October 2019 and introduces all the relevant changes to the VAT Directive with respect to when ownership of the goods is transferred to the customer). The amendment to the Law on VAT of Lithuania of own goods followed by a local supply, but an intra-Community supply to his customer (at the moment they, can be described as call-off stock. If certain conditions are met, the supplier does not perform a transfer stock of goods from which their customer can 'call-off' (use and pay for) the goods as and when they require The transfer of goods by a VAT registered taxable person from one EU Member State to Lithuania to create a

3.1 Consignment and call-off stock

3. Place of supply

Postponed accounting on importation is available in Lithuania and may be used by Lithuanian VAT taxable persons (including persons not engaged in economic activities but VAT registered due to acquisitions of goods and/or services from outside of Lithuania). When applying the postponed accounting on importation, VAT does not have to be paid to the customs authorities at the time of importation but must be reported in the monthly VAT return before the 25th day of the month following the month in which the goods were imported.

2.3.2 Postponed accounting on importation

The importation of goods may be exempt from VAT if the importation will be followed by intra-Community supply of the same unaltered goods within 7 days from the moment of importation. The exemption only applies to importers that are VAT registered in Lithuania at the time of lodging the import declaration and the importer can provide evidence that the goods will be intra-Community supplied (e.g. copies of contracts with the customer, transport company etc.).

2.3.1 Importation followed by intra-Community supply

2.3 Importation

3.3 Distance sales

From 2021, the rules and thresholds for distance sales, including both intra-Community distance sales and distance sales of imported goods, have been standardized across the EU with no exceptions for Member States. The distance selling threshold for sales to customers in other EU Member States without a VAT registration number (e.g., private individuals) is now EUR 10,000 for intra-Community distance sales. Turnover generated from the supply of 'electronically supplied services,' telecommunications services, and broadcasting services are included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the special scheme for distance sales of imported goods.

3.4 Simplified triangulation

Under the Lithuania Law on VAT, the simplified triangulation rules have mostly been implemented in line with the EU VAT Directive. Under the VAT Law (among other conditions) the simplified triangulation rules may be applied if the following conditions are met:

- all three parties participating in the triangulation (the so-called ABC transaction) are registered for VAT purposes in different EU Member States and carry out the ABC transaction using VAT identification numbers granted in different EU Member States;
- the transport is arranged by either A or B; and
- the goods are transported directly from A to C.

Although Lithuanian VAT legislation does not explicitly state that an invoice should indicate that the special triangulation scheme applies, it is highly recommendable to include this information according to the European Court of Justice (ECJ) case law (C-247/21 *Luxury Trust Automobile*).

3.5 Acquisition threshold

Acquisition threshold for acquisitions of goods from other EU Member States by non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers is EUR 14,000.

If the threshold is not exceeded, businesses may opt to register for VAT voluntarily.

3.6 Effective use & enjoyment

Lithuania has exercised the option provided in Article 59a of the VAT Directive, stipulating that transport services starting and ending outside the EU, when supplied to a taxable person established in Lithuania, are not treated as supplied in Lithuania. This rule also extends to ancillary transport services and the hire of means of transport.

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied. For goods, this is the date when they are placed at the disposal of the acquirer. A supply of goods involving their transportation is deemed to be carried out at the date the transport commences. A supply of service is deemed to be carried out at the date the service is finally executed.

These principles, however, are overruled in case of the obligation to issue an invoice, VAT becomes chargeable on the date of issuing the invoice. Even if the invoice is issued before the taxable transaction take place.

For intra-Community acquisition of goods, the VAT becomes chargeable upon the issue of the invoice by the supplier, latest on the 15th day of the month following the dispatch of the goods, if no invoice has been issued by that time.

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

"Supply of goods	EUR 1,000
21% VAT	EUR 210
Total to be paid	EUR 1,210

5.2 Cash Discounts Assume that the supplier sends the following invoice:

The amount of payable output VAT may be reduced by VAT attributable to bad debts. A consideration is treated as a bad debt if it is not received from the purchaser of goods or services for a period exceeding one year after the supply, provided that the output VAT was reported in VAT return and supplier can prove the efforts to recover the debt.

5.1 Bad Debt Relief

5. Taxable amount

In particular, only a VAT registered person (farmer) who supplies agricultural products and the supply of which must be formalised under a VAT invoice, has a right to opt for the cash accounting principle by submitting an application to the State Tax Inspectorate allowing them to calculate and pay VAT to the budget only when the payment for their supplied agricultural goods is made, i.e. instead of a general rule - when the VAT invoice is issued. The cash accounting principle may start to be applied as regards the calculation of VAT only from the next tax period following the date of the application. It is also noteworthy that the issued VAT invoice must have an explicit reference "Cash accounting scheme".

The Lithuanian VAT Law generally does not provide an option of cash accounting for VAT purposes. In this regard only one specific case is allowed, where an obligation to account for VAT arises on receipt of payment for the goods or services supplied. In particular, the so-called 'cash accounting scheme' may only be applied to the supplies of agricultural products.

4.4 Cash accounting

Services ongoing over a period of more than 1 year, that do not give rise to statements of account or payments in that period and for which the customer is liable to account for the VAT on the basis of Article 196 EU VAT Directive, are regarded as being supplied on the expiry of each full calendar year up to the time the provision of the services ceases.

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from Lithuania to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

4.3 Continuous supplies

Where an advance payment is made before the goods or services are supplied, and provided that, under the terms and conditions of the relevant transaction, the goods will be transferred or all the services provided not earlier than after 12 months from the date of the transaction, VAT becomes chargeable on receipt of the payment. Thus, VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied.

4.2 Advance payments

For supplies subject to the reverse charge mechanism, the VAT becomes chargeable on issue of the invoice, latest on the last day of the month following the supply, if no invoice has been issued by that time. The VAT on the purchase of a service, which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

There are no special explanations of the tax authorities on cash discounts and thus the general rules relating to granting of discounts after the supply has taken place and VAT is reported have to be followed. Based on the said rules, the supplier shall issue a credit note. Furthermore, if the discount is granted in another taxable period, both the supplier and the customer must respectively report the credit note in the VAT returns of the period in which the discount was granted (i.e. the supplier needs to reduce the taxable amount and amount of output VAT and the customer needs to reduce the deductible input VAT).

5.3 Open Market Value

In cases where the tax administrator has a reasonable suspicion that the taxable amount of goods or services supplied has been artificially reduced or increased, the tax administrator has the right to calculate the taxable amount. The taxable amount of goods or services supplied may be considered artificially reduced or increased in the case where upon giving due consideration to all terms and conditions of the transaction, the taxable amount does not correspond to the market value of the goods or services.

It should be noted that the tax administrator has the right to (re)calculate the taxable amount only if the following conditions are met:

- the taxable amount is:
 - much lower than the open market price, and the customer does not have right to VAT deduction or has the right only to partial VAT deduction;
 - much higher than the open market price, and the supplier does not have right to VAT deduction or has the right only to partial VAT deduction;
- there is reason to believe that the taxable value of goods and/or services has been artificially reduced or increased for the purpose of tax benefits, and the transaction, the taxable value of which has been artificially reduced or increased, was concluded between related persons.

5.4 Returnable Packaging

The value of packaging in which the goods are supplied (bottles, crates, containers or other packaging indispensable for holding the goods) shall be excluded from the taxable amount of the supplied good only in the case where there is an agreement between the seller and purchaser to return the packing to the seller. However, if the packing is not returned within 12 months, the taxable amount calculated for the goods by the seller must be increased by the amount equal to the value of such packaging not returned.

6. VAT rates

6.1 Standard rate

The standard VAT rate in Lithuania is 21%.

6.2 Reduced rate

The reduced rate of 9% VAT is applicable to:

- heating energy supplied for the heating of residential premises (including heating energy transmitted via hot water supply systems), hot water supplied to residential premises or cold water supplied to residential premises for preparation of cold water, and heat energy consumed for the heating up of such water;
- accommodation services supplied in accordance with the laws governing tourism activities; printed and electronic books, non-periodical information publications (including textbooks, workbooks, encyclopaedias, dictionaries, manuals, information leaflets, photo and reproduction albums, children's picture books, drawing and colouring books, printed or manuscript sheet music, maps, layouts and graphics, but excluding calendars, memo books and similar publications);
- firewood and wood products intended for burning and purchased by household energy consumers as defined in the Law on Energy of the Republic of Lithuania; and
- transportation of passengers and their luggage by regular routes.

The reduced rate of 5% VAT is applicable to:

- print and electronic newspapers, magazines and other periodical publications excluding:

- the goods are physically dispatched from one Member state to another and there is a proof of transportation;
 - the country of departure;
 - the customer has provided a valid VAT identification number of a EU country other than a VAT number of the power to dispose of the goods as an owner is passed to the customer;
- In order to apply 0 % VAT rate for intra-Community supplies the following conditions should be met:

7.1.1 Intra-Community supplies

In all the cases the supplier must hold evidence and supporting documentation that prove the 0 % rate.

- inward processing customs procedure applies and etc.);
 - goods and services under customs control (e.g. goods are placed in a temporary storage, goods for which goods and services for disaster victims (some exceptions apply); and
 - servicing and processing of movable property that will be exported outside the EU (some exceptions apply);
 - goods supplied to Lithuanian recipients of sponsorship who transport them as sponsorship outside the EU;
 - the supply of COVID-19 vaccines and COVID-19 in vitro diagnostic medical devices (until December 31 2022);
 - gold destined for the System of the European Central Banks and the European Central Bank;
 - institutions that relate to the management of COVID-19;
 - supply of goods and services to European Commission or agencies/institutions established by EU;
 - goods and services for the units of the armed forces of members of NATO (some exceptions apply);
 - international organisations (some exceptions apply);
 - goods and services intended for use of diplomatic missions, consular institutions, EU institutions and insurance and financial services directly linked to the exportation of goods;
 - transportation of passengers and their luggage on international routes;
 - fuelling and provisioning of the ships and aircrafts mentioned above;
 - needs of the ships and aircrafts mentioned above;
 - equipment supplied to vessels and aircrafts mentioned above, as well services for direct maintenance and from transporting passengers and (or) cargo on international routes and related services;
 - supply and hiring out of aircraft to taxable persons who receive more than 50% of their annual income seagoing fishing vessels and of vessels used for rescue or assistance at sea;
 - transportation of passengers or goods on international routes or for other services for consideration, of supply, maintenance, repairs, modification, modernisation and hiring out of seagoing vessels used for Government exported by persons who have their permanent residence outside the EU;
 - tax free shopping (goods the value of which does not exceed a certain amount set by the Lithuanian intra-Community supply of goods;
 - export of goods;
- In Lithuania 0 % VAT rate is applicable to:

7.1 Exemptions with the right of deduction

7. Exemptions

There are no super reduced and zero rates other than the ones mentioned in paragraph 7.1 in Lithuania.

6.3 Super-reduced and zero rates

- supply of technical aid for disabled people and maintenance thereof;
- Insurance; and
- as to prescription drugs where the costs of acquisition are not compensated pursuant to the Law on Health acquisition costs are compensated in whole or in partial pursuant to the Law on Health Insurance as well
- supply of medicines and medical aid equipment when such supply is made to persons to whom the publications in which paid advertising accounts for more than 4/5 of total area of the publication.
- recognised as such by an institution authorised under the law;
- publications of erotic and/or violent nature or publications failing to comply with professional ethics,

It is possible to store goods under a bonded warehouse regime. The supply of goods, when the goods are put into the customs warehouse, is subject to zero rate VAT in Lithuania. General conditions stipulated in the

7.1.3.3 Bonded warehouse

Excise goods under suspension of excise duties can be stored in an excise warehouse. Lithuania does not provide any special rules for excise goods in excise warehouses; therefore they are taxed in the usual manner.

7.1.3.2 Excise warehouse

Payment of VAT for the goods held in the VAT warehouse is suspended.

- Union in the course of the transportation.
 - supplying to the passengers travelling by air or sea to a destination outside the territory of the European departing to third territories or third countries; or
 - selling in a special shopping area of an international seaport or airport for the passengers who are are intended for;
- In a VAT warehouse provided that the goods supplied, imported or acquired from another EU Member State interpretation in the VAT Directive. According to the Lithuanian VAT law, there is a possibility to store goods It should be noted that the concept of a VAT warehouse under Lithuanian VAT law differs from its

7.1.3.1 VAT warehouse

7.1.3 Warehousing

- correspondence with the customer.
 - proof of payment; and
 - invoice from the provider of the transport service;
 - left the territory of the EU);
 - copy of export documentation (e.g. IE599 form or analogous document confirming that the goods have
 - transport documentation (bill of lading / CMR and etc.) signed by the customer on receipt of the goods;
 - original VAT invoice;
- It is recommended that the supplier has the following evidence:
- established/must not have a fixed establishment in Lithuania.
 - in case the goods are dispatched/transported by or on behalf of the customer, the customer must not be and
 - the goods are dispatched/transported by or on behalf of the supplier or the person acquiring the goods;
 - proof of transportation;
 - the goods are physically dispatched from one Member state to a destination outside the EU and there is a
- In order to apply 0 % VAT rate for export transactions, the following conditions should be met:

7.1.2 Export supplies

It should also be noted that Lithuanian tax authority allows to apply 0 % VAT rate to intra-Community supplies and export of goods only in case the transport was arranged by the supplier or the first customer, therefore it is also recommendable to have evidence that allows to identify the person who was responsible for the transport arrangements.

- original VAT invoice;
 - validated VAT identification number of the customer;
 - transport documentation (bill of lading / CMR and etc.) signed by the customer on receipt of the goods;
 - invoices from the provider of the transport service;
 - proof of payment; and
 - correspondence with the customer.
- It is recommended that the supplier has the following evidence:

subject to VAT.

- If any of these conditions are not met, the tax authorities may remove the exemption and make the supply
- the supplier has reported the supply in the country of departure (VIES declaration).
 - the goods dispatched/transported by or on behalf of the supplier or the person acquiring the goods; and

In Lithuania there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by foreign entities to taxable persons and legal entities with a Lithuanian VAT number established in Lithuania. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive.

8.1 Reverse charges

8. Liability

The option to tax is only valid if the customer is a taxable person registered for VAT purposes. The option is compulsory for all analogous supplies to be carried out within 24 months from the date the option is first exercised.

There is a possibility under certain conditions to opt to tax supplies of certain financial services, as well as lease and sale of immovable property.

7.3 Option for taxation

- The following other supplies are exempt without the right of deduction:
- supply of insurance services,
- supply of financial services;
- postal prepayment impressions and other special marks;
- betting, gambling and lotteries;
- supply of services by independent groups of persons, whose members are persons carrying out an activity referred to in chapter 2 of Title IX of the EU VAT Directive, to their members; and
- letting, sale and other transfers of immovable property.

7.2.2 Other exemptions

- The following supplies are exempt without the right of deduction:
- supply of goods and services related to healthcare;
- supply of social services and related goods;
- supply of education and professional training services;
- supply of cultural and sport services;
- supply of postal services;
- supply of information to the public via radio and television;
- supply of services by religious communities, associations and centres for the benefit of their members; services supplied to their member by political parties, trade unions and other non-profit making legal persons set up and operating on the membership basis;
- certain supply of staff by religious communities, associations and centres;
- supply of services and of goods closely linked to the protection of children and young persons; and
- supplies of goods and/or services by non-profit making legal persons during charitable and sponsorship events organised by the said persons (including sale of tickets to the events). Special conditions apply.

7.2.1 Exemptions in the public interest

7.2 Exemptions without the right to deduction

Supplies of goods that are stored in the customs warehouse are subject to VAT under the general rules. However, a zero rate applies to supplies of goods that are stored in the customs warehouse and due to the supply, the goods are released for free circulation. In the latter case import VAT becomes due upon release of the goods.

EU Customs code and governing application of the respective customs procedure apply to putting/storing of the goods into a bonded (customs) warehouse. The import VAT becomes due when the goods are taken out of the customs (bonded) warehouse and released for free circulation. The person who initiates the release is generally responsible for VAT.

In addition, there is also the reverse charge for the supply of natural gas and electricity supplied by non-established foreign suppliers to 'taxable dealers' in Lithuania.

8.1.1 General reverse charge – non-resident suppliers (Article 194 Directive)

When services fall under the main rule on the place of supply as defined in Article 44 of VAT Directive 2006/112/EC, the reverse charge mechanism applies if these services are provided by a non-established taxable person to a taxable person resident or established in Lithuania. In such cases, the Lithuanian recipient of the service is responsible for calculating and paying VAT on the reverse charge basis. This obligation applies regardless of whether the Lithuanian taxable person is VAT-registered or not.

The reverse charge mechanism also applies to supplies of goods that are installed or assembled in Lithuania by a non-established foreign taxable person and supply of natural gas, electricity, heating or cooling energy. In these cases reverse charge applies if the customer is registered for VAT in Lithuania.

The reverse charge rule also applies when a non-established taxable person supplies goods or services in Lithuania and was required to register for VAT (e.g., services related to real estate) but failed to do so. In such cases, if the customer is a taxable person registered for VAT purposes in Lithuania, he becomes responsible for paying the VAT on the reverse charge basis. However, this rule only ensures that VAT is paid in Lithuania and does not remove the supplier's obligation to register for VAT in Lithuania. In practice, the tax authority does not require the non-established supplier to pay additional VAT, as it has already been accounted for by the Lithuanian taxable person under the reverse charge mechanism. Nevertheless, the requirement to register for VAT in Lithuania remains in place.

The invoice should contain a reference to application of the reverse charge mechanism (either a statement 'Atvirkštinis PVM / Reverse charge' or a reference to Article 95 of the VAT Law or Article 44/196 of the EU VAT Directive 2006/112/EC).

8.1.2 Specific domestic rules (Article 199 Directive)

The application of the reverse charge mechanism varies depending on the circumstances. In some cases, the reverse charge applies if the customer is VAT-registered, even if they are not engaged in economic activities. For instance, a state institution that is VAT-registered solely due to intra-community acquisitions but does not conduct any economic activities may be required to apply the reverse charge.

However, in other situations, mere VAT registration is not sufficient—the customer must also be engaged in economic activities. This means that if a state institution is VAT-registered but does not carry out any economic activities, it will not be required to apply the reverse charge.

A VAT payer registered in Lithuania must account for VAT on a reverse charge basis for the following supplies made to him:

- for assets received as a contribution in kind or through a reorganization. This applies when a VAT-registered person takes over assets either as a contribution in kind or as part of a business reorganization from another VAT-registered person; or
- the return of materially improved building or structure, which was used on a basis other than ownership, to its owner before the end of the VAT adjustment period.

A taxable person registered in Lithuania must account for VAT on a reverse charge basis for the following supplies made to him:

- construction works;
- ferrous or non-ferrous metals scrap or materials resulting from recycling thereof; and
- mobile phones, tablets, laptops (current legislation indicates that this rule applies until 31 December 2026).

The supplier must refer to the reverse charge rule in his issued invoice. The following text must be mentioned on the invoice: 'Atvirkštinis PVM / Reverse charge' or a reference to Article 96 of the VAT Law'.

- the claimant did not carry out any activities that would be subject to VAT in Lithuania, except for the supply of transportation services and ancillary services that would be subject to zero rate VAT or the supply of certain goods or services for which the reverse charge mechanism applies.
 - during the period for which the VAT refund is requested, the claimant did not have a fixed establishment in Lithuania from which economic activities were effected, or, in case of an individual, its main place of residence was not in Lithuania; and
 - the claimant did not carry out any activities that would be subject to VAT in Lithuania, except for the supply of transportation services and ancillary services that would be subject to zero rate VAT or the supply of certain goods or services for which the reverse charge mechanism applies.
- A foreign taxable person established in another EU Member State is entitled to apply for a VAT refund if the following conditions are met:
- 9.4 VAT refunds to EU taxable persons**

The adjustment for capital goods/immovable property is not applicable to services.

- for other fixed tangible assets - 5 years after the taxable period in which input VAT was deducted.
 - for immovable property - 10 years after the taxable period in which input VAT was deducted.
- Input VAT deductibility adjustment periods are the following:

9.3 Adjustment periods

The request to recover input VAT must be accompanied with valid VAT invoices confirming the input VAT paid. The excess VAT is repaid by the tax authorities within 30 days after submission of the application or, if a tax audit is carried out, within 20 days after the completion of the audit.

As a general rule, input VAT may be deducted from the payable output VAT. If the amount of input VAT exceeds the amount of output VAT, the amount of excess input VAT may be carried forward to the following tax periods or be recovered.

9.2 Excess input VAT

- input VAT on the service of passenger transport by motor vehicles specified above, provided that the VAT payer does not take part in the transaction for the supply of this service as an undisclosed agent.
 - governing the classification and coding of vehicles; and
 - if the value of the class M1 electric car does not exceed EUR 50,000 (including VAT), and to cars of the specified categories, if they are classified as special purpose vehicles according to the legislation on the lease of cars of the specified categories. These restrictions do not apply to class M1 electric cars, passenger transport for consideration. The same restrictions shall apply to the deduction of input VAT (excluding the driver), or a motor vehicle of the said class attributed to the category of cross-country vehicles, provided that the car will not be supplied or leased, or it is not used to provide services of input or import VAT on a passenger car designed for the transportation of no more than 8 persons legal acts on taxation of profit (income) the purchase costs are classified as representation costs; percent of input and/or import VAT on goods and services intended for representation where according to input or import VAT on goods and services intended for representation, where according to the legal acts on taxation of profit (income) the purchase costs are not classified as representation costs as well as 50
- In addition, input VAT cannot be recovered if it is:

Input tax may not be recovered on the purchase of goods and services that are not used for VAT taxable economic activities (for example goods purchased for private use by the taxable person) or for activities for which an exemption without the right to deduction applies.

9.1 Non-recoverable input VAT

9. Recovery of input VAT

Although the legal acts regulating VAT do not directly provide for any provisions on joint and several liability, there have been cases in court practice where the tax liability was transferred to the shareholder of the company.

8.2 Joint and several liability

When the application relates to a period of less than one calendar year but not less than 3 months, the amount for which application is made should not be less than EUR 400. However, when the application relates to a period of a calendar year or the remainder of a calendar year, the amount may not be less than EUR 50.

The application must cover a period of not less than 3 consecutive calendar months in one calendar year and not more than one calendar year, unless the period represents the remainder of a calendar year. The application must be submitted to the Lithuanian tax authorities by 30 September of the following year. The deadline cannot be extended.

The application form for VAT refund must be submitted electronically through the portal of the tax authorities in the country in which the taxable person is established. If a representative is to submit the application, the relevant power of attorney should be submitted electronically with the VAT refund claim. If the power of attorney is not in Lithuanian or English, it must be translated into Lithuanian. The claimant or its authorised representative should also provide the following information in the application form:

- general information relating to the claimant;
- economic activities the claimant is engaged in and for which VAT was incurred;
- information relating to the authorised person, if any;
- details of the bank account to which the refundable VAT is to be paid;
- editable list of invoices and import documents; and
- scanned invoices or import documents should also be attached to the application.

An electronic copy of invoices should be submitted only if the amount of the invoice or import document is EUR 1,000 or more (EUR 250 for invoices relating to fuel costs). The Lithuanian authorities are allowed to request additional documents/information.

The decision on the VAT refund is issued within 4 months after receipt of the application. The term may be extended to 6 months where additional information is requested or 8 months where the authorities request additional information after the first request.

If the refund is granted, it will be paid within 10 business days after the end of the deadline to refund the VAT, to the bank account number provided to the authorities. However, if the refund is not granted, an appeal can be made to the Lithuanian tax authorities within 20 days after the date of receipt of the decision. The said time limit can be extended upon request. If this appeal is unsuccessful, the claimant can initiate proceedings before the administrative court.

9.5 VAT refunds to non-EU taxable persons

Lithuania will refund the VAT incurred by a taxable person established in a non-EU country provided a Lithuanian taxable person is entitled to recover the VAT (or any equivalent tax) in that country (the principle of reciprocity).

According to the information published on the tax administrator's website, taxable persons established in Armenia, Iceland, the United Kingdom (with certain restrictions), Canada, Norway, Turkey, and Switzerland may apply for a VAT refund.

The list of non-EU countries where taxable persons can apply for a VAT refund in Lithuania is not exhaustive and may be adjusted based on the VAT refund practices applied by other countries to Lithuanian taxable persons. It is recommended to regularly check the tax administrator's website for the most up-to-date information.

However, VAT may be refunded to non-EU taxable persons that supply e-services in the EU and, by using a special registration procedure, are registered for VAT in one of the EU Member States. In this case the reciprocity principle is not applicable.

When the application relates to a period of less than one calendar year but not less than 3 months, the amount for which application is made must not be less than EUR 400, however, when the application relates to a period of a calendar year or the remainder of a calendar year, the amount may not be less than EUR 50.

- The application must cover a period of not less than 3 consecutive calendar months in one calendar year and not more than one calendar year, unless the period represents the remainder of a calendar year. The application must be submitted to the Lithuanian tax authorities within 6 months after the end of the calendar year in which the tax became chargeable, i.e. by 30 June of the following year. The deadline cannot be extended.
 - The application form together with the supporting documentation must be submitted by electronic means - through the My STI - authorized electronic services area of the State Tax Inspectorate portal e.VMI.
 - All invoices must be indicated in the attachment with the application form. The application must be signed by a person who is legally entitled to represent the company. Otherwise, a power of attorney must be provided. In addition, the following supporting documents must be submitted with each application:
 - originals or copies of invoices (or cash register receipts, where relevant), import documents on the basis of which corresponding amounts of VAT were paid. In case of fuel cards, the originals or copies of documents should enable identification of the person to whom the fuel card is issued; and
 - a legalised (certified with an Apostille, where applicable) certificate of VAT status showing that the claimant is registered for VAT (or any equivalent tax) purposes in its country of residence. This certificate should be issued not earlier than one year ago.
 - If the power of attorney and the certificate of the VAT (or any equivalent tax) status are not in Lithuanian or English, the documents must be translated into Lithuanian and include the signature of the translator.
 - The decision regarding the VAT refund will be issued within 4 months after the date of the application, but can be extended for 2 months if the tax authorities ask for additional information and/or documents being provided. If a refund is granted, it will be processed within 10 working days after the date of the decision and paid to the bank account indicated in the application. However, if the refund is not granted, the appeal against the Lithuanian tax authorities can be made within 20 days after the date of receipt of the decision. The deadline can be extended upon a written request. If the appeal is unsuccessful, the claimant is allowed to initiate proceedings before the administrative court.
- 10. Administrative obligations**
- 10.1 Invoices**
- 10.1.1 Invoice content**
- A full invoice must contain the following data:
- date of issue;
 - invoice serial number;
 - supplier's VAT payer code or VAT identification number, name and address;
 - customer's VAT payer code or VAT identification number, name and address;
 - description of the goods and services and quantity thereof;
 - date of the supply if it does not coincide with the date of issue. Where the VAT invoice documents receipt of advance payment, the date of receipt of advance payment shall be specified if it is different from the date of issue of the VAT invoice;
 - unit price (excluding VAT) and discounts not included in the price;
 - taxable amount of the goods/services supplied that are taxed at the same rate;
 - applicable VAT rate/rates (except cases when invoice is issued by a taxable person who applies the SME scheme);
 - amount of VAT in national currency (EUR) (except cases when invoice is issued by a taxable person who applies the SME scheme);
 - VAT registration number, name and address of a fiscal agent – where the obligation to calculate VAT under this Law lies with a fiscal agent appointed by a foreign taxable person;
 - where the VAT invoice documents supply of goods/services that are exempt from VAT or taxed at a 0% VAT rate, reference to the relevant provision of this Law or Directive 2006/112/EC, or any other reference to such exemption/0% VAT rate;

The minimum term of storage of invoices is 10 years. Taxable persons must store documents in the original form in which they were issued and sent, whether paper or electronic, and must ensure that the authenticity of the origin, integrity of the content and readability is guaranteed throughout the storage period.

10.1.7 Storage of invoices

scheme in Lithuania

- when the invoice is issued by a taxable person established in another EU member state applying the SME scheme in Lithuania
 - when the invoice is issued by a Lithuanian VAT payer applying the SME scheme in Lithuania; and
 - when the total value of supplied goods/services does not exceed EUR 100 (including VAT);
- Simplified invoice can be issued in these cases:

- amount of VAT in national currency (EUR) (except cases when invoice is issued by a taxable person who applies the SME scheme); and
 - applicable VAT rate/rates (except cases when invoice is issued by a taxable person who applies the SME scheme); and
 - taxable amount of goods/services supplied that are taxed at the same rate;
 - description and quantity of the goods and services;
 - customer's VAT payer code or VAT identification number, name;
 - supplier's VAT payer code or VAT identification number, name;
 - invoice number (no serial number is needed);
 - date of issue;
- A simplified invoice must contain the following information:

10.1.6 Simplified invoice

Under the VAT Law, the contractors may agree up front, either verbally or in a written form, that the customer will issue the invoice. There are currently no additional requirements or restrictions related to such invoicing.

10.1.5 Self-billing

When computing the amount in Euros, the conversion rate published by the Bank of Lithuania on the day when the VAT becomes due must be used.

10.1.4 Conversion and exchange rate

It is allowed to issue invoices in a foreign currency, but the VAT amount must be indicated in Euros.

10.1.3 Currency

For the supplies of goods subject to VAT at a zero rate, as well as for supplies of services subject to the reverse charge mechanism, an invoice should be issued by the 15th day of the next calendar month. When goods and services referred to herein are supplied continuously for a period longer than 1 month, the invoice can be issued on a monthly basis by the 15th day of the next calendar month.

The invoice should be issued immediately after the supply of goods or services takes place. However, in case of continuous supplies of services and permanent supply of electricity, gas, heating and cooling energy, the invoice may be issued for the services or goods supplied during the period of one month. In the latter case the invoice should be issued by the 10th day of the following month.

10.1.2 Time limits

- where special VAT margin scheme applies, the reference to the margin scheme;
- "Maržos apmokestinimo schema. Naudotos prekės", when the special margin scheme for second-hand goods is applicable;
- "Maržos apmokestinimo schema. Meno kūrinių", when the special works of art scheme is applicable;
- "Maržos apmokestinimo schema. Kolekcionavimų objektai ir antikvariniai daiktai" when the collector's items and antiques margin scheme is applicable;
- reference "Atvirkštinis apmokestinimas", when the reverse charge mechanism is applicable;
- reference "Sąskaitų faktūrų išrašymas" in case of self-billing;
- reference "Pirigų apskaitos sistema", when cash-accounting is applicable; and
- identification data of the motor vehicle if it is supplied to another EU Member State.

10.3 Penalties

However, in some cases this period may be extended (for e.g., if the tax payer does not comply with the established minimum reliable tax payer's criteria or it deducted VAT related to long term assets etc.).

With certain exceptions, the general tax assessment period in Lithuania is the current and the previous 3 calendar years. Therefore, in the year 2025, the last open year for assessment is the year 2022.

10.2.5 Tax assessment period

The European sales listing must be submitted on a monthly basis before the 25th day of the next month.

10.2.4 European sales listing

- in case of any other taxable period – not later than 20 days after the end of such period.
 - if the taxable period is a calendar quarter – by the 20th day of the first month of the subsequent quarter;
 - if the taxable period is a calendar month – by the 20th day of the subsequent month;
- deadlines for submission of the Registers are as follows:
- VAT payers are also required to submit the Registers of the issued and received invoices. These Registers must be submitted through iSAF system, which is a part of a smart tax administration (i.MAS) system. The deadlines for submission of the Registers are as follows:
- ### 10.2.3 Registers of issued and received invoices

The duty to make advance VAT payments is not applied in Lithuania.

If a tax period is a calendar half-year, the VAT return shall be submitted not later than by the 25th day of the first month of the next half-year.

If a tax period is a calendar quarter, the VAT return for the tax period must be submitted not later than by the 25th day of the first month of the next quarter.

If a tax period is a calendar month, the VAT return for the tax period must be submitted not later than by the 25th day of the next month.

10.2.2 Filing of VAT return and payment

The standard VAT return period for taxable persons is 6 months, which may be changed to one month at the request of the taxable person.

However, if the annual income from economic activities of a taxable person (except for a natural person) did not exceed EUR 300,000 in the previous calendar year, the VAT return period may be changed to a calendar quarter at the request of the taxable person. Furthermore, the VAT return period may be changed to another period not longer than 60 days, provided that this is necessary for the taxable person because of the foreign parent company's taxable period or deadlines for financial reporting and the beginning of the first tax period of the financial year and the end of the last tax period of the taxable person coincides with the beginning and end of the relevant calendar year.

The standard VAT return period for taxable persons is one month.

10.2.1 VAT return period

10.2 Compliance

An invoice sent to the customer by electronic mail or by other means (in pdf or other format) is also considered to be an electronic invoice. Such invoice may not be kept in a printed form.

Electronic invoices may be used if the origin, authenticity and content integrity are assured. The supplier must have the consent of the customer to use electronic invoicing.

10.1.8 Electronic invoicing

10.3.1 Default penalties for late registration

For failing to register for VAT purposes or late registration a fine of EUR 200 to EUR 390 may be imposed on a tax payer and a fine of EUR 390 to EUR 1,100 may be imposed on a manager of the tax payer.

10.3.2 Default penalties for not filing a VAT return or European sales listing on time

For failing to file within the required time or filing incomplete documents, a fine from EUR 200 up to EUR 6,000 can be imposed on the taxable person, accountant or other person responsible for filling of the reports.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

Under a general rule, default interest is calculated from the outstanding tax amount for each day of delay (since 1 February 2025 the default interest rate is 0.027% per day). This rule also applies for late payment of the VAT.

Information regarding applicable default interest can be found on the webpage of the Ministry of Finance: <https://tinyurl.com/3yng>

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

In addition to late payment interest, a fine of 20% to 100% of the amount of underpaid VAT may be imposed when non-compliance with the VAT Law is established by the tax authorities in the course of a tax audit.

10.3.5 Offence penalties

Criminal proceedings may be started in case of negligent accounting or fraudulent accounting. Furthermore, in case of intentional acts and non-cooperation with the tax authorities in the course of the tax audit, a maximum fine indicated above may be imposed (normally a 30% penalty is imposed unless there are palliative or aggravating circumstances).

10.4 Intrastat

Intrastat reports may be submitted only electronically, using the Intrastat report collection and processing system IDAIS (available through an Internet link: <https://intrastat.lmuitine.lt>)

Reports are submitted after the end of the reporting month until the 10th working day of the next calendar month. The report submission schedule for the year is published on the Official Statistics portal osp.stat.gov.lt and on the website of the Customs Department at www.lmuitine.lt.

Reports must also be completed in the event that the VAT payer did not dispatch the goods from Lithuania to other EU Member States and/or did not receive the goods from other EU Member States during the reporting month.

10.4.1 Intrastat threshold

For 2025, the annual threshold for reporting is EUR 570,000 for arrivals and EUR 400,000 for dispatches. It should be noted, though, that the thresholds are reviewed and re-approved annually. Therefore, the later amounts are valid until 31 December 2025 only.

10.4.2 Intrastat data to be reported

The information to be reported is:

- taxable person's data;
- data of intermediary;
- reporting period;
- code of the good under the EU Combined Nomenclature;
- description of the good;
- contract;
- delivery conditions;
- means of transport;
- country of consignor;
- country of consignee;
- country of origin;
- partner identification code;
- net weight in kilograms;

- other measurements, where appropriate (e.g. units);
- value;
- statistical value;
- duration of data preparation and report completion.

10.5 Additional compliance requirements

Taxable persons registered for VAT purposes in Lithuania are required to maintain records of their incoming and outgoing VAT invoices and submit this information to the State Tax Inspectorate through the iSAF system.

The iSAF registers for incoming and outgoing VAT invoices must be submitted after the end of each tax period, no later than the 20th day of the following month.

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Luxembourg

The European Union (EU) VAT Directive was implemented in Luxembourg through the "Loi du 12 février 199 c concernant la Taxe sur la Valeur Ajoutée" (hereafter Luxembourg VAT law). VAT is referred to in Luxembourg as "Taxe sur la Valeur Ajoutée" or TVA.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Anyone performing an economic activity in Luxembourg as a taxable person must register for VAT purposes in Luxembourg. In this respect, a VAT registration filing must be submitted with the Luxembourg VAT authorities within 15 days from the start of the business in Luxembourg. This VAT registration file has to contain various documents such as:

- a copy of the by-laws of the taxable person;
- a copy of renting agreement;
- a copy of business licence if applicable;
- a bank account number from Luxembourg or foreign bank; and
- a copy of the passport of each of the managers of the taxable person.

Additional information can be downloaded at: www.pbl.public.lu

On a case by case basis, the VAT authorities may require additional information/documents in order to issue a VAT number to the taxable person. The VAT number is generally granted within a 4-week period. However, there is no VAT registration obligation in the following cases:

- the taxable person has no fixed establishment in Luxembourg and performs his activities outside Luxembourg; or
 - the taxable person performs only an exempt activity which does not grant him the right to deduct input VAT incurred and does not receive services from abroad; and/or
 - he does not acquire goods from another EU Member State for an amount of more than EUR 10,000.
- Small businesses may apply an exemption if their annual turnover does not exceed the threshold of EUR 50,000. There is a 10% tolerance. This generally means that the exemption may apply in a calendar year if the annual turnover does not exceed EUR 50,000 in the previous year. If the EUR 50,000 threshold is exceeded in a calendar year, the exemption may continue to apply until the end of the year if the EUR 55,000 is not exceeded. If the EUR 55,000 threshold is exceeded, the exemption ceases to apply from the following day.

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no specific threshold for foreign taxable persons in Luxembourg. The applicable rules are the same as those applicable to domestic taxable persons (see also paragraph 1.1). Every foreign taxable person performing an economic activity, for which the place of taxation is deemed to be in Luxembourg and for which the taxable person is liable for the payment of the VAT, must register for VAT purposes in Luxembourg. In certain cases, a business license is also required.

Taxable persons not established in Luxembourg must deliver the VAT registration application with the accompanying documents to the following address:

*AED - Bureau d'Imposition Luxembourg 10
1-3, Avenue Guillaume, L-1651 Luxembourg*

They can also submit the request electronically through www.myguichet.lu

Small businesses from other EU Member States who apply the scheme for small businesses in the country of establishment:
• with an annual turnover in the EU of less than EUR 100,000; and
• an annual turnover of less than EUR 50,000 in Luxembourg
may also choose to apply the exemption in Luxembourg as of 2025.

1.3 VAT grouping

VAT grouping has been implemented in Luxembourg in 2018. Legal persons established in Luxembourg and closely related to each other in financial, economic and organisational may opt to be considered as a single taxable person, i.e. "VAT group".

All transactions, services and supplies of goods between members of a VAT group are in principle not subject to VAT. These types of transactions are considered as internal operations carried out within the same legal entity. By reference to the EU court cases, the VAT group can include taxable persons and non VAT payers (non-identified persons), which allows pure holding companies to set up a VAT group.

The notification of incorporation of a VAT group must be submitted by the group representative to the VAT authorities.

1.4 Fiscal representative

The possibility to opt for a fiscal representative was re-implemented in Luxembourg in 2008.

Fiscal representation can be used in Luxembourg by a taxable person who is not established nor registered for VAT purposes in Luxembourg if he performs an importation of tangible movable goods, whatever the subsequent transaction is. The fiscal representative must be duly authorised by the VAT authorities.
In order to be valid, the appointment and the acceptance of the fiscal representative have to be made prior to the importation of the goods. The fiscal representative is the importer of record of the goods and should have effective control over the imported goods.

The represented taxable person remains jointly liable for the payment of the VAT, interest and penalties. The following conditions have to be met in order to be granted the status of fiscal representative:

- be able to act, via a Power of Attorney, for the fiscal representative;
- be established in Luxembourg;
- be sufficiently solvent;
- have constantly performed all fiscal and para-fiscal obligations with the best diligence; and
- have human, technical and material resources to accomplish the obligation in relation with its activity.

The validity of the agreement with the VAT authorities stops if any one of these conditions is not fulfilled.

In addition, the fiscal representative must produce a guarantee to ensure the payment of the VAT, interest and penalties potentially due to the VAT authorities in case of failure to comply with VAT obligations. The amount of the guarantee must be continuously maintained at a minimum level equal to 50% of the excess of VAT due for the past 3 monthly VAT returns for which the obligation of filing and payment has expired. The guarantee must amount to at least EUR 10,000.

The fiscal representative must comply with specific administrative obligations (VAT returns, invoicing, etc.).

2. Taxable event

2.1 Transfer of business

The transfer of business is out of the scope of VAT if this transfer can be considered as a transfer of an ongoing concern.

This provision applies if the transferee continues with the economic activity of the transferor.

2.2 Supplies free of charge

Luxembourg generally applies the principles laid down in Article 26 of the EU VAT Directive. There is no specific amount mentioned in the law.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply for an exemption on the importation of goods in Luxembourg if it is followed by an intra-Community supply.

2.3.2 Postponed accounting on importation

Luxembourg has implemented the postponed accounting on imports provided by the Article 211(2) of the EU VAT Directive (deferral of import VAT).

The VAT due on imported goods must be paid and declared through the VAT return of the liable person registered for VAT purposes in Luxembourg. If the importer is not registered for VAT purposes in Luxembourg, the VAT is levied by the Customs and Excise Administration.

No license is required by the Luxembourg VAT authorities in order to apply the postponed accounting on importation VAT.

3. Place of supply

3.1 Consignment and call-off stock

Luxembourg implemented the relevant rules in line with the EU VAT Directive.

3.2 Installation supplies

A supply of goods with installation or assembly is deemed to take place where it has been assembled or installed. In Luxembourg, there is no formal definition of the notion "supply with installation or assembly".

No domestic reverse charge is applicable on the supply with installation in Luxembourg.

3.3 Distance sales

The regime has been modified as from 1 July 2021. All distance sales taking place in Luxembourg in a B2C transaction are deemed to be subject to Luxembourg. No threshold is applicable. In order to facilitate the perception of the VAT, Luxembourg implemented the OSS (One Stop Shop). This measure is facultative and not compulsory.

Luxembourg implemented also specific rules for intra-Community distance selling through platforms exploited from outside EU and for distance selling of imports.

In the case of a supply of goods, the VAT becomes, in principle, chargeable at the time the goods are put at the disposal of the acquirer of the goods. The VAT due on services, in principle, becomes chargeable at the time the services are supplied. The supply of goods, other than the hire of goods for a certain period or the sale of goods on deferred terms, that involves successive statements of account or successive payments, shall be regarded as being completed on expiry of the periods to which such statements of account or payments relate. These principles, however, are overruled: in case of the obligation to issue an invoice, VAT becomes chargeable on the date of issuing the invoice. In case the invoice has not been issued timely, VAT shall become chargeable on the 15th day of the month following that during which the chargeable event occurs. The general rule as to the time when the VAT becomes payable provides that a taxable person must, by the 15th of the month following the end of each tax period, file a VAT return indicating the amount of VAT which became due by him during the tax period concerned.

4.1 Principles

4. Chargeable event and chargeability of VAT

Next to the above, Luxembourg has implemented effective use and enjoyment rules based on Article 59(a), sub a of the EU VAT Directive for B2B services in relation to the transport of goods and related services thereto. Consequently, even if the place of supply is Luxembourg according to the B2B main rule of Article 44 of the EU VAT Directive, they are not subject to Luxembourg VAT if the effective use and enjoyment of those services takes place outside the EU, i.e. if the transport of goods takes place outside the EU. Indeed, the place of supply of telecommunication and radio and television broadcasting services which would be situated in Luxembourg pursuant to the general rules is deemed to be outside the EU if the actual use or enjoyment of these services takes place outside the EU.

The use and enjoyment rules are only implemented for radio and television broadcasting services and telecommunications services.

3.6 Effective use and enjoyment

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons performing exempt activities, taxable persons benefiting from the special regime applicable to small- and medium-size companies and taxable persons benefiting from flat-rate scheme applicable to agriculture and forestry from suppliers established in another EU Member State is EUR 10,000 for Luxembourg. These persons can, however, opt to submit their intra-Community acquisitions of goods to Luxembourg VAT even if the threshold is not met.

3.5 Acquisition threshold

- the intra-Community acquisition must be made for the purpose of a subsequent supply in Luxembourg;
- the goods must be dispatched or transported by the supplier A or middleman B from an EU Member State other than that in which B is identified for VAT purposes to the person for whom he is to carry out the subsequent supply;
- the final customer (C) must be registered for VAT purposes in Luxembourg; and
- the final customer (C) must be designated as liable for payment of the VAT due on the supply of goods.

The simplified triangulation rules have been implemented in Luxembourg in line with the EU VAT Directive. The following conditions must be met to apply the simplified triangulation rules:

3.4 Simplified triangulation

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied.

4.3 Continuous supplies

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from Luxembourg to another EU Member State and which are supplied VAT exempt or which are transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

For services ongoing over a period of more than 1 year that do not give rise to statements of account or payments in that period and on which the tax is incurred by the customer, the services are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

4.4 Cash accounting

Under some conditions, VAT can be paid over to the Luxembourg state on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The cash accounting regime is available to persons engaged in the supply of taxable services or goods when their annual turnover is less than EUR 500,000.

5. Taxable amount

5.1 Bad debt relief

When it can be reasonably admitted that the customer, taxable person or not, will not pay or will not fully pay the amount invoiced for a supply of goods or services, the supplier is allowed to recover the output VAT. If a payment is done at a later stage, a new declaration is required for the input VAT deducted and the output VAT due.

No specific procedure is foreseen by the LTV regarding the evidences to be provided to the VAT authorities in order to recover output VAT relating to unsettled sales invoices. The taxable person must nevertheless demonstrate that the debt is irrecoverable, i.e. to prove to the Luxembourg VAT authorities that it has undertaken all necessary actions to claim payment from the debtor (reminders sent to customers, legal actions to obtain payment, etc.). The VAT on bad debt can be deducted / recovered directly through the Luxembourg VAT returns.

5.2 Cash discount

Assuming that the supplier sends the following invoice:

Supply of goods	EUR 1,000
1% VAT	EUR 10
Total to be paid	EUR 1,10

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

Payment is indeed received within 14 days. In that case the supplier has to pay EUR 10 in its VAT return. The customer can deduct EUR 10 in its VAT return. Therefore the supplier paid too much VAT and the customer deducted too much. The taxable basis has to be regularized by the supplier and by the client. No credit note is in principle required unless the discount applies to supplies covering a determined period and not only one supply. In this case, a detailed document has to be issued by the supplier.

5.3	Open market value	The taxable amount to be taken into account is the "open market" value where any of the following applies • The consideration is lower than the "open market" value and the recipient does not have a full right of deduction; • The consideration is lower than the "open market" value and the supplier does not have a full right of deduction and the supply is subject to an exemption; or • The consideration is higher than the "open market" value and the supplier does not have a full right of deduction. The "open market" value is the full amount that a customer would have to pay under conditions of fair competition to an independent supplier for the provision of the goods or services in the country.
		5.4 Returnable packaging Article 92 of the EU VAT Directive regarding the cost of returnable packaging material is not implemented in Luxembourg.
		6. VAT rates 6.1 Standard rates The standard rate in Luxembourg is 1% . 6.2 Reduced rate An intermediary rate in Luxembourg is 14% and applies for instance to: • safekeeping and management of shares; • management of credit and of credit guarantees by a person or a company other than the one who has granted the credit; • wines from fresh grapes, with an alcohol percentage of 13% or less, with the exception of wines enhanced with alcohol, sparkling wine and liquors; and • prepared detergents and prepared cleansers. The reduced rate in Luxembourg is 8% and applies for instance to: • gas, liquid or gaseous, suitable for heating, lighting and motor fuel; • electric power; and • flowers and other horticultural plants. 6.3 Super-reduced rate The super-reduced rate in Luxembourg is 3% and applies for instance to: • foodstuffs for human consumption excluding alcoholic beverages; • foodstuffs for animal consumption; • therapeutic instruments and medical equipment for disabled people; • farm inputs excluding flowers and other horticultural plants; • books, including brochures, maps; • some children's clothes; and • copyrights.

7. Exemptions

7.1 Exemption with the right of deduction

7.1.1 Intra-Community supplies

See 7.2. be low.

7.1.2 Export supplies

Luxembourg applies a zero rate to the following supplies of goods and services:

- exports and intra-Community supplies of goods;
- intra-Community transfer of own goods;
- new means of transport transported to acquirers outside Luxembourg but within the EU;
- the supply of services, including transport and incidental services (loading, handling, etc.) directly related to an export of goods which are placed under a customs regime;
- the chartering and leasing of seagoing vessels (for the purposes of high sea navigation).

The proof of these operations is not mentioned in the law for the application of the zero rate. However, in practice, the VAT authorities may require the proof that the goods left the country, e.g. in the case of an intra-Community supply or an export. This could be proved by the way of a transport document or a customs document.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Luxembourg has introduced the concept of a VAT-free zone.

The free zone regime is essentially a suspension regime allowing the storage, sale and work on goods with limited tax obligations in terms of VAT, customs and excise duties.

Certain services may also benefit from exemptions such as the storage or valorisation proceeds on goods performed within the free zone. Such a regime is particularly attractive for transactions on the commodity exchange, where goods may change owners within a short period of time.

This regime is deemed to accompany the suspension regimes existing for customs and excise duties.

The payment of VAT will have to be performed once the goods exit the free zone regime. Regularization of the temporary exemption will need to be performed in specific cases.

The regime can be applied by pre-authorized importers or by a fiscal representative if the importer is not registered for VAT purposes in Luxembourg.

7.1.3.2 Excise warehouse

Excise goods (alcohol, tobacco, energy products) coming from another EU country may be placed in an excise warehouse with suspension of excise duties and VAT.

7.1.3.3 Bonded (customs) warehouse

Goods coming from a third country may be placed in a bonded warehouse with suspension of customs duties and VAT.

7.2 Exemptions without right to deduction

Examples of supplies that are exempt without the right to deduction are:

- the granting and the negotiation of credit and the management of credit by the person granting it;
- the management of special investment funds located in Luxembourg and similar funds located in the EU

- Immovable property - 10 years
- Movable property - 5 years

9.3 Adjustment periods

Excess input VAT is refunded by the VAT authorities once the annual VAT return has been assessed. This can take several years in practice. A special refund process has been introduced in the law in order to accelerate the process. The request has to be introduced by letter, duly motivated, which allows the VAT Authorities to make deeper checks before to proceed the refund.

9.2 Excess input VAT

There is no specific good or service for which VAT is not deductible if it is related to the taxable activity of a taxable person.

9.1 Non-recoverable input VAT

9. Recovery of input VAT

Under Luxembourg VAT law, administrators and directors of a company are jointly and severally liable for the unpaid taxes of the company. They have to ensure the company's compliance with the law and the financial resources availability.

8.2 Joint and several liability

The fact that the supplier is a taxable person established and registered in Luxembourg or in another country is not relevant for the application of this provision.

The taxable person, registered in Luxembourg for VAT purposes, to which the transfer of allowances to emit greenhouse gases is made, is liable for payment of VAT under the reverse charge mechanism in Luxembourg.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

With the exception of the reverse charge mechanism for emission allowances and similar units, Luxembourg has not implemented a domestic reverse charge for non-established suppliers on supplies of goods or services (option of Article 194 of the EU VAT Directive not exercised).

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 Directive)

8.1 Reverse charges

8. Liability

No option for taxation has been implemented in Luxembourg except for the supply of buildings and rent of immovable property. With respect to these specific transactions, various formal conditions and formalities must be met in order to apply Luxembourg VAT.

7.3 Option for taxation

Notably, insurance transactions and the granting of interest-bearing loans may give to the taxable person the right to deduct related input VAT incurred if the client is located outside the EU.

- supplies of buildings or parts thereof, and of the land on which they stand.
- performed by insurance brokers and insurance agents; and
- Investment Fund Managers Directive); insurance and reinsurance transactions, including related services as well as the securitization vehicles and the alternative investment funds (as defined by the Alternative

In principle, Luxembourg does not have an adjustment period for services. However, some work on immovable property considered as investment expenses (as per the direct tax definition) can be subject to the adjustment period.

9.4 VAT refunds to EU taxable persons

A VAT refund can be claimed by a foreign business for any VAT charged in respect of goods or services supplied to it by other taxable persons in Luxembourg or in respect of the importation of goods into Luxembourg, insofar as such goods and services are used for the purposes of the following transactions:

- the supply of transport services and ancillary services;
- the supply of goods and services to a taxable person which is liable for payment of VAT; and
- the transactions falling into the scope of VAT carried out abroad for which VAT is deductible.

The minimum amount to be claimed is EUR 400 (for a reimbursement period of 3 months) and EUR 50 (for a reimbursement period of one year). The minimum period for making a claim is 3 months whereas the maximum period is one year. The deadline for making a claim is September 30 of the year following the reimbursement period. It is not possible to submit the claim after the deadline.

The original invoices or the importation documents (invoice amounts exceeding EUR 1,000) are required. In addition, the taxable person must have VAT refund access on the VAT refund portal.

The time limit for the VAT authorities to take a decision is 4 months following the VAT refund request. The VAT authorities must make the VAT refund within a reasonable period. The time limit for appeals is 3 months. VAT amounts wrongly charged on invoices are in principle not refundable. For additional information please refer to: <https://pft.public.lu/fr.html>

9.5 VAT refunds to non-EU taxable persons

Even if this is not really clearly stated in the VAT Act, Luxembourg does not require reciprocity for the recovery of VAT by non-EU taxable persons. So in principle, all foreign taxable persons, non-established in Luxembourg, should be able to claim back the VAT they paid in Luxembourg provided that (1) they were not obliged to be VAT registered, (2) an invoice has been issued, (3) the VAT relates to activities for which the VAT can be deducted and (4) there is no limitation by the law of the deductibility.

The claim should be done electronically at: <https://tinyurl.com/y6ckz3j2>

In order to submit a claim, a Luxtrust certificate access should be delivered. Once the Luxtrust certificate is obtained, the VAT refund portal will be accessible. A VAT refund request can then be made.

The minimum amount to be claimed is EUR 200 (for a reimbursement period exceeding 3 months) and EUR 250 (for a reimbursement period of one year). The minimum period for making a claim is 3 months and the maximum period is one year. The deadline for making this claim is June 30 of the year following the reimbursement period. It is not possible to submit the claim after the deadline.

The required documents include: the original invoices or the importation documents, a certificate (with the VAT registration number of the non-resident taxable person or a document certifying that the non-resident EU taxable person is a taxable person for VAT purposes), and an affidavit in which the non-resident EU taxable person is bound to reimburse to the VAT authorities any VAT amount unduly reimbursed.

The time limit for the VAT authorities to take a decision and for making the refund is 6 months following the VAT refund request. The time limit for appeals is 3 months.

VAT amounts wrongly charged on invoices are in principle not refundable (<https://pft.public.lu/fr.html>).

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

A VAT invoice must contain the following information:

- date on which the invoice is issued;
- invoice number (sequential);
- VAT identification number under which the supply of goods or services is performed;
- name and address of the supplier and of the customer;
- VAT identification number of the customer in case of an intra-Community supply or the customer is liable for the payment of the VAT;
- quantity and nature of the goods delivered or a description of the services rendered;
- the date on which the supply of goods or services took place or was achieved or in the case of an advance payment, the date of the advance payment if either of these dates is determined and different from the date of the invoice;
- the taxable amount for each VAT rate and exemption, the unit price without VAT as well as any discount if it is not included in the unit price;
- the VAT rate applied;
- the VAT amount due unless a specific regime excludes this mention;
- if a VAT exemption applies or if VAT is due by the customer, a reference to the LTVa or to the EU VAT Directive or any other reference stating that the transaction is VAT exempt or that payment of VAT is due by the customer under the reverse charge mechanism;
- where the VAT becomes chargeable at the time when the payment is received and the right of deduction arises at the time the deductible tax becomes chargeable, the mention "Cash accounting" ("Comptabilité de caisse") should appear on the invoice;
- where the customer receiving a supply issues the invoice instead of the supplier, the mention "Self-billing" ("Autofacturation") is required;
- the indication for the application of an exemption, zero rate or reverse charge, for instance: "intra-Community supply: 'Livraison intracommunautaire';
- export supply: 'Exportation';
- B2B service: 'Autoliquidation';
- the information necessary to determine whether there is a new means of transport, (i.e. number of kilometres, date since when the means of transport has been put into service, etc.); and
- an indication of the fact that a margin scheme has been applied as well as an indication why the margin scheme applies, e.g.:
 - margin scheme - second-hand goods: "Régime particulier - Biens d'occasion";
 - margin scheme - works of art: "Régime particulier - Objets d'arts";
 - margin scheme - collector's items and antiques: "Régime particulier - Objets de collection et d'antiquité";
 - tour operator margin scheme: "Régime particulier - Agences de voyages".

10.1.2 Time limits

An invoice must be issued before the 15th day of the month following the month in which the supply of goods or services is rendered. In case of advance payment for a supply of goods or services not yet executed or partially executed, an invoice must be issued at the latest upon receipt of the advance payment.

10.1.3 Currency

The amounts which appear on the invoice may be expressed in any currency, provided that the amount of VAT payable or to be adjusted is expressed in Euros.

10.1.4 Conversion and exchange rate

The exchange rate which must be used for the conversion is the rate published by the Luxembourg Central Bank or by an accredited banking institution according to the exchange rate published by the European Central Bank.

10.1.5 Self-billing

Under LTV, self-billing is allowed if a specific written agreement exists between the two parties.

10.1.6 Simplified invoice

When an invoice does not concern transactions with another EU Member State and its total amount (VAT included) is not above EUR 100, it suffices to include only the following information:

- date of issue;
- name and address of the supplier;
- quantity and nature of the delivered goods or description of the services; and
- VAT to be paid or information to enable its calculation.

10.1.7 Storage of invoices

Invoices must be kept available for 10 years.

Invoices may be stored electronically on condition that the data guaranteeing the authenticity of their origin and their integrity are also stored. If electronic invoices are stored outside Luxembourg, the taxable person is required to inform the VAT authorities.

When invoices are not stored electronically, taxable persons established in Luxembourg have to store them in Luxembourg. For non-established taxable persons that have appointed a fiscal representative, all their records must be stored electronically by the fiscal representative. A direct online access must be made available to the VAT authorities.

10.1.8 Electronic invoicing

Electronic invoicing is allowed on condition that the authenticity of their origin and the integrity of their content are guaranteed. Issuing electronic invoices requires the agreement of the recipient.

Electronic invoicing must be understood as the transmission to, or the act of placing the invoice at, the disposal of the recipient (i.e. keeping the document available for the recipient) using electronic data processing equipment data transmission using the cable, radio, optical or electromagnetic means. Electronic invoices can be issued in one of the formats: XML, email with PDF invoice attached, electronic fax, or an accepted equivalent.

10.2 Compliance

10.2.1 VAT return period

The periodicity of filing VAT returns depends on the amount of the taxable person's annual turnover. This can be summarised as follows:

- turnover within the scope of VAT exceeding EUR 620,000: monthly VAT returns as well as one recapitulative VAT return per calendar year;
- turnover within the scope of VAT between EUR 112,000 and EUR 620,000: quarterly VAT returns as well as one recapitulative VAT return per calendar year;
- turnover within the scope of VAT below EUR 112,000: one single annual VAT return per calendar year; and
- turnover entirely VAT exempt but VAT registered in order to reverse charge Luxembourg VAT: one simplified annual VAT return per calendar year.

VAT returns must be filed electronically by taxable persons subject to periodic filings.

There is no difference in the treatment of resident and non-resident taxable persons with regard to the VAT return period, the deadline for VAT payment or for filing a VAT return.

10.2.2 Filing of VAT return and payment

Monthly and quarterly VAT returns have to be filed by the 15th of the month following the period of the return. In practice, an extension of 2 months is currently granted by the VAT authorities.

Recapitulative annual VAT returns have to be filed by the 1st of May of the year following the year of the return. A requested extension to 31 December of the year of the return is in practice currently granted by the VAT authorities.

Single annual VAT returns and simplified annual VAT returns have to be filed by the 1st of March of the year following the year of the return. A requested extension to 31 October of the year following the year of the return is in practice currently granted by the VAT authorities.

The payment of the VAT has to be made at the time of the VAT return's filing. The VAT return forms can be downloaded at: <https://tinyurl.com/muscnx53>

10.2.3 European sales listing

The European sales listing for goods must be submitted on a monthly basis for all supply of goods. The monthly European sales listing for goods must be filed electronically.

The European sales listing for services can be submitted on a monthly or quarterly basis, regardless of the periodicity of filing of the intra-Community supply of goods.

The deadline for filing these listings is the 15th of the month following the period concerned in case of a paper filing and the 25th of the month following the period concerned in case of an electronic filing.

Taxable persons who file the periodical VAT returns must file the European sales listing for goods and for services electronically.

The VAT return forms can be downloaded at: <https://tinyurl.com/muscnx53>

10.2.4 Tax assessment period

The tax assessment period in Luxembourg is 5 years. That means that the VAT authorities have 5 years from the 1st January following the year where the VAT becomes due to assess the VAT returns.

10.3 Penalties

10.3.1 Default penalties for late registration

Each infraction to the Luxembourg VAT Law (LTVVA) can be sanctioned by a penalty of an amount between EUR 250 and EUR 10,000 per infraction. A late registration is considered as an infraction.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

Each infraction to the Luxembourg VAT Law (LTVVA) can be sanctioned by a penalty of an amount between EUR 250 and EUR 10,000 per infraction.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

In case the VAT due is not entirely paid before the deadline, the VAT authorities can apply a sanction amounting from 10% to 50% per year of the VAT due.

In case the VAT authorities have issued a constraint, interest of 2% per year is due as from the date of this constraint.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

In principle, when VAT is not reported correctly, the penalties mentioned above (see also sections 10.3.2 and 10.3.3) are applied.

However, in most cases, a corrective VAT return can be filed with the VAT authorities as long as the VAT assessment has not been filed. Please note that a nihil return followed by a return based on the accounting can be considered as tax fraud and thus subject to penalties and increase of tax.

10.4 Intrastat

In Luxembourg, separate monthly Intrastat returns need to be submitted to the State.

10.4.1 Intrastat threshold

The annual thresholds are as follows:

- for the arrivals: EUR 200,000; and
- for the dispatches: EUR 150,000.

10.4.2 Intrastat data to be reported

The information which needs to be reported for both the arrivals and the dispatches statistics are:

- EU Member State of origin/destination;
- VAT identification numbers;
- nature of the transaction;
- mode of transport;
- 8-digit commodity code of the goods;
- net weight of the goods;
- additional statistical unit;
- invoiced value of the goods in EUR; and
- statistical value of the goods in EUR.

This information can be less depending on the amounts of arrivals/dispatches. There is also an Intrastat obligation for distance sales.

Information received from:

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The European Union (EU) VAT legislation in Malta is implemented through the "Value Added Tax" Chapter 406 of the Laws of Malta (hereafter referred to as the "VAT Act"), and the subsidiary legislations. VAT is referred to as "Att Dwar it-Taxxa fuq il-Valur Mizjud" or "VAT".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Every taxable person established in Malta who performs supplies in Malta (other than supplies which are exempt without the right to claim input VAT) must register for VAT. In Malta (as of 1 January 2015) there is no minimum registration threshold.

A taxable person who is not already registered under Article 10 and who is liable for the payment of the tax on a supply taking place in Malta, shall be required to be registered under this article by not later than thirty (30) days from the date of that supply. Provided that such person shall be relieved from the obligation to be registered under Article 10 when he notifies the Commissioner that any of the special schemes provided for in accordance with Chapter 6 of Title XII of Council Directive 2006/112/EC, will be used to declare and pay the tax which he is liable to pay, in line with the provisions of the respective special scheme, by no later than ten (10) days from the date of that supply.

Furthermore, a taxable person who is not established in Malta but is established in another Member State, shall also be relieved from the obligation to be registered under Article 10 when he notifies the Commissioner that the special scheme for small enterprises provided for in accordance with Chapter 1 of Title XII of Council Directive 2006/112/EC, will be used by such person, subject to the Commissioner's approval. A small enterprise, as defined in the Maltese VAT legislation, may opt to register under Article 11 of the VAT Act. Such taxable person does not charge VAT on his supplies and cannot claim any input VAT on his purchases.

A taxable person may apply to be registered under Article 11 of the VAT Act insofar as his Domestic annual turnover during the preceding year, if any, is not more than the Domestic threshold of EUR 35,000.

In cases where an Article 10 registered taxable person would like to change to an Article 11 registration, such change may not be affected before the end of twelve calendar months from the date of such registration. The following conditions must be satisfied for a person who is registered under Article 10 to make a request to the Commissioner to convert to a registration under Article 11:

- the Commissioner is satisfied that the person qualifies as a small enterprise; and
- such person would have not claimed any input tax credits during his Article 10 registration.

As from 1 January 2025, with the introduction of the SME Scheme, Malta has introduced an Article 11A registration which caters for taxable persons established in Malta who make supplies within the territory of another Member State.

A taxable person who is established in Malta, who makes supplies of goods and services within the territory of another Member State and who intends to avail of the exemption in terms of the special scheme for small enterprises applicable in the respective Member State in which the supplies are made in accordance with Chapter 1 of Title XII of Council Directive 2006/112/E may apply to the Commissioner to be registered under this article, subject to the following conditions:

- he qualifies as a small enterprise at the time of application;
- his EU annual turnover during the preceding calendar year is less than EUR 100,000;

An Article 11B taxable person's registration is only deemed to be effective as from the date the Commissioner notifies the Member State of establishment of his approval to register that person.

With regards to Article 11A registrations, such registration only takes effect as from the date notified by the Commissioner to the taxable person.

Furthermore, with regards to Article 11 registrations, retrospective registrations are not allowed. Such registration is only valid from the date the Commissioner receives the relevant application, or from the date of commencement of economic activity, whichever is the later date.

A taxable person may also opt (voluntarily) to be identified for VAT purposes under Article 10. Under such circumstances, there is no time limit by when he should apply to be registered.

An application for registration should be submitted by no later than thirty (30) days from the date a taxable supply is made in Malta. Retroactive registration is possible; however, penalties apply for late registration. The registration application is typically processed within approximately one/two weeks.

The registration can be effected online by following this link. The taxable person should choose the applicable application from the list included therein; <https://tinyurl.com/3jh5fek>

Where a Partnership is to be registered, a Partnership Declaration Form needs to be submitted in addition to identification documents whilst in case of a registration for an individual, the copy of the identity card or passport would suffice.

- copy of the memorandum and articles of association of the company;
- copy of the certificate of registration issued by the Malta Business Registry and
- copy of the identity card or passport of any one of the Directors.

For a company to register for VAT under Article 10, the following documents are required to be submitted to the MTC together with the online registration application

1.1.1 Registration applications

- a taxable person who is not registered or obliged to be registered for VAT purposes under Article 10 or a non-taxable legal person, who makes an intra-Community acquisition of goods in excess of EUR 10,000 (as per acquisition threshold mentioned further below). Notwithstanding the 'Acquisition Threshold' such persons may voluntarily apply to be identified for VAT purposes in Malta under Article 12; and
- taxable person established in Malta, other than a taxable person registered under article 10, who supplies services within the territory of another Member State for which VAT is payable solely by the recipient of the service pursuant to Article 196 of Council Directive 2006/112/EC, shall apply to be registered under Article 12 not later than the date on which he supplies such service.
- a taxable person who is not registered or obliged to be registered for VAT purposes under Article 10 and who purchases services from outside of Malta in respect of which the liability for the payment of the VAT is shifted onto him;
- a taxable person who is not registered or obliged to be registered for VAT purposes under Article 10 or a non-taxable legal person, who makes an intra-Community acquisition of goods in excess of EUR 10,000 (as per acquisition threshold mentioned further below). Notwithstanding the 'Acquisition Threshold' such persons may voluntarily apply to be identified for VAT purposes in Malta under Article 12; and
- taxable person established in Malta, other than a taxable person registered under article 10, who supplies services within the territory of another Member State for which VAT is payable solely by the recipient of the service pursuant to Article 196 of Council Directive 2006/112/EC, shall apply to be registered under Article 12 not later than the date on which he supplies such service.

In addition to the above the following are required to be registered under Article 12 of the VAT Act:

- he makes supplies in at least one Member State in which he is not established, where is eligible to avail himself of the special scheme for small enterprises; and
 - the value of supplies made in the preceding calendar year, in the Member State referred to above, does not exceed the threshold applicable in the Member State granting the exemption.
- In addition to the SME Scheme registration under Article 11A applicable to Maltese established taxable persons, there also exists an Article 11B registration for taxable persons established in another Member State which enables them to avail themselves of the SME scheme in Malta in respect of supplies of goods or services they make in Malta.

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for foreign legal entities that carry out taxable supplies in Malta as a result of which are required to be registered for VAT purposes in Malta. For a foreign taxable person to register for VAT, the same conditions and requirements apply as for domestic taxable persons (see paragraph 1.1). See also in paragraph 1.1. above, an exception for registering as a result of opting for one of the special schemes.

In addition, with effect from 1 January 2025, due to the introduction of the special scheme for Small and Medium Enterprises, a taxable person who is not established in Malta but is established in another Member State shall be deemed to have applied to register under Article 11B once the Commissioner is notified by the Member State in which such person is established of the person's intention to avail itself of the exemption for small enterprises in relation to supplies of goods and services in Malta, subject to the following conditions being met:

- his EU annual turnover during the preceding calendar year is less than the EU threshold of EU 100,000, and
- his domestic annual turnover during the preceding calendar year does not exceed the domestic turnover threshold of EU 35,000.

The Commissioner has fifteen working days, after receiving the information, to notify by electronic means the Member State of establishment of his approval or otherwise.

1.3 VAT grouping

Where two or more legal persons established or having a fixed establishment in Malta are closely bound to one another by financial, economic and organisational links, those persons may apply to be treated as a single taxable person for VAT purposes. In addition, at least one of the applicants should be a taxable person who is licensed or recognised in terms of the legislation specified in the Schedule to the Regulations.

All legal persons can form part of a VAT group, including "pure" holding companies.

'Financial links' exist where any two or more of the following are, directly or indirectly, held as to more than 90% by the same person or persons (whether a legal person or an individual): (i) the voting rights or equivalent interests; (ii) the entitlement to profits available for distribution; or (iii) the entitlement to surplus assets available for distribution on a winding up or equivalent event.

'Organisational links' shall be deemed to exist where the applicants have a shared management structure, whether in whole or in part.

The required 'economic links' shall be deemed to exist where the activity of each of the applicants is of the same nature or within the same industry, or where the activities of the applicants are interdependent or complementary, or where one member of the group carries out activities which are wholly or substantially to the benefit of any one or more of the other members.

Each member of a VAT Group is jointly and severally liable for the payment of any tax, administrative penalties and interest arising under the Act.

An application for registration of a VAT group must be made electronically through the VAT online portal of any one of the applicants but generally, of the chosen Group Reporting Entity.

1.4 Fiscal representative

A taxable person who is established outside Malta and who is required to register for VAT in Malta may appoint a fiscal representative. There is no obligation for taxable persons established in another EU Member State to appoint a fiscal representative for Maltese VAT purposes. An instance where a taxable person established is another EU Member State can appoint a VAT representative in Malta is where, that person wishes to submit a request for the deferment of the VAT due on the importation of a luxury asset into Malta (see paragraph 2.3.2 below) and does not wish to set up a bank guarantee or submit a deposit to the MTCA, both calculated at 0.75% of the value of the asset (capped at EUR 1 million).

In Malta, the payment of VAT due on an importation can be deferred following the receipt of an authorization from the Commissioner. This is solely granted to the owner of the asset who is designated or recognized as the importer of record.

2.3.2 Postponed accounting on importation

Guidelines for the application of the Onward Supply Relief have been issued by the MTC.

An importation of goods into Malta, followed by an intra-Community supply of the same goods by the same taxable person, registered under Article 10 of the VAT Act, is exempt from VAT. The importer must prove at the moment of importation that there will be a subsequent exempt intra-Community supply of the goods (i.e. proof of transport and VAT identification number of final recipient). Additional conditions may be imposed, including the obligation to provide security and the submission of statutory declarations.

2.3.1 Importation followed by an intra-Community supply

2.3 Importation

However, this provision is not applicable to gift of goods made in the course or furtherance of an economic activity, otherwise than as one forming part of a series of gifts made to the same person, where the cost of the donor is not more than EUR 50 (excluding VAT), and for gifts of an industrial sample in a form not ordinarily available for sale to the public.

The disposal of goods free of charge, forming part of the taxable person's economic activity, where the VAT on the said goods or the component parts thereof was wholly or partly deducted, shall be treated as a supply of goods for consideration by that taxable person acting as such.

2.2 Supplies free of charge

In the event that the transferee is not registered under Article 10 of the VAT Act, the application of the 'no supply' rule requires the pre-approval of the Commissioner.

- the assets are transferred to a taxable person, registered under Article 10 to whom he transfers his economic activity, or part of that economic activity which is capable of separate operation, as a going concern; and
- the said assets are to be used by the transferee in carrying on the same kind of activity, whether or not as part of an existing economic activity, as that carried on by the transferor; and
- the said transfer is recorded in the records of the transferor indicating the VAT registration number of the transferee.

Articles 19 and 29 of Council Directive 2006/112/EC (the "EU VAT Directive") have been fully implemented in Malta. The transfer by a person of assets belonging to his economic activity shall be treated as neither a supply of goods nor a supply of services if:

2.1 Transfer of business

2. Taxable transactions

There are no conditions regarding the designation of a fiscal representative, however the Minister can at any time decide to enact such regulations for the respective appointment.

A fiscal representative, once appointed, is jointly and severally liable with the person whom he is representing for all obligations arising under the VAT Act.

In the case of persons established outside the EU, the Commissioner may designate any person established in Malta who has a business relationship with the non-EU trader as his fiscal representative, unless the non-EU trader designates another person as such.

Specific authorization must be obtained by the taxpayer from the MTCA following the submission of an application in writing. Such authorization may be granted subject to conditions, including, in certain cases, the granting of a security (e.g. a bank guarantee or a deposit with the MTCA).

3. Place of supply

3.1 Consignment and call-off stock

Local legislation does not specifically refer to consignment transactions, however, simplification procedures can be applied in Malta, subject to the approval of the Commissioner, in terms of which a request may be made to permit the consignee to account for the VAT in terms of the reverse charge mechanism.

In the case of "call off stock arrangements" in terms of which a taxable person dispatches or transports goods from another Member State to a stock in Malta for an intended acquirer whose identity and VAT identification number are known at the time of the transport or dispatch and who has the right to take goods out of this stock at his own discretion, at which time the property on the goods is transferred, Maltese VAT legislation implements *ad verbatim* the simplification procedure set out in Article 17a of the EU VAT Directive.

3.2 Installation supplies

The place of supply of goods which are installed or assembled is the place where such installation takes place. In such cases the general rule for the place of supply of goods is not applicable. Consequently, the delivery of goods which are installed or assembled in Malta from another EU Member State is a domestic supply of goods subject to Maltese VAT.

Where the supplier is not established in Malta and is not registered for VAT purposes in Malta and the customer is established and registered for VAT purposes in Malta, the reverse charge mechanism applies.

3.3 Distance sales

As from 2021, the rules and thresholds for distance sales have been harmonised across the EU, with Member States leaving no leeway in this regard. The threshold for distance sales by the supplier in one Member State to non-taxable persons in another Member State is now EUR 10,000 for intra-Community distance sales which also includes turnover generated from electronically supplied services, telecommunication services and broadcasting services. In addition, a threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

3.4 Simplified triangulation rules

The simplified triangulation rules have been implemented in line with the EU VAT Directive.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in Countries 1, 2 and 3). The transport must be organized by either A or B and the goods must be transported directly from A in Country 1 to C in Country 3.

When Malta is the Member State of arrival, the simplification procedure does not apply where the middleman (B) is established in Malta or registered for VAT in Malta.

Where the middleman (B) is established and/or identified for VAT purposes in the Member State of dispatch (Country 1) and in a Member State other than the Member State of arrival of the goods (Country 2 - Malta), B may still apply the simplified triangulation rules, provided that all other conditions are fulfilled and that the transport is ascribed to the first supply (A-B).

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons and taxable persons engaged in exempt activities is EUR 10,000.

3.6 Effective use and enjoyment

The VAT Act permits the Commissioner to apply the use and enjoyment override in order to prevent double taxation, non-taxation or distortion of competition, in connection with services the place of supply of which is governed by Articles 44, 45, 56 and 59 of the EU VAT Directive. To date, in practice, this override is most commonly applied in connection with the hiring of vessels in line with Article 59(a) of the EU VAT Directive.

4. Chargeable event and chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, in principle, VAT becomes chargeable at the time the goods or services are supplied. However, where an invoice is issued by the fifteenth day of the month following the date when the chargeable event takes place, the tax becomes chargeable on the date of the invoice.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied.

For tax to become chargeable on advance payments, all the relevant information concerning the chargeable event, namely the future delivery or future performance, must already be known and therefore, when the payment on account is made, the goods or services must be precisely identified. Payments on account of supplies of goods or services that have not yet been clearly identified cannot be subject to VAT.

4.3 Continuous supplies

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from Malta to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

In the cases of ongoing services which give rise to periodical billing or payments are deemed to be supplied at the end of the period to which the billing or payment refers. Where no statement is raised/payment made, the services would be regarded as being supplied at intervals of one year.

In the case of such ongoing services for which the customer is liable to account for the VAT on the basis of Article 196 EU VAT Directive, if no statement is raised/payment is made, they are regarded as being supplied on the expiry of each calendar year until such time that the supply comes to an end.

4.4 Cash accounting

In certain cases and to the extent that certain criteria are met, VAT may become chargeable at the time when a payment is made and to the extent covered by that payment. The cash accounting regime is available to persons providing professional services, retailers, civil, mechanical and electrical engineering contractors.

5. Taxable amount

5.1 Bad debt relief

In Malta, a taxable person registered under Article 10 of the VAT Act and who has made supplies which have not been paid, may claim from the Commissioner, the amount of output tax corresponding to the bad debt to be allowed as a deduction by way of a bad debt relief. Bad debt relief can only be claimed if certain conditions have been satisfied, including, amongst others:

- the output tax in respect of the supply has been accounted for and paid to the MTCA; and
- a final court judgement evidencing that the debt can never be recovered.

The application for relief must be made within 12 months of the court judgement.

Guidelines for Bad Debt Relief claims have been issued by the MTCA.

5.2 Cash Discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1000
18% VAT	EUR 180
Total to be paid	EUR 1180

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

The VAT Act provides that the taxable value of a supply shall not include price reductions by way of discounts for early payment. No official guidance is available on the treatment of cash discounts. In terms of the general principle, the output VAT of the supplier/input VAT of the customer is the full price less the amount deducted by way of discount.

5.3 Open market value

When the consideration is paid or payable wholly or partly in kind, or if the value of the consideration for a supply cannot be easily determined, the taxable value of that supply shall be the open market value to the extent that the consideration is paid in kind or cannot be determined. The open market value of goods or services is the price they would achieve if sold or provided in the open market on the date and in the condition, they were in when the goods were delivered, or the services were performed.

5.4 Returnable packaging

The taxable value of a supply shall not include any amount charged to the customer by way of a deposit on returnable packing of goods where the deposit is lower than the cost of the packaging or where the deposit is regulated in terms of the Beverage Containers Recycling Regulations or any law which may be substituted therefor.

6. VAT rates

6.1 Standard rate

The standard rate in Malta is 18%.

6.2 Reduced rates

Malta applies three reduced rates as noted below.

6.2.1 Reduced rate 5%

The reduced rate of 5% is applicable to the following supplies:

- supply of electricity;
- confectionery and similar items;
- medical accessories including protective face masks and visors but excluding diving equipment;
- printed matter;
- items for the exclusive use of the disabled;
- the importation of works of art, collectors' items, antiques;
- minor repairs to bicycles, shoes, leather goods, clothing and household items;

- exports and like transactions;
- international goods traffic;
- intra-Community supplies;
- international transport and ancillary services;
- brokerage/intermediary services;
- certain supplies of sea vessels and aircrafts, including certain services and ancillary services relating thereto;
- supply of gold;
- food for human consumption;
- pharmaceuticals (reference to Combined Nomenclature (CN or HS) codes);
- transport by scheduled bus service, scheduled inter-island sea transport, school transport and transport organised by employer;
- supplies of goods on board cruise liners;
- supplies of goods to taxable persons who facilitate the supply of goods through an electronic interface;
- certain transactions treated as exports;
- supplies of certain devices and aids to non-profit making organisations;
- products used for female sanitary protection; and
- medical items essential to compensate and overcome cancer in humans.

In Malta, the following supplies benefit from a zero rate of VAT, also known as exempt with credit supplies:

7.1 Exemptions with right to deduction ('zero rated')

7. Exemptions

See paragraph 7.1 below regarding zero rated supplies (VAT exempt with the right of deduction).

- food for human consumption;
- pharmaceuticals (reference to Combined Nomenclature (CN or HS) codes).

A 0% VAT rate is applied in Malta to the supply of the following:

6.3 Super-reduced and zero rate

- custody of security services;
- management of security services;
- management of credit and credit guarantees by a person or body other than those who granted the credit;
- hiring of pleasure boats under certain specified terms and conditions; and
- services consisting in the care of the human body made by a person in the exercise of the Health Care Professions Act, including services supplied in the course of a health studio business or similar business, but excluding services falling under the exemption laid down in Item 11 of Part Two of the Fifth Schedule.

The reduced rate of 12% applies mainly to the following supplies:

6.2.3 Reduced rate 12%

- use of sporting facilities including gym memberships and fitness centres; and
- letting/provision of accommodation in premises which are required to be licensed under the Malta Travel and Tourism Services Act.

The reduced rate of 7% applies mainly to the following supplies:

6.2.2 Reduced rate 7%

- domestic care services, including domestic help and care for the elderly; and
- admission to museums, exhibitions, concerts and theatres.

Suitable evidence to prove the application of the zero rate includes contracts, certificates (such as Air Operator's Certificate), purchase orders, transport documents and payment documents for intra-Community supplies and the stamped customs documentation for exports.

7.2 Exemptions without right to deduction

In Malta, the following supplies benefit from exemption, whereby no input tax credit can be claimed:

- letting of immovable property (with exceptions as listed in the VAT Act);
- transfer of immovable property;
- insurance services;
- credit, banking and similar activities;
- cultural and religious services;
- sports or physical recreation supplied by non-profit making organizations;
- services related to exempt services;
- services by independent groups;
- services by non-profit making organizations;
- lotteries and supplies related to gambling, as defined;
- postal services;
- health and welfare;
- education;
- supply of goods in respect of which supplier did not qualify for input tax credit;
- broadcasting;
- water by a public authority; and
- exemption for small enterprises.

Malta does not allow taxable persons a right of option for taxation in respect of financial services transactions. The letting of immovable property is subject to VAT where in particular, it is made by a limited liability company to a person who is registered under Article 10 of the VAT Act for the purposes of his economic activity. The supply of both newly built and older immovable property is exempt (without credit).

7.3 Warehousing

7.3.1 VAT warehouse

Malta has no VAT warehousing arrangements.

7.3.2 Bonded (customs) warehouse – check with exemption

Goods imported into Malta from a third territory may be placed in a customs warehouse, if such goods are placed under a customs duty suspension regime. This will provide a temporary exemption from customs duty and VAT chargeable on the entry of goods in Malta. Customs duty and VAT will become due by the customer when the goods are released from the warehouse into free circulation.

The release of goods from a customs duty suspension regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The supply of goods while under a customs duty suspension regime is exempt from VAT ('zero-rated').

8. Liability

8.1 Reverse charges

In Malta, the reverse charge mechanism applies in respect of supplies of services falling within the scope of Article 44 of the EU VAT Directive (pursuant to Article 196 of the EU VAT Directive).

Furthermore, in terms of Article 194 of the EU VAT Directive, the reverse charge mechanism applies to supplies of goods and services by non-established suppliers provided certain criteria are satisfied.

In the event that the excess input VAT is not paid within the timeframe mentioned above, interest shall be due by the Commissioner to the person to whom a refund is due from the date on which the refund becomes payable until the date when it is actually paid.

Excess input VAT can be claimed through the submission of the VAT return. The excess VAT is refundable within five months from the expiration of the time allowed for the furnishing of the tax return for that tax period or from the day on which the said return has been furnished to the Commissioner, whichever is the later.

9.2 Excess input VAT

Exceptions may apply.

- non-business expenditure;
- purchase, repair and maintenance, lease, fuelling and hiring of vehicles, vessels and aircraft (subject to exceptions);
- business and employee entertainment;
- tobacco or tobacco products and alcoholic beverages;
- works of art, collectors' items and antiques; and
- business expenditure exclusively attributable to exempt without credit supplies of a taxable person.

Input VAT incurred on the following expenditure is not recoverable:

9.1 Non-recoverable input VAT

9. Recovery of input VAT

In line with the *Guidelines: VAT Import One-Stop-Shop (IOSS) Intermediary Conditions*, issued by the MTCA on 15 April 2021, an intermediary who is defined as a taxable person established in the Community appointed as such by another taxable person carrying out distance sales of goods imported from third territories or third countries shall be the person liable for payment of the VAT and must also fulfil the obligations laid down in the relevant special scheme in the name and on behalf of the taxable person.

In addition, for VAT grouping purposes each member of a VAT group shall be jointly and severally liable for the payment of any tax, administrative penalties and interest which would have become due and payable by the group reporting entity.

Under Maltese law, a person who is a representative of another person such as any secretary, manager, director, liquidator or other principal officer of an entity or of a body of persons shall be jointly and severally liable for the tax together with the person of whom he is a representative.

8.2 Joint and several liability

Domestic reverse charge rules are not applicable in Malta. The Commissioner may however direct that the reverse charge applies to specific transactions, as a revenue protection measure. In practice this applies to specific contracts of supply in the construction industry.

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

Where a supplier is not established in Malta nor registered for VAT purposes in Malta, and the supply of either goods or services, is made to a taxable person or a non-taxable legal person, who is established and registered for VAT purposes in Malta (under Article 10 or 12 of the VAT Act), the obligation to account for and pay the tax is shifted onto the customer and the non-resident supplier will not be obliged to register for VAT purposes in Malta. If however the non-established supplier is registered for VAT purposes in Malta, the reverse charge would not apply.

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

9.3 Capital goods – adjustment periods

- Immovable property - 20 years
- Other capital goods - 5 years

The period of adjustment, also known as reference period, starts to elapse from the first day of the first month of the tax period during which the right to deduct arises or during which the goods are first used. The adjustment for capital goods is also applicable for services, which includes contract of works consisting of construction contracts.

9.4 VAT refund for foreigners

9.4.1 VAT refund to EU taxable persons

If an EU taxable person is not established in Malta and carries out transactions giving rise to a right of deduction (i.e. can be considered to be an eligible applicant) then a VAT refund claim must be submitted through an electronic portal of the EU Member State where the eligible applicant is established.

When the EU taxable person carries out an economic activity in the EU Member State where he is established both transactions that give rise to a right of deduction and transactions that do not give rise to a right of deduction in that EU Member State, only such proportion of the VAT is refundable as is attributable to the former transactions in accordance with Article 173 of the EU VAT Directive as applied by the EU Member State in which the claimant is established.

Once eligibility is established, the EU taxable person may only apply for a refund on condition that during the refund period he did not have in Malta the seat of his economic activity, or a fixed establishment from which he effected business transactions, or, if no such seat or fixed establishment existed, a domicile or normal place of residence.

Furthermore, the VAT refund is granted on conditions that during the refund period the claimant did not supply any goods or services in Malta, with the exception of the following transactions:

- transport and ancillary services thereto that are exempt and that are part of the full taxable value, as specified under certain conditions; and
- services and goods supplied by such taxable person not established in Malta in cases where tax is liable to be paid solely by the persons to whom they are supplied (i.e. the reverse charge applies).

If the refund application relates to a refund period of a calendar year or the remainder of a calendar year, the amount of VAT may not be less than EUR 50.

When the refund application relates to a refund period of less than one year but not less than three months, the amount of VAT for which a refund is applied for may not be less than EUR 400. An application for a refund may only be made when the refund period is not less than three calendar months. Refund applications may however relate to a period of less than three calendar months when the period represents the remainder of a calendar year.

The maximum refund period is not more than one year.

An application is only valid if it is submitted to the EU Member State where the eligible applicant is established at the latest by 30 September of the calendar year following the refund period. Moreover, the application shall be considered submitted, only if all the required information is filled in. The eligible applicant will receive an electronic confirmation of receipt from the EU Member State where he is established.

In addition to the refund application, the claimant is required to submit by electronic means a copy of the invoice or importation document with the refund application where the taxable net value on an invoice or importation document is EUR 1,000 or more. Where the invoice concerns fuel, the threshold is EUR 250.

In addition, the claimant may be required to provide a description of his business activity by using the harmonised codes determined in accordance with the second subparagraph of Article 34a(3) of Council Regulation (EU) No 1798/2003.

The MTCA may also specify which languages or languages are to be used for the provision of information in the refund application or of possible additional information.

When the MTCA determine that they do not have all the relevant information on which to make a decision in respect of the whole or a part of the refund application, they may request, by electronic means, additional information, in particular from the claimant, or from the authorities of the EU Member State where the eligible applicant is established, within four months from the date of receipt of the application.

The additional information requested may include the submission of the original or a copy of the relevant invoice or import document when the MTCA have reasonable doubts regarding the validity or accuracy of a particular claim. The additional information must be provided to the MTCA within one month of the date on which the request reaches the person to whom it is addressed.

The period available for the decision in respect of the whole or a part of the refund application shall always be at least 6 months from the date of receipt of the application by the Commissioner. Where further additional information is requested, the claimant will be notified of the decision in respect of the whole or a part of the refund application within 8 months of receipt of the application.

Approved refunds will be paid at the latest within 10 working days of the expiry of the above-mentioned applicable deadline for decisions.

Appeals against decisions to refuse a refund application may be made by the claimant to the Administrative Review Tribunal in terms of Article 44 and the Ninth Schedule to the VAT Act. Any of the parties to an appeal or a reference to the Tribunal who feels aggrieved by the decision of that Tribunal may, by means of an application to be filed within 30 days from the date on which the decision appealed from is notified to him, appeal against that decision on a question of law only.

An EU taxable person is allowed to deduct the VAT he paid on his purchases insofar as the goods or services are used for his business activities. However, there is no right to deduct input VAT if he uses them for an exempt activity or is not obliged to charge VAT on his outputs (e.g. schools, banks, insurance companies, small businesses under the exemption threshold etc).

Link to the webpage where more information can be found is as follows: <https://tinyurl.com/3nyze5sj>

9.4.2 VAT refund to non-EU taxable persons

The relevant legislation does not require reciprocity when refunding VAT to taxable persons not established in the territory of the Community and in practice no such requirement is typically imposed. A taxable person not established in the territory of the Community may submit a claim for a refund of Malta VAT paid in accordance with the provisions laid down in Council Directive 86/560/EEC and would be entitled to claim a refund of input VAT if that person does not have in Malta:

- his place of his economic activity; or
- a fixed establishment from which business transactions are effected; or
- his domicile; or
- his permanent place of residence; or
- a valid VAT registration number issued by the MTCA.

Also, during the same period that person must not have supplied or deemed to have supplied, any goods or services in Malta with the exception of:

- transport and ancillary services thereto exempted pursuant, insofar as these form part of the taxable value, in accordance with the conditions laid down in the VAT Act; and
- services and goods supplied by such taxable person not established in Malta in cases where tax is liable to be paid solely by the persons to whom they are supplied (i.e. the reverse charge applies).

The claim is subject to the conditions laid down in Legal Notice 220 of 2004.

The refund application must be submitted to the MTC, within six months from the end of the calendar year in which the tax became chargeable. This is made online by submitting the prescribed form (please refer to link below) together with other relevant documentation. The application itself includes notes on how to complete the application.

Link to the application and relevant declarations: <https://tinyurl.com/nhz4vx18>

When the refund application relates to a refund period of a calendar year or the remainder of a calendar year, the amount of VAT may not be less than EUR 25.

When the refund application relates to a refund period of less than one calendar year but not less than 3 months, the amount of VAT for which a refund is applied for may not be less than EUR 200.

The application shall be considered submitted, only if the taxable person has filled in all the required information.

The application shall contain the following information and, or documentation:

- an official certificate drawn up on the form prescribed in the Second Schedule to Legal Notice 220 of 2004, completed either in the Maltese or English language, and endorsed by the competent authority of the country where that taxable person is registered for VAT or where he exercises his economic activity;
- the original valid invoices and/or valid importation documents; and
- an attest of reciprocity for taxable persons not established within the EU except for taxable persons providing electronically supplied services.

Refunds may not be granted:

- with respect to refunds to taxable persons not established in the territory of the Community, under conditions which are more favourable than those applied to Community taxable persons; and
- on supplies made by that taxable person where his business would, by its nature, be treated as exempt without credit if such business had been carried out in Malta.

Decisions concerning applications for refund shall be given within six months from the date when the applications, accompanied by all the necessary documents required under these regulations for the examination of the application, are received by the Maltese tax authorities.

Refunds shall be made before the end of the six month period mentioned above, at the applicant's request, either in Malta or in the country where he is established. In the latter case, the bank charges for the transfer shall be payable by the applicant.

Any of the parties to an appeal or a reference to the Tribunal who feels aggrieved by the decision of that Tribunal may, by means of an application, appeal against that decision on a question of law only.

Link to the webpage where more information can be found is as follows: <https://tinyurl.com/3myze5j>

10. Administrative obligations

10.1 Invoicing

10.1.1 Tax Invoice content

A valid VAT invoice has to contain the following information:

- date on which the invoice is issued;
- sequential number, based on one or more series, which uniquely identifies the invoice;
- name, address and VAT identification number of supplier;
- name, address and VAT identification number of customer;
- quantity and nature of the goods supplied or the extent and nature of the services rendered;
- the time of the supply;
- taxable value per rate or exemption, the unit price exclusive of tax and any discounts or rebates if they are not included in the unit price;
- the VAT rate applied;
- the VAT amount payable, except where a special arrangement is applied under which, in accordance with the VAT Act, such a detail is excluded;
- where the person liable for payment of VAT is a tax representative in another Member State, the name, address and VAT identification number of that tax representative;
- in case of self-billing a corresponding reference "self-billing" is required;
- if VAT is chargeable at time of payment, the words "cash accounting";
- if no VAT is chargeable, a reference to the provisions of the VAT Act or EU VAT Directive indicating the basis;
- if VAT is payable by the customer, the words "reverse charge";
- in the case of an intra-Community supply of new means of transport, a description with reference to the definition in the VAT Act;
- if a margin scheme has been applied, a reference to the margin scheme, e.g.:
 - "margin scheme - second-hand goods";
 - "margin scheme - works of art";
 - "margin scheme - collector's items and antiques" and
 - "margin scheme - travel agents".

As regards invoices in respect of supplies of goods or services supplied in Malta and invoices received by taxable persons established in Malta, the Commissioner may, for certain taxable persons or certain cases, require translation into Maltese or English.

10.1.2 Time limits

A valid VAT invoice must be issued not later than the 15th day of the month following that in which the chargeable event takes place or the date on which a payment is received, whichever is the earlier. In the case of an intra-Community supply of goods, an invoice should be issued by not later than the 15th day of the month following that in which the chargeable takes place, completely disregarding the date on which the payment is received.

10.1.3 Currency

The invoice can be expressed in any currency, however the VAT amount must be expressed in Euro.

10.1.4 Conversion and exchange rate

In order to determine the taxable amount of a transaction expressed in a currency other than in Euro, the exchange rate applicable shall be the latest selling rate recorded, at the time the tax becomes chargeable, applied by commercial banks in Malta or published by the European Central Bank.

10.1.5 Self-billing

Self-invoicing is possible -a Tax invoice may be drawn up by the customer where there is a prior agreement between the supplier and the customer and provided that a procedure exists for the acceptance of each tax

A VAT return together with the respective VAT payment (if any) must be submitted by the 15th day of the second month following end of the VAT period i.e. within one month and fifteen days from end of that VAT period. Should the 15th fall on a weekend or on a public holiday, the deadline would be extended to the next

A taxable person identified for VAT purposes under Article 10 is required to submit a VAT Return for each VAT period. The VAT periods typically cover three (3) month periods and are generally (but not necessarily) calendar quarters. However, the Commissioner may allow a taxable person to have monthly (e.g. exporting companies) or annual VAT periods.

10.2.2 Filing of VAT return and payment

An Article 12 registered taxable person is obliged to furnish the Commissioner with a notice of payment and declarations electronically, of his intra-Community acquisitions and purchases made, on a monthly basis. Furthermore, for taxable persons established in Malta providing cross-border trade under the SME Scheme, and registered under Article 11A are obliged to submit quarterly declarations electronically by not later than the last day of the month following the end of the respective calendar quarter.

In the case of taxable persons registered under Article 11 as a small enterprise, a yearly declaration must be submitted electronically to the MTCA. The standard VAT return period is in principle quarterly, however, may also be monthly or yearly. The return can be submitted electronically through the VAT online portal of the MTCA.

10.2.1 VAT return period

10.2 VAT Compliance

- they must contain the same details as required for printed invoices;
- such invoices must be accepted by the person acquiring such goods or services; and
- the authenticity of the origin, the integrity of the content and the legibility of an invoice must be guaranteed.

Invoices can be sent by electronic means subject to certain conditions:

10.1.8 Electronic invoicing

Invoices must be retained for a period of six years from the end of the year to which they relate. However, in the case of capital goods which fall within the remit of the capital goods scheme, the six year period shall commence, in the case of immovable property once the twenty year period elapses, and in the case of moveable property once the five year period elapses.

10.1.7 Storage of invoices

- date of issue;
- a sequential number;
- name, address and the VAT identification number of the supplier of the goods and/or services;
- the VAT identification number of the customer;
- a description sufficient to identify the goods or services supplied;
- the VAT amount payable or the information needed to calculate it; and
- if the simplified invoice is in reference to a document or message treated as an invoice, an unambiguous reference to the initial invoice and the details that are being amended.

A simplified invoice must contain the following information:

A simplified invoice may be issued if the amount of the invoice is not higher than EUR 100.

10.1.6 Simplified invoice

invoices be issued in the name and on behalf of the taxable person. invoice by the taxable person supplying the goods or services. The Commissioner may require that such

working day. When a VAT return is submitted electronically, the deadline is extended by an additional seven days.

Other deadlines apply for an Article 11, Article 11A, Article 11B or Article 12 registered person.

10.2.3 Additional VAT returns

There are no additional VAT returns in Malta.

10.2.4 European sales listing

The European sales listing must be submitted on a monthly basis in the case of intra-Community supplies of goods. However, if the value of intra-Community supplies of goods does not exceed EUR 50,000 in a given quarter or any of the previous four quarters, such form can be submitted on a calendar quarter basis. The European sales listing for services can be submitted on a quarterly basis and no threshold applies. The form must be filed within fifteen days from the end of the month or calendar quarter and can only be submitted in electronic format.

10.2.5 National recapitulative statement

There are no national recapitulative statements in Malta.

10.2.6 Tax assessment period

The tax assessment period in Malta is six years from the end of the relevant tax period. However, when an assessment refers to an adjustment made in relation to capital goods, the six years shall start from the end of the adjustment period (see also paragraph 9.3).

Similarly, when an adjustment to a particular VAT return is made, the registered person is legally obliged to keep and provide requested documents within a period of six years which period shall start to run from the date on which a correction is received and duly acknowledged by the Commissioner.

10.3 Penalties

10.3.1 Default penalties for late registration

Any taxable person who is required to be registered under Article 10 or Article 12 of the VAT Act, will incur penalties for late registration as follows.

10.3.2 Article 10 Late Registration

In principle the penalty for late registration is the higher of 1% of the output tax over the deductions for the first tax period and EUR 20 per month of delay. If the output tax over the deductions for the first tax period is EUR 2,000 or less, the administrative penalty for late registration shall not exceed EUR 250. Where the excess of the output tax over the deductions for the first tax period following registration is more than EUR 2,000 such administrative penalty shall not exceed 20% of such excess.

10.3.3 Article 11 and Article 11A Late Registration

In principle the penalty for late registration is that of EUR 20 per month of delay. However, such administrative penalty shall in no case exceed EUR 250 for each such notice or information.

10.3.4 Article 12 Late Registration

In principle the penalty for late registration is the higher of 1% of the VAT due on intra-Community acquisitions and/or services purchased from outside Malta and EUR 20 per month of delay. Where the tax chargeable on the intra-Community acquisitions or the services received or both such intra-Community acquisitions and services received, in respect of which that person is required to make such application is EUR 2,000 or less, such administrative penalty shall not exceed EUR 250.

Where the tax chargeable on the intra-Community acquisitions or the services received or both such intra-Community acquisitions and services received, in respect of which that taxable person is required to make such application is more than EUR 2,000 such administrative penalty shall not exceed 20% of such tax chargeable.

10.3.5 Default penalties for not filing an Article 10 VAT return or a European sales listing on time

The penalty for the delay in submitting a VAT return is the higher of 1% of excess of output tax over deductions and EUR 20, for every month of delay. Where the tax payable does not exceed EUR 250 such administrative penalty shall not exceed the equivalent of the tax payable or EUR 50, whichever is the greater. In all other circumstances, the administrative penalty shall not exceed EUR 250.

The penalty for failure to submit a Declaration (Small Undertakings) or a Recapitulative Statement is EUR 50 per month of delay, capped at EUR 600.

10.3.6 Default penalties for not filing an Article 11, Article 11A or Article 12 declaration

The penalty for not furnishing a declaration within the time stipulated is that of EUR 10 for every month of delay, provided that the administrative penalty shall not exceed EUR 120 for each declaration.

10.3.7 Default penalties for not paying VAT on time to the VAT authorities

See 10.2.2 above. Also, interest of 0.60% shall be due on any tax which is not paid by the date on which it becomes payable, for each month or part thereof during which that tax remains unpaid.

10.3.8 Default penalties on VAT assessments when VAT is not reported correctly

When a VAT return contains an understatement of output tax or an overstatement of input tax, an administrative penalty of 20% of the understated output tax or overstated input tax is due.

However, if the error is corrected by the taxable person before an assessment is raised, the administrative penalty can be reduced to 10%. This is subject to the cooperation with the Commissioner and payment of tax, interest and penalties due within one month.

10.4 Intrastat

Intrastat declarations must be submitted by the 10th day of the month following that of the movement of the goods.

10.4.1 Intrastat threshold

The current Intrastat minimum threshold for both the arrival and the dispatches is EUR 700 per annum.

10.4.2 Intrastat data to be reported

The information which needs to be reported for both the arrival and the dispatches statistics is:

- EU Member State of origin/destination;
- VAT identification number;
- period;
- terms of delivery;
- mode of transport;
- net weight of the goods;
- invoice value of the goods in EUR; and
- nature of document.

Additional information which needs to be reported for arrival statistics is:

- country and region of origin;
- commodity code;
- date, location and signature; and
- items in total.

Additional information which needs to be reported for dispatches statistics is:

- trader number;
- third-party declarant;
- line number;

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Information received from:

There are no additional requirements.

10.5 Additional compliance requirements

- statistical procedure;
- region of destination;
- serial number of the report;
- country of dispatch; and
- number of lines

The Netherlands

The European Union (EU) VAT Directive is based in the Netherlands and implemented through the “*Wet op de omzetbelasting 1968*”. VAT is referred to in the Netherlands as “*omzetbelasting*” or “*btw*”. The overseas islands do not belong to the Netherlands for VAT purposes.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Small businesses may apply an exemption (Dutch abbreviation: “the KOR”). Both natural persons and legal entities are eligible for the small businesses scheme. Certain conditions need to be met if the KOR is to be applied:

- the small business must be established in the Netherlands or have a fixed establishment there (businesses established in other EU Member States can also apply the KOR, see below);
- the annual turnover realized in the Netherlands must not exceed EUR 20,000; and
- the small business must have applied for the KOR in writing and the Tax Authorities must not have refused the application.

This special scheme is not applicable in the case of:

- the supply of immovable or movable property for which an adjustment period applies;
- the supply or acquisition of a new means of transport to or from another EU Member State;
- goods, supplies and services that are performed outside the Netherlands; and
- goods and services purchased from foreign suppliers, which are subject to VAT in the Netherlands for which the small business is liable under the reverse-charge mechanism.

For the exemption to apply, the business must not charge VAT on its invoices issued to its customers. The business cannot recover the VAT charged on purchased goods and services. It also does not have to keep a complete set of accounts or file regular VAT returns. The obligation to keep copies of purchase invoices has not been canceled.

The KOR is optional. Businesses are not obliged to apply the KOR, not even if they meet all the conditions. If a business wishes to apply the KOR, it must opt for it at least 4 weeks before the start of the taxable period from which he wants to apply the KOR. As soon as a business opts for the application of the KOR, it must continue to do so until either the threshold is exceeded or the business notifies the tax authorities at least 4 weeks in advance that it no longer wishes to apply the KOR. The KOR will not be applicable from the start of the next quarter.

The registration of domestic taxable persons is usually started through the registration at the Chamber of Commerce. The following information must be provided for the registration:

- a registration form; and
- the articles of association.

Further information can be downloaded at the following link: <https://tinyurl.com/2rjfuux2>

1.2 Registration threshold & SME Scheme for foreign taxable persons

Small businesses from other EU Member States who apply the scheme for small businesses in the country of establishment:

- with an annual turnover in the EU of less than EUR 100,000; and
 - an annual turnover of less than EUR 20,000 in the Netherlands
- may also choose to apply the exemption (KOR) in the Netherlands as of 2025.

Foreign taxable persons that cannot apply the exemption for small businesses, must register if they perform taxable transactions for VAT purposes in the Netherlands.

A taxable person can register for VAT with the tax office in Heerlen at the following address:

*Kantoor Buitenland/Belastingdienst Limburg
Postbus 2865
6401 DJ Heerlen
The Netherlands*

A foreign taxable person will first need to complete a general questionnaire (a registration form).

When registering, the following information must be provided to the tax authorities:

- a registration form;
- the articles of association;
- an extract from the Chamber of Commerce;
- name and address details of the directors (if not mentioned in the extract of the Chamber of Commerce);
- a certificate of status of being a taxable person.

The tax authorities usually assign the VAT number within a couple of weeks after receiving all the required documents. There is no need to apply for a separate VIES registration.

Further information can be downloaded at the following link: <http://bit.ly/1R8vQme>. The registration form can be downloaded at the following link: <https://tinyurl.com/3dnhmhv8>

1.3 VAT grouping

The Dutch VAT legislation provides a possibility for VAT grouping.

VAT grouping is usually based on the choice of the taxable persons but can also be invoked by the tax authorities on the basis of their own findings (e.g. in a tax audit).

The persons who want to form a VAT group may submit an application to the tax authorities. The tax authorities issue a decision regarding the creation of a VAT group or inclusion of a new member in an existing VAT group. According to a decision of the Supreme Court (*Hoge Raad*), the VAT group can also exist without the decision of the tax authorities, from the moment all substantive criteria for its existence are met and the relevant entities act as if they are joined in a VAT group.

Where two or more persons established in the Netherlands are closely bound to one another by financial, economic and organizational links, those persons are treated as a single taxable person for VAT purposes.

Financial links exist if more than 50% of the shares of the members are directly or indirectly owned by the same person(s), including the attached voting rights. Organizational links exist if the members are under common management or where the management of one member is actually subordinate to that of another. Economic links exist where members have mutual economic relations that are not negligible.

Only taxable persons can form part of a VAT group, which excludes "pure" holding companies, unless they actually control the decision-making process within the commercial group. These holding companies can only be part of a VAT group if applied for in writing.

Foreign companies which are not established in the Netherlands cannot generally be included in the VAT group. However, the non-resident company with a fixed establishment in the Netherlands can be included in the VAT group. If a head office and/or fixed establishment are members of a VAT group in the EU, the services provided between them are considered taxable.

The VAT group receives a new common VAT identification (ID) number. The members of the VAT group keep their separate VAT ID numbers which they use for, for example, intra-Community transactions.

As a general rule, the VAT group files one VAT return for the group. It is also possible to file VAT returns and other reports (e.g. the European sales list) separately. Members of the VAT group can apply for separate VAT reporting.

The supplies of the goods or services within the VAT group are not subject to Dutch VAT.

The members of the VAT group are jointly and severally liable for payment of the VAT debts of the group as from the moment and for the period they are part of the VAT group as confirmed in writing by the Dutch Tax Authorities. Without this written confirmation, no joint and several liability exists.

1.4 Fiscal representative

A foreign taxable person from EU or non-EU countries does not have to appoint a fiscal representative for VAT registering in the Netherlands. It is possible to VAT register directly in the Netherlands.

However, a foreign taxable person must appoint a fiscal representative if the foreign taxable person wishes to apply for the deferred import VAT payment license (so-called Article 23 license) (see also paragraph 2.32). A fiscal representative is also required for zero rating supplies or purchases of goods in a VAT warehouse (see also paragraph 7.1.3) or an excise duty warehouse. A foreign taxable person must also appoint a fiscal representative if it takes goods out of the VAT warehouse.

A fiscal representative must have a (limited or general) license from the tax authorities. A fiscal representative must live or be established in the Netherlands and must meet certain requirements. For example, he should not have been convicted of tax offenses within the past 5 years. In addition, a bank guarantee or security deposit into the bank account of the authorities is required by the fiscal representative.

A fiscal representative is jointly and severally liable for payment of the VAT and penalties due by his principal (the foreign taxable person). If the fiscal representative has a limited license, he is allowed to report only certain types of transactions by his principal:

- the importation and subsequent supplies by the principal in the Netherlands;
- trade in a VAT- or excise warehouse; and
- intra-Community acquisitions of excise goods in the Netherlands.

The liability of a fiscal representative with a limited license is unlimited.

The fiscal representative with a limited license files one single return for all its customers (principals) combined. All imports and subsequent sales by these principals are then added up into one single amount reported in the return filed with the authorities.

A fiscal representative with a general license can only be appointed when the foreign taxable person has its own Dutch VAT ID number. Therefore, there is no limitation to the types of transactions that can be reported by the fiscal representative. In addition, his liability is limited per year to the amount of the security deposit required by the authorities.

A foreign taxable person can have only one fiscal representative with a general license, but he can appoint multiple fiscal representatives with a limited license for individual flows or transactions.

Strict rules apply in relation to the invoicing by the foreign taxable person when he has appointed a fiscal representative in the Netherlands. On all sales invoices for supplies from the Netherlands the details of the Dutch fiscal representative must be mentioned.

2. Taxable transactions

2.1 Transfer of business

Article 3d of the Dutch VAT Act 1968 implements Articles 19 and 29 of the EU VAT Directive and reads as follows:

"In the case of a transfer of all or part of a totality of goods, whether or not for compensation or in the form of a contribution to a company, no supplies of goods or services are deemed to be taking place and the entity to which the goods are transferred takes the place of the transferring entity, unless otherwise stipulated by Ministerial Order".

Although the transfer of a business that meets these legal conditions is not taxed with VAT, there are VAT consequences. The taxable person that takes over the business of the transferring entity takes over all rights and obligations, claims, liabilities and responsibilities for VAT such as the remainder of the adjustment periods for (im)movable tangible property (see also paragraph 9.3).

2.2 Supplies free of charge

In the Netherlands, Articles 16 and 26 EU VAT Directive only apply to free supplies of goods and services under specific circumstances. Under a standards provision, the Netherlands disallows VAT deduction on costs for private use by staff and for gifts to businesses and private individuals that, if they would have purchased the goods or services themselves, would not be able to fully deduct the VAT on those purchases. This system, referred to as 'BVA' or 'BVA adjustment' is included in paragraph 9.1.

Free supplies of goods or services not covered by BVA, are covered by Articles 16 and 26. In relation to Article 16, the free supply of 'gifts of small value' is not taxed in the Netherlands if the purchase price per item is less than EUR 15 (excluding VAT). This is not a cumulative threshold and not limited to a specific period – a business can give away as many 'gifts of small value' to the same recipient as it wants, without VAT consequences.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply an exemption on the importation of goods into the Netherlands if it is followed by an intra-Community supply. However, many conditions must be met in order to apply the exemption, such as a license, a VAT registration number of the importer or its fiscal representative, and a security. Due to the many conditions, the exemption is hardly ever used. It is easier to apply for an import VAT deferment license (and, in some cases, appoint a fiscal representative for that purpose) (see paragraph 1.4 and 2.3.2).

2.3.2 Postponed accounting on importation

When goods are imported into the Netherlands and cleared for free circulation in the EU, Dutch import VAT is payable unless a deferment system can be applied to the import VAT. Depending on the type of goods this system is either obligatory (certain raw materials) or the importer can use a license. Dutch legal entities and Dutch fixed establishments can apply for a special deferment license (code number) to import goods from non-EU countries. With this license, importers avoid payment of VAT at the time of importation. Instead, with the deferment system the importer will have to account for the import VAT due as payable in its Dutch VAT return (in box 4a). If the importer is entitled to a full deduction, the VAT paid can be reclaimed in box 5b of the same VAT return. On balance, there is no payment of VAT. Therefore the Dutch VAT deferment system has a cash flow advantage for the importer.

The application of the deferred payment system is obligatory for:

- all taxable persons and legal entities importing goods listed in Appendix A of the VAT Order (*Bijlage A, Uitvoeringsbeschikking omzeibestelling 1968*). This is also compulsory for non-residents. The goods listed in Appendix A are mainly raw materials not suitable for private use; and

- taxable persons and legal entities (non-taxable persons) provisioning means of transport with goods which are not in free circulation.

In other cases it is possible to apply for an import VAT deferment license from the tax authorities. Permission will only be granted if:

- the applicant is a resident. A non-resident – not having a fixed establishment in the Netherlands – will not be granted the permit unless a fiscal representative is appointed;
- the applicant must import goods on a regular basis; and
- the applicant must keep a clear administrative record of the imported goods.

Taxable persons that are not established in the Netherlands can use the VAT deferment code number and apply postponed accounting on import if they appoint a fiscal representative (see also 1.4). A foreign business can either appoint a limited fiscal representative or a general fiscal representative for the import of goods in the Netherlands. A limited fiscal representative can only be used for the importation of the goods and the subsequent supply. This limited fiscal representative uses his own deferment code number and fulfills the VAT obligation under its own VAT ID number. If the foreign taxable person appoints a limited fiscal representative in the Netherlands, it does not need to be registered for VAT purposes itself. A foreign taxable person can have multiple limited fiscal representatives. However, he can only appoint one general fiscal representative in the Netherlands. When a fiscal representative with a general license is appointed, the foreign taxable person will be registered himself, can apply for his own license to defer the import VAT and all transactions are reported in his own VAT return.

3. Place of supply

3.1 Consignment and call-off stock

The transfer of goods by a VAT registered taxable person from one EU Member State to the Netherlands to create a stock of goods from which their customer can 'call-off' (use and pay for) the goods as and when they require them, can be described as call-off stock. If certain conditions are met, the supplier does not perform a transfer of own goods followed by a local supply, but an intra-Community supply to his customer at the time that the goods are called off. The rules relating to this simplification, however, don't allow Member States much room for maneuvering.

3.2 Installation supplies

Certain construction and installation supplies are treated as supplied where they are constructed or installed. In the Netherlands, there is no formal definition of the notion "supply with installation or assembly". The Dutch VAT Law only uses the notion of attaching a good to another good. It is assumed that if the attached goods are the subject of the agreement and retain their identity after being attached, an installation supply occurs.

Construction work is, as a general rule, considered a supply of services related to immovable property. Construction work is seen as a supply of goods if it produces a new building.

On both supplies the reverse charge may apply (see also paragraphs 8.1.1 and 8.1.2).

3.3 Distance sales

From 2021, the rules and thresholds for distance sales (both intra-Community distance sales and distance sales of imported goods) have been harmonized across the EU with no leeway for Member States. The distance selling threshold for sales to customers in other EU Member States without a VAT registration number (e.g. private individuals) is now EUR 10,000 for intra-Community distance sales. Turnover generated from the supply of 'electronically supplied services', telecommunications services and broadcasting services are included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

3.4 Simplified triangulation rules

Under Dutch VAT legislation, the simplified triangulation rules have mostly been implemented in line with the EU VAT Directive.

Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU countries (i.e. in Countries 1, 2 and 3). The transport must be organized by either A or B. If B arranged the transport, B must have provided A with a valid VAT ID number of another country than the country of dispatch and arrival. The goods must be transported directly from A in Country 1 to C in Country 3.

The simplified triangulation rules can be applied if (among other conditions):

- the Netherlands is the country of arrival of the goods (i.e. Country 3);
- the person to whom the subsequent supply is rendered (C) is established (not just VAT registered!) for VAT purposes in the Netherlands; and
- B provides A with a valid VAT ID number from another country than the country of dispatch or arrival; where the Netherlands is the EU Member State of arrival of the goods, the wording of the Dutch legislation does not preclude the application of the triangulation rules if the middleman (B) is also VAT registered in the Netherlands. It does preclude the application of the triangulation rules if the middleman B is established in the Netherlands. The Dutch VAT Act still mentions that B must not be registered in the country of dispatch. But this is not in line with ECJ Case Hans Bühlert.

The Dutch Tax Authorities have published guidance on the application of the simplified triangulation rules. According to this guidance, the simplified triangulation can also be applied to a three-party transaction in a chain of more than three businesses. The example given in the guidance is a four-party transaction, where A is established in the Netherlands, and both C and D are established in France. The goods are transported directly from A to D where B arranges that transportation. In this example, the Tax Authorities agree that the simplified triangulation can be applied to the transaction between parties A, B and C if all other requirements are met. Of course France should also agree with this solution.

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons, taxable persons engaged in exempt activities and flat-rate farmers from suppliers established in another EU Member State is EUR 10,000.

3.6 Effective use and enjoyment

The Netherlands have not implemented any effective use and enjoyment rules based on Article 59a sub a of the EU VAT Directive. The Netherlands did, however, implement effective use and enjoyment rules based on Article 59a sub b of the EU VAT Directive in relation to:

- B2C rental of means of transport by a non-EU established service provider to a Dutch private person or a Dutch legal entity which is not a business for VAT purposes; and
- the following services rendered by a non-EU established company to a Dutch legal entity which is not a business for VAT purposes:
 - transfers/assignments of copyrights, etc.;
 - advertising services;
 - consultancy, etc., data processing, the provision of information;
 - obligation to refrain from pursuing or exercising a business activity or right;
 - banking, financial and insurance services, except hire of sales;
 - supply of staff; and
 - hiring out of movable property, except all means of transport.

The place of supply of the above-mentioned services if situated outside the EU, is considered to be the Netherlands if the effective use and enjoyment of the services takes place in the Netherlands.

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied.

These principles, however, are overruled if there is an obligation to issue an invoice. In those cases, VAT becomes chargeable on the date of issuing the invoice or ultimately when the invoice should have been issued, i.e. on the 15th day of the month following the chargeable event. This rule applies even if the invoice is issued before the taxable transaction takes place. The VAT on the purchase of a service which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied. If invoices have to be issued for these transactions, the invoice date determines the tax point, under the rule mentioned in 4.1 above.

4.3 Continuous supplies

Continuous supplies of goods over a period of more than one calendar month which are dispatched or transported from the Netherlands to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end. Services ongoing over a period of more than 1 year, that do not give rise to settlements or payments in that period and for which the customer is liable to account for the VAT on the basis of Article 196 EU VAT Directive, are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

The VAT due on private use of goods belonging to the business and free of charge services provided by the business to its staff (Article 26 EU VAT Directive), becomes payable at the end of the financial year. If those services have not been finalized, the VAT due relating to the relevant financial year becomes payable at the end of that financial year.

4.4 Cash accounting

In certain cases, it is allowed to pay VAT to the Dutch state on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The cash accounting regime is available to persons engaged in the supply of taxable services or goods almost exclusively to private persons and for which there is no obligation to issue an invoice. If an invoice is sent, the receiver can reclaim the VAT upon receipt of the invoice under the normal conditions. He doesn't have to wait until he paid the invoice.

5. Taxable amount

5.1 Bad debt relief

It is possible to reclaim the VAT for invoices due that were left unpaid for one year after the consideration has become due. The VAT reclaim can be made through the periodical VAT return. It is possible to reclaim the VAT for invoices due at an earlier stage, but the supplier will have to make plausible that the customer did not and will not pay. If (partial) payment is received once the VAT reclaim has been filed, the supplier is required to remit VAT to the extent payment is received.

- the supply of food and beverages (except alcoholic beverages);
- hotel accommodation;
- (electronic) books, magazines and newspapers;
- domestic passenger transport;
- medication;
- the letting out of holiday homes;
- performances by performing artists;
- the granting of admission to: circuses, amusement parks, theatrical performances, and sports events; and
- certain labor intensive services, e.g. hairdressing services, bicycle repairs, and certain paintwork on dwellings and cleaning of houses.

The reduced rate in the Netherlands is 9% and applies for instance on:

6.2 Reduced rate

The standard rate in the Netherlands is 21%.

6.1 Standard rate

6. VAT rates

With regard to returnable packaging, the Dutch Ministry of Finance allow businesses to not include the consideration received for the supply of returnable packaging in the taxable amount of the total supply. This also applies to cases where the returnable packaging is, in the end, not returned.

5.4 Returnable packaging

In the Netherlands, the option for Member States to use the 'open market value' as the taxable amount for specific transactions is only implemented for the private use of company cars where the employees pay a low consideration for that private use. As a result, VAT due on private use is a fixed amount of 2.7% of the car's catalogue value, including VAT and road taxes, unless the VAT due on the actual payment for the private use is a higher amount.

5.3 Open Market Value

If payment is indeed received within 14 days, the supplier still had to pay EUR 210 in its VAT return. The customer can deduct EUR 210 in its VAT return. Therefore, the supplier paid too much VAT and the customer deducted too much. The Ministry of Finance has approved that the supplier does not have to send a credit invoice for the 2%, as the overpaid VAT amount is usually deducted anyway. If the customer does not have the right to recover the input VAT in full, he should ask the supplier for a credit invoice to reflect the amount of the discount.

*If payment is received by us within the next 14 days,
you can subtract 2% of the invoice as a cash discount*

“Supply of goods	EUR 1000
21% VAT	EUR 210
Total to be paid	EUR 1210

Assume that the supplier sends the following invoice:

5.2 Cash discounts

The customer has to repay the VAT originally deducted on the invoice due when it can be reasonably suspected that he will not pay the invoice. The VAT deducted by the customer has to be repaid to the tax authorities ultimately when one year has passed and the customer still has not paid.

The Dutch Government is considering to bring hotel accommodation, books, magazines, newspapers and certain cultural services under the standard rate per 1 January 2026. Prepayments and the supply of single-purpose vouchers for these supplies that will take place from 1 January 2026 are subject to the 21% standard VAT rate from 1 January 2025 (for hotel accommodation) or from 1 July 2025 (for the other supplies).

6.3 Super-reduced and zero rate

No super-reduced rate. The Netherlands has a zero rate for:

- the deemed supply to a facilitating platform in the case of distance sales; and
- the supply and the installation of solar panels if they are installed or to be installed on or in the direct vicinity of residential buildings.

7. Exemptions

7.1 Exemptions with the right to deduction

The Netherlands has zero rates for the following supplies of goods and services related to international trade and trade under special regimes (warehouses):

- exports and intra-Community supplies of goods;
- goods supplied to travelers resident outside the EU under retail export schemes or through tax-free shops;
- supplies of sea vessels, aircraft, and related goods and services;
- supplies made to customers with (diplomatic) tax immunity;
- supplies of monetary gold to central banks;
- supplies of (excise) goods under customs control or VAT warehousing arrangements;
- transport of goods to and from Madeira and the Azores;
- international passenger transport by seagoing vessels and airplanes;
- provisioning of seagoing vessels, with the exception of vessels for inshore fishing with foodstuffs;
- services in the framework of inward processing on behalf of principals resident outside the EU;
- services of intermediaries relating to transactions carried out outside the EU; and
- services to goods under customs control, in a VAT warehouse, services in connection to goods exported or imported.

7.1.1 Intra-Community supplies

In order to make the applicability of the zero rate in case of intra-Community supplies plausible, the following is required:

The supplier must have a combination of documents, such as a copy of the sales invoice, proof of payment (from abroad), a purchase order, correspondence with the customer (if available), and most importantly, transport documents such as a completely signed CMR. These documents, or a sufficient combination thereof, must provide sufficient proof that the goods in question were transported to another EU Member State. The Statement of Transport (*Vervoersverklaring*) can be used if a regular customer picks up the goods. The invoice must include a reference that a supply is exempt (e.g. "VAT exempt intra-Community supply, Article 138 of the EU VAT Directive 2006/112/EC" or in Dutch, "intracommunautaire levering" or "intracommunautaire levering op grond van de Wet OB, artikel 112/EC") and the VAT numbers of both the seller and the customer.

The above rules can still be used in order to prove the transport besides the presumptions of transport as mentioned in Article 45a Implementing Regulation.

7.1.2 Export supplies

In order to apply the zero rate in the case of export, the taxable person must have the required evidence in its files that the goods have left the EU. For example:

- an export declaration with a confirmation of exit;
- transport documents (bills of lading/CMR) signed by the customer on receipt of the goods;

Excise goods under suspension of excise duties can be stored in an excise warehouse. The supply of excise goods which are brought to or are located in the warehouse is subject to the 0% rate. In case of the excise warehouse, a fiscal representative is required if a non-resident taxable person wants to buy or sell goods within this regime in the Netherlands. There are certain administrative requirements that will have to be met.

7.1.3.4 Excise warehouse

VAT becomes due when the goods are taken out of the warehouse. The supply of goods before the goods leave the warehouse is then taxed at the VAT rate applicable to the goods. This VAT is collected from the supplier who releases the goods from the warehouse via the reverse charge mechanism. The fiscal representative of the foreign supplier must report this reverse charge in the VAT return. The sale by the foreign supplier to the customer outside the warehouse, follows the normal rules (i.e. either a domestic supply or intra-Community supply or export). There are certain administrative requirements that will have to be met.

A non-resident customer releasing goods from the warehouse must appoint a fiscal representative. The supply of goods which are located in the warehouse is zero rated. The warehouse keeper should apply for the license. The taxable persons trading in goods which are located in the warehouse do not have to be registered for VAT purposes in the Netherlands. In fact, there are no obligations towards the Dutch authorities. A non-resident customer releasing goods from the warehouse must appoint a fiscal representative.

7.1.3.3 Location-bound VAT warehouse

The supply of goods which are located in the warehouse is zero rated. The warehouse keeper should apply for the license. To obtain a license, an application must be made to the tax authorities. If the supplier or customer of the goods is a non-resident, a fiscal representative must be appointed. There are certain administrative requirements that must be met.

The supply of goods which are brought to or are located in the warehouse is subject to the 0% rate. The goods may be held anywhere in the Netherlands by a VAT warehouse licensee. Basically, this regime can only apply for sales between administrative VAT warehouse owners. Every taxable person can apply for a license. To obtain a license, an application must be made to the tax authorities. If the supplier or customer of the goods is a non-resident, a fiscal representative must be appointed. There are certain administrative requirements that must be met.

7.1.3.2 Administrative (non-location bound) VAT warehouse

When goods are shipped from another EU Member State into the Netherlands to be placed in either VAT warehouse regime, the customer must first account for the intra-Community acquisition in the Netherlands. There is no relief from this obligation and will therefore trigger the obligation to register and report the acquisition for VAT purposes. The same applies for the import alien of goods to be placed under the VAT warehouse regime. The import itself triggers VAT obligations (payment) for the importer.

The VAT warehouse regime can only be applied in case of the supply of certain unfinished products/bulk goods (e.g. goods that need further processing in order to be sold for final consumption). These goods include, e.g., cocoa beans, mineral products, certain chemical products, unrefined sugar, tapioca (see also Annex V of the VAT Directive). For both types of VAT warehouses, the authorities published a separate list of goods that qualify for each regime. If goods are not listed on either list, the VAT warehouse regime cannot be applied.

Participants in transactions within the location bound warehouse do not need to be established or registered in the Netherlands. In case of an administrative (non-location bound) VAT warehouse, a fiscal representative is required if a non-resident taxable person wants to buy or sell goods within this regime in the Netherlands.

- the location-bound VAT warehouse; and
- the administrative (non-location bound) VAT warehouse.

The Netherlands has introduced VAT warehouses for the goods listed in Annex V of the VAT Directive. There are two types of VAT warehouses:

7.1.3.1 VAT warehouse

7.1.3 Warehousing

- import documents stamped by the non-EU customs authorities;
- payment from outside the EU;
- invoices from providers of transport and customs procedures; and
- correspondence with the customer.

The supply of mineral oils which are brought outside the excise warehouse and which are not brought to another excise warehouse, may also be subject to the 0% rate if certain conditions are met.

7.1.3.5 Bonded (customs) warehouse

It is possible to store goods coming from outside the EU in a bonded warehouse before import occurs.

If goods coming from a third country are directly placed under a bonded warehouse regime, no customs duties and VAT become due. When the goods are released from the warehouse for free circulation, duties and VAT become due. The importer who declares the goods into free circulation becomes responsible for the payment of the VAT.

The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The sale of goods while still in bond is subject to the zero rate of Dutch VAT (Table II(a)(2) of the Dutch VAT Law). Evidence that the sales took place in the bonded warehouse should be kept in files (i.e. list of transactions from the warehouse keeper, customs documents, the agreements, the invoices, etc.). Certain services related to bonded goods are also subject to the zero rate of Dutch VAT.

7.2 Exemptions without right to deduction

7.2.1 Exemptions in the public interest

Certain hospital services, medical and paramedical care, cultural activities, ambulance services, services rendered by undertakers, educational services, services of a cultural or social nature, some services connected with sports, etc., are examples of exemptions in the public interest. Some exemptions, however, are granted on the condition that the supplier is a non-profit institution and/or on the condition that no distortion of competition will occur as a result of the exemption.

7.2.2 Other exemptions

The other exemptions are financial and banking services, insurance services, management of collective investment funds, certain games of chance, postal and telecommunication services, non-commercial activities of public radio and television broadcasting organizations, letting of immovable property, the supply of (old) immovable property, services by employers' or employees' organizations, or by political, religious, charitable organizations, etc.

7.3 Option for taxation

The supply of newly built real estate which has not been used or has been used for less than 2 years, is taxable with VAT. VAT is also due on the sale of a building site. For other supplies and the letting of immovable property, parties may opt to be taxed for VAT purposes. The option for taxable supply and lease is only possible if the purchaser or the lessee is entitled to deduct the VAT on the purchase or rent for at least 90% (for certain taxable persons 0% applies).

It's not possible to opt for taxation for financial services.

8. Liability

8.1 Reverse charges

In the Netherlands there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by foreign entities to taxable persons and legal entities with a Dutch VAT ID number established in the Netherlands. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. There is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in the Netherlands (Article 195 EU VAT Directive).

Joint and several liability also exists in situations where, for example, there is a supply of staff, the lease of means of transportation to private individuals by non-EU established businesses and carousel fraud.

Under the Dutch VAT rules, managing directors of businesses can be held jointly and severally liable for the unpaid taxes of the businesses they manage, unless they submit timely information about the business' inability to pay these taxes as a result of its bad financial situation.

Joint and several liability also exists for businesses that form part of a VAT group that is confirmed in writing by the Tax Authorities. This liability exists for the VAT debts of each member of the VAT group for the entire period that the relevant entity was part of that VAT group. This is one of the reasons why it is relevant to inform the Dutch Tax Authorities in writing when a business no longer forms part of a Dutch VAT group. See also paragraph 1.3.

8.2 Joint and several liability

The supplier must refer to the reverse charge. The following text could be mentioned on the invoice: "*btw verlegd*". This reverse charge must be applied even if the recipient is not established in the Netherlands.

- the supply proceeding the release of the goods from a VAT warehouse regime (see 7.3) .
- 10,000); and
- mobile phones, computer chips, game consoles, laptops, and tablets (if the value of sale exceeds EUR
- telecommunication services performed to other providers of telecommunication services;
- CO2 Emission Rights;
- investment gold;
- immovable property sold by a judgment debtor in a compulsory sale procedure;
- goods provided as security by one taxable person to another in execution of that security;
- old used materials, scrap, waste, and specific services;
- immovable property (when seller and buyer opted to tax the supply);
- staff engaged in the construction sector;
- contractor to a "self-builder";
- construction work in relation to immovable property and shipbuilding, including repair, cleaning, maintenance, alteration and demolition services by a subcontractor for a contractor, and from the

A domestic reverse charge rule applies in the case of the supply of:

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

On the invoice, reference should be made to the application of the reverse charge. A foreign supplier could use the following text on the invoice: "*btw verlegd*, VAT due by the recipient under Article 12, paragraph 3 of the Dutch VAT Act".

The application of this reverse charge is obligatory. It applies to all supplies of goods and services which are subject to VAT in the Netherlands.

In the Netherlands, the reverse charge applies to all domestic supplies of goods and services by non-established taxable persons if the customer is a taxable person resident or established in the Netherlands. The reverse charge also applies if the customer is a legal entity although not a taxable person. The reverse charge does not apply in case the customer is a non-resident company (without a fixed establishment in the Netherlands). The reverse charge also applies if a non-established supplier is registered for VAT in the Netherlands (i.e. has a Dutch VAT ID number).

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

9. Recovery of input VAT

9.1 Non-recoverable input VAT

- The input VAT is not recoverable in case of restaurant and catering supplies;
- Under a standstill provision ('BUIA'), the Netherlands disallows VAT deduction on costs for remunerations in kind, fringe benefits for staff (provision of food and drink, accommodation, sporting and recreational facilities, transport for personal use, etc.), and business gifts and gifts to others who cannot deduct more than 30% of the input tax, where the total value per beneficiary exceeds EUR 227 per year.

9.2 Excess input VAT

Excess input VAT is immediately recoverable and refunded by the tax authorities.

A claim has to be made within 5 years. See also paragraph 10.2.6 "Tax assessment period".

9.3 Capital goods – adjustment periods

- immovable property – 9 years following the year of first use
- movable property – 4 years following the year of first use

From 1 January 2026, an adjustment period for services related to immovable property will be introduced, if the value of the services exceeds EUR 30,000 and the business purchasing the services would normally activate and depreciate the costs for corporate tax or income tax purposes. Also, the Supreme Court (*Hoge Raad*) decided that certain services relating to immovable goods may qualify as a capital good to which the adjustment period applies.

9.4 VAT refund for foreigners

9.4.1 VAT refund to EU taxable persons

The refund application must be submitted electronically through the portal of the tax authorities of the country in which the claimant is established.

Annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is EUR 50. Interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is EUR 400.

Minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is a remainder of the year. Maximum period for making a claim is 1 calendar year. The refund application must be filed in the Dutch, English, or German language.

Deadline for making the claim is 30 September of the year following the year over which a claim is made. It is possible to submit a claim within five calendar years from the end of the calendar year in which the VAT was incurred, but if the claim is filed after the original deadline of 30 September then no appeal can be filed. Supporting documents (e.g. the originals/copies of invoices) are generally not required. However, in certain cases the tax authorities may require additional information.

The tax authorities must issue a decision on the refund claim within four months of receipt of the claim. The period in which the authorities must make a decision, will be extended to six months or eight months when the authorities request additional information.

If a refund is granted, it will be processed within 10 business days and paid to the bank account number provided to the tax authorities. Time limit for appeals is 6 weeks following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court (within 6 weeks after a receipt of the decision on appeal).

The input VAT is not recoverable in case of:

- supplies of goods and services that are not used for business purposes;
- supplies and services acquired or imported in connection with an exempt business activity;
- restaurant and catering; and
- remuneration in kind, fringe benefits for staff (provision of food and drink, accommodation, sporting and recreational facilities, transport for personal use, etc.), and business gifts and gifts to others who are not entitled to more than 30% tax deduction, where the total value per beneficiary exceeds EUR 227 per year.

9.4.2 VAT refund to non-EU taxable persons

The Netherlands does not require reciprocity when refunding VAT to non-EU businesses. In principle, VAT is refunded to taxable persons from all non-EU countries.

To submit a VAT refund request, the foreign taxable person must be registered in the Netherlands. Registration is carried out by completing form “*Aanmelding Onderneming buitenland*” which can be downloaded via the following link: <https://tinyurl.com/2rch7baw>

The refund application form is Form OB 68 issued by the tax authorities (the forms of any other EU Member States are also accepted).

The link where application forms can be downloaded is:
<https://tinyurl.com/bdfjzhez>

The annual minimum limit (for claims that are made for a calendar year or the remainder of a calendar year) is EUR 50. The interim minimum limit (for claims that are made for less than a calendar year but at least 3 months) is EUR 400.

The minimum period for making a claim is 3 consecutive calendar months in one calendar year, unless it is a remainder of the year. The maximum period for making a claim is one calendar year.

The deadline for making a claim is 30 June of the year following the year over which the claim is made. It is possible to submit a claim for up to five calendar years from the end of the calendar year in which the VAT was incurred, but if the claim is filed after the original deadline of 30 June then no appeal can be filed.

The claim must be sent to the following address:

*Belastingdienst Buitenland
Afdeling omzetbelasting
Postbus 2865
6401 DJ Heerlen
The Netherlands*

The following documents must be sent together with a claim:

- declaration of entrepreneurship, preferably from the tax administration in a country where a foreign person is established (maximum 1 year old);
- copies of invoices; and
- copies of import documents.

The tax authorities must issue a decision on the refund claim within 8 weeks of receipt of the claim (application and all supporting documents). If the tax authorities request additional information, the eight week period will be suspended until the claimant has complied with its obligation to provide the necessary information.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

A full VAT invoice must contain the following information:

- date at which the invoice is issued;
- invoice number (sequential);
- VAT identification number under which the supply or service is performed;
- full name and address of the supplier or service provider;
- full name and address of the customer/recipient;
- VAT identification number of the customer when making zero rated intra-Community supplies of goods, or the customer is liable for payment of VAT;
- the date of supply of goods or the period of supply of services as well as the date(s) on which any advance payment falls due if different from the date of invoice;
- the quantity and a clear description of the goods or services supplied;
- the taxable amount;
- the applied VAT rate;
- the VAT amount in Euro;
- in case of self-billing the following reference is required, "factuur uitgereikt door afnemer";
- the reference to the exemption if a supply is VAT exempt;
- the reference to the intra-Community supply if such a transaction takes place;
- reference to the reverse charge (e.g. "btw verlegd") if VAT is imposed on the customer;
- in case of a supply of the new means of transport, the information necessary to determine whether a means of transport is new;
- the reference to the special scheme if any special arrangement is applied, e.g., the reference "bijzondere regeling – reisbureaus" in case of the travel agents' margin scheme; the reference "bijzondere regeling – brutolike goederen" in case the margin scheme for second-hand goods is applied; the reference "bijzondere regeling – kunstvoorwerpen" in case the margin scheme for works of art is applied; the reference "bijzondere regeling – oorwerpen voor verzameling of antiquiteiten" in case the margin scheme for collector's items and antiques is applied; and
- name, address, and VAT identification number of the fiscal representative (if applicable).

<https://tinyurl.com/2wnqjpem>

For additional information please refer to the following link:

- supplies of goods and services that are not used for business purposes;
- supplies and services acquired or imported in connection with an exempt business activity;
- restaurant and catering; and
- remuneration in kind, fringe benefits for staff (provision of food and drink, accommodation, sporting and recreational facilities, transport for personal use, etc.), and business gifts and gifts to others who are not entitled to more than 30% input tax deduction, where the total value per beneficiary exceeds EUR 227 per year.

The input VAT is not recoverable in case of:

Time limit for appeal is 6 weeks following the decision. If this appeal is unsuccessful, the claimant can initiate proceedings before the national court within 6 weeks after receipt of the decision on appeal.

If a refund is granted, it will be made in Euros directly to the claimant or its appointed agent before the end of the above period and paid to a bank account in the Netherlands or the country in which the claimant is established. In the latter case, the claimant must pay bank charges for the transfer.

The standard VAT return is filed quarterly. A domestic taxable person may have to file a monthly VAT return,

10.2.1 VAT return period

10.2 VAT compliance

All public organisations (such as Ministries, municipalities, provinces and non-departmental public bodies) are obliged to be able to receive and process e-invoicing. e-invoices can be submitted to the government in the following ways:

- via the secure Peppol network;
- via the Central Government eInvoicing Portal; or
- via Digipoot which is the ICT center where message traffic for the government is handled.

The taxable person can choose any form for the electronic invoicing as long as the authenticity of origin, integrity of content and readability are guaranteed. A PDF is possible. A customer is allowed to refuse an electronic invoice.

10.1.8 Electronic invoicing

Invoices can be stored in any form. The authenticity of origin, integrity of content and readability must be guaranteed during the storage period. When taxable persons store invoices by electronic means, the tax authorities must have the right to access those invoices, and to download and use them by electronic means, if the tax authorities need them for auditing purposes.

Invoices and other documents need to be stored for 7 years. Invoices relating to immovable property and electronic services must be stored for a period of 10 years.

10.1.7 Storage of invoices

It is possible to issue a simplified invoice if the amount of the invoice is not higher than EUR 100 or the invoice issued is a document or message which changes the initial invoice and a specific and unambiguous reference to the initial invoice is made with a specific mention of the details that are amended.

- date of issue;
- identity of the supplier of the goods and/or services;
- type of goods or services supplied;
- the VAT amount payable in Euro or the information needed to calculate it; and
- specific, unambiguous reference to the initial invoice and the details that are being amended (on a credit note, debit note or other document treated as an invoice).

A simplified invoice must contain the following information:

10.1.6 Simplified invoice

Under Dutch VAT legislation, self-billing is allowed in case there is an agreement between the two parties (for instance a contract or written agreement).

10.1.5 Self-billing

When computing the amount of VAT into Euros, the amount in foreign currency must be converted into Euros using the last official conversion rate of the Dutch National Bank or European Central Bank on the day the VAT became due.

10.1.4 Conversion and exchange rate

It is allowed to issue invoices in a foreign currency. The VAT amount must be in Euros.

10.1.3 Currency

An invoice needs to be issued before the 16th day of the month following the month in which the supply or service was rendered. For continuous supplies of services at least once per year an invoice must be issued. The VAT is due in the month the invoice is issued. If the invoice is issued too late or not at all, the VAT is due in the month the invoice should have been issued. This does not apply for services to which the reverse charge of Article 196 applies.

10.1.2 Time limits

if the quarterly VAT returns are frequently filed late, or at the request of the taxable person. A foreign taxable person may also apply for monthly filing. An annual return can only be submitted if:

- the annual amount of VAT due is less than EUR 1,883;
- the intra-Community supplies and acquisitions do not exceed the yearly threshold of EUR 10,000;
- the taxable person is not a legal person; and
- the taxable person does not have an import VAT deferment license.

VAT returns must be submitted electronically.

10.2.2 Filing of VAT return and payment

The VAT due has to be received on the bank account of the tax authorities by the last day of the month following the reporting period (i.e. the VAT due for the second quarter of 2025 must be received by the tax authorities by 31 July 2025). The same deadline applies for the VAT return.

Foreign taxable persons must pay the VAT by the last day of the second month following the reporting period (i.e. the VAT for the second quarter of 2025 must be received by the tax authorities by 31 August 2025). The same applies for the VAT return.

Further information can be downloaded at the following link: <https://tinyurl.com/4d42yzk6>.

10.2.3 Additional VAT returns ('supplies')

Within 8 weeks from the moment as a taxable person establishes that he underpaid or overpaid VAT in the last 5 calendar years, he has to file an additional VAT return to adjust this mistake. Not filing an additional VAT return, or not filing it in time, can result in penalties. The VAT amount due may be increased with interest.

If the amount that needs to be adjusted for a specific taxable period does not exceed EUR 1,000, the adjustment can be included in the VAT return for the current taxable period. Also see section 10.3.4.

10.2.4 European sales listing

A European sales listing must be submitted on a monthly basis if the intra-Community supply of goods exceeds EUR 50,000 in the current quarter or has exceeded the threshold in any of the four preceding quarters. The European sales listing for services can be submitted on a quarterly basis, regardless of the period for the intra-Community supply of goods.

European Sales Listings must be submitted electronically.

Further information can be downloaded at the following link: <https://tinyurl.com/ydj23f4j>.
<http://bit.ly/IRp4xcwW>

10.2.5 National recapitulative statement

There are no national recapitulative statements in the Netherlands.

10.2.6 Tax assessment period

The tax assessment period or statute of limitations in the Netherlands is 5 years excluding the current year. This means that in the year 2025, the last open year for assessments (payable or reclaimable VAT) is the year 2020.

10.3 Penalties

The Dutch tax authorities are able to impose two types of penalties: default and offense penalties. Offense penalties can only be levied in case of gross negligence or intentional act. Once a choice is made for either a default or offense penalty, the authorities cannot impose the other type of penalty as well for the same fact. Next to tax penalties, in case of e.g. fraud the authorities can decide if they proceed instead with criminal offense charges and proceedings. In case the authorities impose a penalty the tax payer can appeal against the decision to impose a penalty.

10.3.1 Default penalties for late registration

When a company becomes liable for VAT in the Netherlands, it needs to register for VAT immediately and inform the authorities. When the company does not fulfill this obligation and as a result the authorities are not able to collect VAT, the authorities are entitled to assess a penalty for late registration. They can choose between a default and an offense penalty. The tax authorities can issue a default penalty of not more than EUR 6,09. When the tax payer can prove that the non-compliance is not his fault, no penalty is applicable. Usually in case of (retroactive) voluntary correction, the default penalty is mitigated to a smaller amount or sometimes even to nil. If the authorities want to assess an offense penalty, they must prove that the non / late registration constitutes gross negligence (see for the offense penalty paragraph 10.3.5).

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If the VAT return is not filed on time, the penalty is usually EUR 68 per return not filed or filed late. In exceptional cases this can be increased to EUR 165. A return is considered late if the return is received by the authorities more than 15 days after the legal deadline of that return.

Penalties for the European sales listing depend on the type and frequency of offenses. A distinction is made between not filing in time, not reporting all or incorrect customer VAT numbers, and not reporting correct amounts of intra-Community supplies. If the European sales listing is not filed on time or correctly, the tax authorities can issue a penalty of EUR 167 for a first offense (2.5% of EUR 6,709). For a second or third offense, it is EUR 335 (5%). For a following offense, it is EUR 1,67 (25%). In exceptional cases, the penalty can be increased to EUR 6,09.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

VAT due on the VAT return is payable within the deadline (see paragraph 10.2.2). If the money is received by the authorities more than 15 days after the deadline, then a penalty applies. If the VAT is not paid on time or not paid at all, the tax authorities can issue a penalty of 3% of the VAT due or the amount not received, starting at a minimum of EUR 50 and a maximum of EUR 6,09. If the VAT due is paid within 15 days after the date it should have been paid and the VAT of the previous VAT return was paid on time, in principle no penalty will be issued.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT return mentions the wrong amount of VAT due, an incorrect VAT return is filed. In case of underpayment of VAT the authorities will issue a VAT assessment to collect the unpaid VAT and a default penalty for filing a wrong VAT return.

The taxpayer is obliged to inform the tax authorities as soon as he discovers he made an error in a previous return (within the statute of limitation of 5 years), and at least within 8 weeks after establishing the error. For errors in excess of EUR 1,000 a separate additional VAT return has to be filed. Failure to notify the authorities of underpayment of VAT can be punished with an offense penalty of 100%.

If the VAT is paid on the basis of a voluntarily disclosure, only a default penalty is applied of 5% with a maximum of EUR 6,09 in the following cases:

- the voluntarily disclosure leads to an amount of VAT payable of more than EUR 20,000; and
- the amount of VAT payable is more than 10% of the amount previously reported for the respective VAT period.

A voluntarily disclosure should relate to a calendar year at the most. If the voluntary disclosure relates to more years, the tax inspector can apply penalties per year. In some cases, the authorities can decide not to apply penalties.

10.3.5 Offense penalties

In case of gross negligence, intentional act or fraud, a minimum penalty of 25% can be levied. In case of intentional act, 50% can be levied. In case of fraud the penalty is increased to 100%. The Dutch tax authorities may also decide to prosecute for a criminal offence.

Besides penalties, the Dutch tax authorities levy interest which is currently 6.5%.

10.4 Intrastat

In the Netherlands, a separate monthly Intrastat return needs to be submitted to the Statistics Netherlands (CBS) by the 10th working day of the month following the reporting month. Some companies who exceed the threshold and have to report acquisitions of goods in the Netherlands are relieved to file monthly returns as the CBS obtains its information via other sources (VAT authorities). These companies need to file a yearly return in November.

10.4.1 Intrastat threshold

There is no threshold for filing Intrastat returns in the Netherlands. Intrastat returns only have to be filed by a business if it is asked to do so by Statistics Netherlands (CBS).

10.4.2 Intrastat data to be reported

The information which needs to be reported for both the arrivals and the dispatches is the following:

- VAT number supplier;
- if used, VAT number of third party declarant;
- reference period (i.e. the reporting month);
- EU Member State of dispatch or destination;
- country of origin
- nature of the transaction (e.g. purchase, sale, return of goods, repair etc.);
- means of transport, for instance "by road" or "by sea";
- HS Code (8-digit harmonized commodity code according to Combined Nomenclature (CN));
- statistical value;
- partner ID: VAT ID number of the customer;
- quantity of the goods (i.e. net weight in kilograms);
- other measure for certain goods (liters, m² or number of pieces); and
- invoice value of the goods.

When Intrastat reports are not filed, reminders are sent by the authorities. If these reminders are ignored the penalty can go up to EUR 16,000. In special situations a penalty can be imposed up to EUR 500,000.

It is also obligatory to report distance sales if Intrastat reports must be filed.

10.5 Additional compliance requirements

There are no additional requirements.

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Norway is not a Member State of the European Union (EU) and thus, EU VAT Law such as Directives and Regulations do not apply. Consequently, even though the Norwegian VAT legislation is based on the same basic principles as the VAT system in the EU Member States, Norwegian VAT rules and interpretation of the rules differ in many areas from EU VAT Law and its interpretation by the Court of Justice of the European Union.

A VAT system was introduced in Norway in 1970. The legislation was little changed until 2001, when a VAT Reform broadened the taxable transactions and introduced general liabilities to charge VAT on services. Over the years, the VAT legislation had become out of date, and in 2009 a new VAT Act was passed by the Norwegian Parliament, Stortinget, and the new VAT Act became effective on 1 January 2010. VAT is referred to in Norway as "merverdiavgift" or "MVA".

The main act relating to VAT in Norway is the Value Added Tax (VAT) Act of 19 June 2009 No 58 (in Norwegian, *Merverdiavgiftsloven*).

Simultaneously, important rules were enacted and compiled in the VAT Regulation of 15 December 2009 No 1540 (*Merverdiavgiftsforskriften*), which provided for more detailed regulations on specific fields of legislation. The regulation uses the same numbering system as the VAT Act, and usually it is possible to find relevant rules in the regulation by comparing it with the same rules in the VAT Act. For example, § 2-1 of the VAT Act relates to the rules on the obligation to register for VAT. Sub-chapters 2-1 and § 2-1-1 of the VAT Regulation provide more detailed rules concerning the registration.

Important rules applicable for VAT are also prescribed in the Bookkeeping Act of 19 November 2004 No 73 (*Bokføringsloven*), the Bookkeeping Regulation of 1 December 2004 No 1558 (*Bokføringsforskriften*), the Tax Collection Act of 17 June 2005 No 67 (*Skattebetalingsloven*) and the Tax Collection Regulation of 21 December 2007 No 1776 (*Skattebetalingsforskriften*). When importing goods to Norway from abroad, important rules can be found in the Customs Act of 21 December 2007 No 119 (*Tolloven*) and the Customs Regulation of 17 December 2008 No 1502 (*Tollforskriften*). On 1 January 2017 the Tax Administration Act of 27 May 2016 No 14 entered into force. This act governs rules concerning the tax administration, VAT Audits, penalties, complaints etc.

Norway has specific and separate legislation outside the VAT Act that provides compensation to public bodies, municipalities, etc. and to certain private businesses for VAT paid to its contractors. Such legislation is set out in the VAT Compensation Act of 12 December 2003 No 108 (*Lov om kompensasjon av merverdiavgift for kommuner, fylkeskommuner mv*) and the VAT Compensation Regulation 12 December 2003 No 128 (*Forskrift om kompensasjon av merverdiavgift til kommuner, fylkeskommuner mv*).

The purpose of this legislation is to compensate these institutions for VAT paid to its contractors and to provide neutrality for these institutions between buying goods and services from VAT-registered businesses and providing (producing) such goods and services themselves.

1. Taxable persons

1.1 Registration threshold & SME scheme for domestic taxable persons

Persons engaged in trade or business whose taxable supplies and withdrawals (private use) exceed NOK 50,000 (approximately EUR 5,000) over a period of twelve months, are liable to register for VAT and charge VAT on their sales and pay the VAT to the state. For charitable or non-profit institutions and organisations, the registration threshold is NOK 140,000 (approximately EUR 14,000). Sales by commission are considered to be supplies both by the principal and the commission agent. In the case of sales by auction, VAT shall be calculated and paid by the auctioneer.

As of 1 January 2017, the rules regarding VAT representation were modified for foreign businesses established in countries that Norway has a Tax Cooperation and Enforcement agreement with. Today this includes most EU Member States and the UK. The agreement with UK has been upheld also after Brexit.

A business with taxable supplies in Norway that does not have its registered place of business or residence in Norway must register through a VAT representative. The representative must have his registered place of business or residence in Norway. Both the foreign business and the representative will be jointly and severally liable for the calculation and payment of the VAT.

1.4 Fiscal representative

The companies in the group will only have one VAT identification number but may have separate business registration identification numbers. The group of companies will file a single VAT return for the group as a whole.

Accepted to take part in a VAT group.

Transactions between these companies. Pure holding companies and branches of foreign companies may be the application is sent. When entities are registered as a VAT group, there will be no VAT chargeable on VAT Authorities. If approved, the group registration becomes effective as of the VAT period of the date Norway. Companies that are separate legal entities and want a group registration must apply to the Norwegian VAT system (i.e. registered for Norwegian VAT) regardless of the nationality of the owner(s), even if the company is not established in the group registration is available for each company subject to the Norwegian VAT system (i.e. registered companies that participate in a VAT group shall be jointly and severally liable for the payment of the VAT. in each company is owned by one or more of the cooperating companies. VAT grouping is optional. All Two or more cooperating companies may be registered as one taxable person if at least 85% of the capital

1.3 VAT grouping

Generally, a taxable person must document that he has exceeded the registration threshold when applying for a VAT registration. This is a very impractical solution.

Foreign taxable persons trading goods with private individuals in Norway (B2C) over the internet, may also be liable to register and charge VAT. See Paragraph 3.3 regarding VAT on Electronic Commerce for more information.

Paragraph 1.4 regarding fiscal representation.

Person is required to appoint a fiscal representative or if certain conditions are met register directly. See also exceeded the registration threshold (see also paragraph 1.1). In these circumstances, the foreign taxable Taxable persons without a fixed establishment in Norway are also liable to register for VAT if their sales

Special forms are required to register for VAT purposes. The different registration forms may be downloaded from the website of the Central Coordination Register from the Brønnøysund Central Registration Office (www.brreg.no). Confirmation of VAT registration usually takes two to four weeks.

The VAT number is identical to the organization number and must be followed by the letters MVA.

For Legal Entities (Enhetsregisteret) thereafter a VAT registration must be completed with the VAT register. is a two-step process. First an organization number must be obtained from the Central Coordination Register (EUR 5,000), see paragraph 1.1, he is liable to register for VAT in Norway. The VAT registration in Norway taxable persons. If a taxable person has taxable supplies above the registration threshold (i.e. NOK 50,000 Foreign taxable persons with a fixed establishment in Norway are subject to the same obligations as domestic

1.2 Registration threshold & SME scheme for foreign taxable persons

In addition, there are special rules for the estate of a deceased person, estates in bankruptcy and cooperative businesses. Multiple enterprises that are operated by one owner must be registered as one taxable person. The tax authorities may decide to grant a part of a taxable person to be a separate taxable person for VAT purposes, provided that these activities are physically and formally separated from the rest of the business.

Pursuant to this set of rules, foreign businesses established in any of the above-mentioned countries may opt for a direct registration from 1 April 2017 or appoint a local VAT Representative. From 2013 the VAT representative is no longer jointly and severally liable with the foreign business for the correct payment of the VAT for businesses established in these countries. The background for the new rules is that Norway has concluded Mutual Assistance Agreements with these countries with respect to the enforcement of the collection of taxes and that the EFTA Surveillance Authority (ESA) ordered Norway to liberalize its rules on VAT representation.

If the foreign business opts for direct registration, the business must maintain separate accounts for the Norwegian business activities and accounting material must be stored in Norway. It is, however, possible to be granted exemptions from these rules.

For businesses established in other countries, a VAT Representative is still required and the VAT representative is jointly and severally liable for the correct payment of the VAT. The VAT representative will also be jointly responsible for compliance with the bookkeeping rules and the filing of the VAT return.

1.5 Simplified registration procedure for providers of electronic services and providers of electronic communication services

Foreign providers of electronic services, including electronic communication services covered by § 3-30 Subsections (4) and (5) of the VAT Act, must register for VAT when the registration threshold of NOK 50,000 (approximately EUR 5,000) is exceeded. When such electronic services are supplied by a foreign supplier to non-taxable persons (private individuals) who reside in Norway, the foreign supplier is obliged to register and charge and pay VAT on the supply. The same applies to other services when they are supplied or mediated by a provider of the electronic services by means of electronic communication and the consideration is collected by such provider. In the case of electronic communication services that are performed via a fixed terminal located in the VAT Area (the mainland of Norway and Norwegian Territorial water, excluding Spitzbergen, Jan Mayen and the Norwegian dependencies), VAT shall be payable even if the customer of the service is not resident in the VAT area.

These suppliers can use a simplified registration platform available from the website of the Norwegian VAT Authorities, www.foresnorway.com. It is also possible to submit quarterly VAT returns through this website.

1.6 Voluntary VAT registration and pre-registration

Taxable persons and public entities that let out buildings or hire out plants may voluntarily register for VAT if the building or plant is used by a taxable person involved in a VAT-registered business. Also, certain other enterprises involved in letting out real estate may opt for a voluntary registration for VAT.

A taxable person who has not reached the registration threshold of NOK 50,000 (approximately EUR 5,000) can apply for an advanced registration or pre-registration if he has substantial purchases that are directly related to subsequent taxable supplies or his taxable supplies will commence.

1.7 Second-hand goods, works of art, collectors' items and antiques

For the sale of second-hand goods, works of art, collectors' items and antiques, a special scheme is applicable. According to this scheme, the taxable amount of the supplies of second-hand goods, etc. shall be the profit margin made by the supplier, less the amount of VAT relating to the profit margin.

The taxable dealer may, according to these rules, not show separately on the invoice the VAT relating to the supply of goods that he makes under the special margin scheme. The same applies on any other documents serving as an invoice. The customer will, in these situations, not be able to deduct the VAT. Thus, the regulation allows the supplier alternatively to apply the normal VAT rules to any supplies covered by these special arrangements.

Where the supplier uses both normal and special arrangements, the taxable dealer must specify in his accounts the particular transactions falling into each of these arrangements.

2. Taxable transactions

2.1 Transfer of business

The transfer of stock and other assets that are linked to the transfer of a business or part of a business to a new proprietor is an exempt transaction with a right of deduction (zero-rated).

2.2 Supplies free of charge

Norway is not an EU Member State, thus EU legislation rules regarding supplies free of charge does not apply. Supplies supplied free of charge may be subject to the ordinary VAT rate and payable by the supplier, based on the general rules at the full market value of the goods and services. See also paragraphs 5.3 and 9.1) Similarly, as a general rule, there is no right of deduction of input tax on goods and services supplied free of charge for private use, as gifts and marketing purposes.

Goods supplied as a gift or for marketing purposes for free, with a value of less than NOK 100 (approx. EUR 9) may be supplied without charging VAT while the right of deduction is maintained (see also 9.1).

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

Norway is not an EU-Member State and thus no rules apply similar to those of the EU member states exempting such transactions.

In Norway, such situations will be governed by the ordinary import and export rules according to the customs regulations. The transaction, provided the goods are not imported, could also be considered to take place outside Norway, for example, if the transaction takes place in a customs warehouse or in a free trade zone.

For the B2C sale and the importation of low value goods through the internet, please see paragraph 3.3 - Distance sales threshold – VOBEC (VAT on Electronic Commerce)

2.3.2 Postponed accounting on importation

A deferred payment of VAT on imported goods by VAT registered businesses (taxable persons) applies in Norway. VAT is therefore not payable to the customs authorities at the time of importation by taxable persons. The fact that the import VAT is reported through the VAT return has a positive cash flow effect, as the import VAT is now reported and deducted in the same VAT return.

Other importers (non-taxable persons, public bodies or private individuals) will have to pay the VAT to the customs authorities at the time of importation of the goods.

2.4 New rules for customs clearance of imported goods from 1 April 2025

From 1 April 2025, importers of goods, transport companies and freight forwarders must report the entry of the transport vehicle, train, ship or airplane electronically to the customs authorities via a new electronic portal "Digital". It is recommended that businesses being affected by the new rules should seek professional advice in due time before the new rules enter into force.

3. Place of supply

3.1 Consignment and call-off stock

There are no simplification rules that apply to consignment or call-off stock in Norway. Normal Norwegian rules apply. The supply will be regarded as a domestic supply of goods by the foreign taxable person. The

foreign taxable person is required to register for VAT in Norway. Under call-off and consignment stock rules, both the consignee and the consignor may be held jointly liable for paying the VAT on the supply.

Sales taking place within a customs warehouse or customs-free zone may be considered exempt from VAT. When goods are taken out of the warehouse, the goods must be declared for customs by the importer.

3.2 Installation supplies

There are no VAT simplification measures in place for installation supplies. Providers of a supply of goods with installation or assembly are, in principle, liable to register for VAT in Norway and charge and pay Norwegian VAT. Although some simplifications may be possible under the customs legislation.

3.3 Distance sales threshold – VOECC (VAT on Electronic Commerce)

EU rules on distance sales do not apply to Norway because Norway is outside the EU. Goods must normally be declared for customs and VAT must be paid by the importer upon entry of the goods into Norway.

However, from 1 April 2021, Norway introduced a liability to register and pay VAT for foreign taxable persons selling goods to private persons on the internet. The obligation applies when the supplier supplies goods to customers in Norway above the general registration threshold of NOK 50,000 (approximately EUR 5,000). Suppliers with sales below the threshold, can opt to register to benefit from the simplified import formalities procedures.

The above-mentioned suppliers involved in internet sales, can either register in the ordinary VAT Register, or opt to register under the simplified procedures in the electronic portal VOECC (VAT on Electronic Commerce). The VOECC rules apply to the sale of goods where each item sold has a value of less than NOK 3,000 (approximately EUR 300), VAT, freight and insurance etc not included. The exemption also includes duty free import for customs duties. Among products that are covered by the exemption are clothes, textiles, footwear etc, which normally would be subject to high customs tariffs. The exemption does not include foodstuff, tobacco, alcoholic or non-alcoholic beverages, and other goods subject to excise duties or restrictions (drugs, pharmaceuticals, weapons etc). By using the VOECC-rules, the seller collects the VAT from the customer and pays the VAT to the authorities via the portal quarterly.

Traders registered under VOECC benefit from simplified customs procedures upon import.

The VOECC does not apply to products with a value above NOK 3,000 (approximately EUR 300). In these cases, the normal customs procedures must be followed and VAT, excise duties and customs duties have to be paid by the importer. The VOECC simplifications do not apply to business to business (B2B) transactions. If the seller has both sales under VOECC and outside VOECC (B2B) it is assumed that he cannot use VOECC.

More information on the VOECC is available from the Norwegian Tax Authorities WEB-portal www.skatteetaten.no.

When VOECC was introduced, the threshold for the duty-free importation of low value goods (goods with a value of less than NOK 350 per consignment) was abolished. As of the introduction, VAT and duties must be paid from the first NOK.

The simplification rules for gifts from private individuals abroad to private individuals resident in Norway with a value of less than NOK 1,000 (approximately EUR 100) per consignment, is still valid.

3.4 Simplified triangulation rules

EU simplified triangulation rules do not apply because Norway is not an EU Member State. No other simplification rules apply to chain supplies in Norway.

3.5 Acquisition threshold

No threshold with regard to intra-Community acquisitions applies because Norway is outside the EU.

3.6 Effective use and enjoyment

Norway does not apply the effective use and enjoyment rules pursuant to EU VAT Directives. It is important to note that Norway does not have clear place of supply or taxation rules similar to the EU. There are however many elements in Norway's VAT provisions reflecting an effective use and enjoyment principle.

In this respect, the Norwegian VAT rules may differ in many areas from the rules that apply within the countries of the EU, in particular where EU VAT Directives shift the obligation to pay and report VAT to the customer of the service, described as 'reverse charge'. Due to the differences between the Norwegian and the EU VAT systems, situations with double taxation or non-taxation of certain services may occur.

4. Chargeable event and chargeability of VAT

4.1 Principles

VAT is due when the taxable event takes place. This will usually be when the goods or services are delivered. According to good accounting standards an invoice shall be issued within 1 month of the supply.

Supplies of goods and services that are invoiced on a monthly basis can be invoiced within the first 15 days of the month after the month of supply.

4.2 Advanced payments – VAT

For the supply of taxable goods and services the main rule is that it is prohibited to make an invoice with VAT before the supply has taken place. There are a few exemptions from the main rule.

For supplies that are not subject to VAT there is no limitation for issuing an invoice before the supply takes place.

4.3 Continuous supplies

Ongoing supplies of services (and related goods) shall be invoiced within 1 month of the expiration of the said bi-monthly reporting period. If invoicing is subject to down payments in a tender or similar arrangement, the invoicing and stipulation of the taxable period, could be according to the down payment plan.

Certain services (electricity, telecom- and electronic services, and similar) based on actual consumption, may be invoiced for a longer period, limited to one year.

4.4 Cash accounting

Norway does not have specific rules for cash accounting.

5. Taxable amount

5.1 Bad debt relief

Bad debts can be corrected if an outstanding claim is, finally, deemed to be a loss due to the debtor's insolvency. In practice, the right to reduce the output tax on the lost claim can be made when the taxable person has taken reasonable measures to collect the debt.

A bad debt relief claim is made in the bi-monthly VAT return in the period when the loss is claimed. No specific evidence is required other than some type of proof that the taxable person has tried to collect the debt.

5.2 Cash discounts

Pursuant to Norwegian VAT and bookkeeping rules, VAT on cash discounts can be deducted/corrected in the accounts of the customer and seller to the extent the cash discount becomes effective. It is not required to issue a credit note.

5.3 Open Market Value

Norway does not have rules that are similar to the EU's Open Market Value rules (Art. 80 of the EU VAT Directive) though the taxable amount may be corrected in the case of gifts and close relationships.

5.4 Returnable packing

Norway does not have specific VAT rules for returnable packaging.

6. VAT rates and exemptions

6.1 Standard rate

The standard VAT rate is 25%.

6.2 Reduced rate

A reduced rate of 15% applies to foodstuffs. The reduced rate does not apply to medicine, tobacco products, alcoholic beverages or water from waterworks. Nor does the reduced rate apply to foodstuffs that are part of catering services, or supplied in restaurants, etc.

From 1 May 2025 the reduced rate of 15% would also apply to water from waterworks and sewage fee. (the change was decided by the Parliament in December 2024 and with a planned date of entry of 1 May 2025).

A reduced rate of 12% applies to the following services:

- passenger transport;
- transportation of vehicles on vessels (ferry);
- letting out of rooms in hotels or similar enterprises or letting out of cabins, camping areas, etc;
- admission to cinemas;
- television license fees; and
- admission to museums, galleries, amusement parks, sporting events, etc.

7. Exemptions

7.1 Exemption with right of deduction (zero rate)

In Norway, many supplies of goods and services are exempt from VAT, but with the right of deduction of input VAT (zero-rated supplies). The exemptions may be conditional. However, it is not possible to outline those conditions in detail within the framework of this publication.

Zero-rated supplies of goods and services include for instance:

Domestic supplies

- books, newspapers and periodicals, etc.;
- electronic news media services;
- certain advertising publications;
- electricity for households in northern Norway;
- second-hand cars;
- ships and seagoing vessels of at least 15 metres in length;
- goods and services for such ships and seagoing vessels;
- oil rigs and pipelines;
- goods and services for use in petroleum activities;
- aircrafts for use in commercial aviation;
- goods and services for aircrafts in commercial aviation;

- foreign embassies and supplies to NATO or other foreign military services;
- transfers of undertakings;
- certain biological materials to hospitals, etc.;
- funeral services;
- workplace canteens;
- certain goods for scientific use;
- "Cross border" supplies of goods and services;
- tax-free sales to tourists;
- international transport services;
- certain services provided by intermediaries;
- certain warranty or guarantee repairs; and
- electronic news media services (electronic newspapers)

Vehicles with electric propulsion

Up until 1 January 2024 vehicles with electric propulsion were exempted from VAT. From 1 January 2024, only the sales price up to NOK 500,000 (approx. EUR 50,000) is exempt. For the part of the sales price exceeding NOK 500,000, 25% VAT applies pursuant to § 6-8 of the VAT Act.

7.1.1 Intra-Community supplies

Norway is not an EU-Member State and thus there are no possibilities of intra-Community supplies. All cross-border transactions with Norway are regarded as export-import transactions.

7.1.2 Export Supplies

Norway is not an EU-Member State and thus no rules apply similar to those of the EU Member States exempting such transactions.

In Norway, such situations will be governed by the ordinary import and export rules according to the customs regulations. A supply, provided the goods are not imported, may also be considered to take place outside Norway, for example, if the supply takes place in a customs warehouse or in a free trade zone.

For B2C sales and the importation of low value goods through the internet, please see chapter 3.3 - Distance sales threshold – VOBEC (VAT on Electronic Commerce).

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Norway has not introduced a VAT warehousing regime. It is not possible to operate a VAT warehouse in Norway. However, several types of customs warehouses are available (see also paragraph 2.3.2 on deferred payment of the VAT on imports).

7.1.3.2 Excise warehouse

Norway has not introduced excise warehousing.

7.1.3.3 Bonded (customs) warehouse

It is possible to apply for a license to operate several types of customs warehouses and free-trade zones in Norway. The license is issued by the customs authorities.

There are no general restrictions on who may be granted a license or the type of goods that can be stored in a customs warehouse or a free-trade zone. However, the customs authorities may set conditions for issuing such licenses.

In Norway there are four different types of customs warehouses:

- Type A customs warehouse (general warehouse);
- Type B customs warehouse (central warehouse);
- Type C customs warehouse (duty-free sales at airports); and
- Type D customs warehouse (processing warehouse).

7.2 Exemption without right of deduction

Several supplies of goods and services are exempt from VAT. Suppliers of these goods and services are not entitled to register or to deduct input VAT.

7.2.1 Exemptions in the public interest

Such goods and services include:

- health care services;
- cosmetic surgery which is needed from a pure medical need;
- social security services;
- educational services;
- exercise of public authority; and
- intra-governmental services.

Alternative treatment and cosmetic surgery services are taxable at the standard rate.

Other exemptions

Such goods and services include:

- financial services;
- supply and letting out of immovable property (option to tax for the letting out of immovable property, see 7.3 below);
- admission to sports events and certain sports services;
- admission to cultural events and certain goods and services supplied by artists;
- sales by charitable institutions or organisations of goods and services of insignificant value, etc;
- sales by non-profit organisations or associations;
- lottery services;
- funeral services;
- management services by housing associations;
- postage stamps, notes and coins as collectors' items; and
- offsetting emission allowances.

7.3 Option for taxation

Such goods and services include:

- letting of immovable property;

8. Liabilities

8.1 Reverse charges

Norway is not a Member State of the EU and, thus, reverse charge rules do not comply with the reverse charge rules in force in the EU Member States.

8.1.1 Reverse charge mechanism – B2B services

Reverse charge is in the Norwegian VAT legislation indicated as “snudd avgjøring”.

Norway applies a limited system of reverse charge on the supply of certain services from abroad. In reverse charge situations, the Norwegian customer of the service must report and pay the VAT on the purchased services. According to the Norwegian VAT Act, businesses and public authorities located in Norway must pay VAT on all purchases of services “capable of delivery from a remote location” from businesses located abroad. This wording is used in the official translation of the VAT Law. Norway applies a special interpretation of what is a remotely supplied service. The obligation to pay VAT arises if the customer is a taxable person or a public body residing in Norway and the service is taxable in Norway. The services covered are similar to the services listed in Article 59 of the EU VAT Directive (so-called “intangible services”). In the Norwegian VAT Law, the purchase of these services is classified as an “import of services” and the sale of such services to a foreign taxable person is classified as a zero-rated “export of services”.

A special reverse charge system also applies to electronic services and electronic communication services (see also paragraph 1.5).

8.1.2 Reverse charge mechanism – non-resident suppliers

Norway has no reverse charge system applicable for the supply of goods by non-residents. Therefore, if goods (located in Norway) are supplied by a non-resident supplier to a Norwegian customer, the non-resident supplier must be registered and charge Norwegian VAT, provided that the registration threshold of NOK 50,000 (approximately EUR 5,000) is exceeded. For services the general rules for supply of services apply.

8.1.3 Reverse charge mechanism – supply of natural gas and electricity

No reverse charge applies to the supply of natural gas or electricity by non-residents. If a non-resident supplier makes domestic supplies of natural gas or electricity, the non-resident supplier must register for VAT and charge Norwegian VAT, when the registration threshold of NOK 50,000 (approximately EUR 5,000) is exceeded.

8.1.4 Reverse charge mechanism – specific domestic rules

As an anti-fraud measure Norway has introduced a reverse charge on the domestic supply of emission allowances (effective 26 March 2010) and gold (effective 1 January 2014).

8.2 Joint and several liability

Norway applies a joint and several liability for fiscal representatives, see section 1.4, and in a VAT Group.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

In general, input tax is deductible from the output tax. Input VAT is not deductible on the following items:

- catering;
- costs relating to hiring out rooms in connection with catering;
- works of art or antiques;
- representation or business entertainment;
- gifts, goods and services for advertising purposes;
- buildings, cabins, etc. that are to serve as housing or welfare needs; and
- goods or services related to the use or ownership of passenger vehicles.

If an acquisition is for mixed use in taxable and non-taxable activities, rules of apportionment apply. The basis for the apportionment for recovering input tax is the expected use of the goods or services in the part of the enterprise having taxable activities. For certain business areas, there are simplification rules applicable.

9.2 Excess input VAT

Excess input VAT, for example, when the deductible input tax is higher than the output tax in a VAT period, shall be paid back by the VAT authorities within 3 weeks of the receipt of the VAT return. If the payment is not made within this time limit, the taxable person may under certain conditions be entitled to interest. On certain conditions, shorter VAT periods may be granted.

9.3 Capital goods – adjustment periods

Special rules apply to the adjustment or deduction of input tax on capital goods and immovable property as follows.

Capital goods are defined as machinery, fixtures and other operating assets for which the deductible input tax on the cost price is NOK 50,000 (approximately EUR 5,000) or higher. Adjustment rules also apply to immovable property that has been subject to new construction, extension or alteration work for which the input VAT on the costs amounts to at least NOK 100,000 (approximately EUR 10,000).

The applicable adjustment periods are:

- immovable property - 10 years
- capital goods - 5 years

9.4 VAT refund for foreigners

9.4.1 VAT refunds to EU and non-EU taxable persons

A VAT refund system for foreign taxable persons was introduced as of 1 July 1996. Foreign taxable persons are entitled to a refund of the VAT on goods and services that they buy in Norway, or on goods they import into Norway. The Norwegian legislation on VAT refunds to foreign taxable persons does not make a distinction whether the taxable person is established in the EU or outside the EU. A Norwegian VAT refund may, however, be subject to reciprocity. So far reciprocity has not been required and refunds are granted to businesses established in countries without a refund scheme. VAT refunds will also be granted to taxable persons from countries that do not have a VAT system such as the United States.

A VAT refund is subject to the following conditions:

- the foreign taxable person does not perform any activities from which the liability to register for VAT in Norway arises;
- the business activity of the foreign taxable person would have been liable to VAT in accordance with the VAT Law if it had been carried out in Norway; and
- the VAT would have been deductible if the activity of the foreign taxable person would have been carried out in Norway.

The right of refund is otherwise mainly in accordance with the right of deduction for input tax (see paragraph 9.1). An application for refund of the Norwegian VAT must relate to a period of not less than 3 months and not more than a calendar year. The application must relate to goods and/or services imported or supplied during the application period.

The application must be submitted no later than 6 months after the end of the calendar year to which it relates. Thus, the due date by which the form with documentation must be received by the VAT authorities is 30 June of the year following the year to which the application relates. Claims received after the deadline will not be refunded.

The amount of the VAT claim must not be less than NOK 5,000 (approximately EUR 500). If the application relates to an entire calendar year or the remainder of a calendar year, the minimum amount is NOK 500 (approximately EUR 50).

The application for a refund is made with a special form available from the local tax offices ("Skattekontor") in Norway, or can be downloaded from the website of the VAT authorities: www.skattetaten.no <https://tinyurl.com/m3bwm2m5>.

The form includes guidelines for the refund procedure.

A VAT Refund Application will usually be decided within 3 months of the date it is received.

However, there are no specific time limits provided for in the VAT legislation. The claim will usually be refunded within 3 months after it is received, provided no further investigation or information is required. No specific time limit for refunds is provided for in the VAT legislation.

If a claim is rejected, it is possible to file a complaint. The time limit for filing a complaint is usually 3 weeks after the date of receiving the decision.

The application form is available in both Norwegian and English, and the application may be submitted in Norwegian, Swedish, Danish or English.

In addition to the application form, the following documents must be submitted when making a claim:

- original invoices or import documents as required in the general rules for authenticating the right of deduction;
- a clear description of the nature of the business; and
- a certificate from a public authority confirming that the applicant is engaged in such taxable business.

The application should be addressed to:

The Norwegian Tax Administration, VAT Refunds, P.O. Box 103, NO - 1501 Moss, Norway

If a courier is used, the correct address is:

The Norwegian Tax Administration, Berni Ankers gate 17, 1534 Moss, Norway

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

A VAT invoice must contain the following information:

- the date at which the invoice is issued;
- an invoice number (sequential);
- the name and address of the supplier or service provider;
- the nine-digit VAT identification number of the supplier followed by the postfix MVA (abbreviation for VAT in Norway);
- the name and address of the customer;
- a clear description of the delivered goods or the rendered services as well as the quantity;
- the date on which the supply or service took place;
- the taxable amount;
- the applicable VAT rate;
- the VAT in Norwegian Kroner (NOK); and
- the total sum payable.

In the case of a foreign taxable person who is registered with a VAT representative, the following items must also be included:

- the Norwegian 9-digit VAT ID number of the foreign taxable person followed by the postfix MVA; and
- the name and address of the VAT representative.

10.1.2 Time limits

There are a number of rules as to time limits for issuing an invoice. Generally, an invoice should be issued within 1 month of the supply.

10.1.3 Currency

An invoice may be issued in any currency, but if a currency other than Norwegian Kroner (NOK) is used, then the VAT amount must be calculated in Norwegian Kroner (NOK) at the exchange rate valid on the date of issue of the invoice. The applicable exchange rate can be found on the website of the Norwegian National Bank (Norges Bank): <https://www.norges-bank.no/tema/Statistikk/Vahutakurser/>

Foreign suppliers of electronic services who are registered under the simplified scheme for such suppliers, the applicable exchange rate is published weekly by the customs authorities.

10.1.4 Conversion and exchange rate

The applicable exchange rate on the date of issue of the invoice should be used when calculating the VAT amount, if the invoiced amount is in another currency than Norwegian Kroner (NOK).

10.1.5 Self-billing

In general, it is not allowed for businesses to apply self-billing. Certain buyers may, however, issue the invoice on behalf of the supplier (self-billing). Examples of such buyers are buyers having all information on volume, weight, quality etc in order to calculate and pay the correct consideration and certain types of businesses, mainly in the agricultural and fishing industries.

10.1.6 Simplified invoices

Norway has no rules that allow for simplified invoices. See 10.1.1 for the general invoice requirements.

10.1.7 Storage of invoices

Invoices and other accounting materials must be kept for 5 years. If invoices, etc. are kept electronically, paper documents may under certain conditions be destroyed after 3 years.

For certain types of businesses, in particular in the financial sector, certain accounting materials and documentation must still be kept for 10 years.

10.1.8 Electronic invoicing

There are no special conditions for electronic invoicing. An electronic invoice can be sent in any format, including PDF. There is, however, a condition that the electronic document cannot easily be altered.

10.2 VAT compliance

10.2.1 VAT return period

The normal VAT return period is bi-monthly. It is possible to apply for shorter VAT periods for taxable persons that have negative VAT returns on a regular basis.

Taxable persons with VAT-registered sales of less than NOK 1,000,000 (approximately EUR 100,000) in a calendar year can apply for a single annual VAT return.

VAT returns must be submitted electronically via the website: www.altinn.no.

The VAT return period for foreign suppliers of electronic services is quarterly (see also paragraph 1.5).

10.2.2 Filing of VAT return and payment

The VAT return must usually be submitted within 1 month and 10 days after expiry of the VAT period. The VAT payable must be paid to the Treasury within the same time limit.

VAT Period	Month	Due date
1	January–February	10 April
2	March–April	10 June
3	May–June	31 August
4	July–August	10 October
5	September–October	10 December
6	November–December	10 February

Annual VAT returns must be submitted and the VAT must be paid by 10 March of the following year. Taxable persons that file quarterly VAT returns under the VOES and/or the VOEC, must pay the VAT within 20 days after the final VAT filing date.

10.2.3 Additional VAT returns

A taxable person may for a period of up to 3 years submit corrective VAT returns. If VAT is overpaid, the VAT will be paid back by the VAT Authorities with the addition of interest. If VAT is underpaid, the VAT authorities will normally charge interest on the underpaid amount. See also under penalties in paragraph 10.3.

10.2.4 European sales listing

European sales listing does not apply because Norway is outside the EU.

10.2.5 National recapitulative statement

National recapitulative statement does not apply in Norway.

10.2.6 Tax assessment period

The tax assessment period in Norway is 5 years from the period in which the transaction took place. If the taxpayer is imposed an increased additional penalty tax (for gross negligence or intent) or has been charged (and convicted) under certain provisions of the Criminal Code, the tax assessment period is 10 years.

10.2.7 SAF-T

Norway introduced SAF-T (Standard Audit File – Tax) from 1 January 2017. SAF-T became mandatory as of 1 January 2020. Exempt from the mandatory SAF-T reporting are businesses that are not required to perform bookkeeping in Norway and businesses with an annual turnover of less than NOK 5,000,000 (EUR 500,000) or have less than 600 accounting documents a year.

10.3 Penalties

10.3.1 Default penalties for not filing a VAT return on time

From 1 January 2017 a running daily fine may be imposed for not filing the VAT return on time. The fine will be fixed annually and is linked to the Court fee (R). The daily running fine is ½ R per day, or in 2024 NOK 638,50 (approximately EUR 63) per day. The maximum fine is for 2024 NOK 63,850 (approximately EUR 6,300).

10.3.2 Default penalties for not paying VAT on time to the tax authorities

If VAT is not paid on time, interest is applied to the unpaid amount. The amount of the interest is the same that applies for delayed payments in general. The interest is fixed by the Ministry of Finance every 6 months. Norway does not levy any penalties other than the above-mentioned interest if the VAT is paid too late.

10.3.3 Default penalties or criminal charges on VAT assessments when VAT is not reported correctly

With the introduction of the Tax Administration Act rules concerning violation of the VAT rules were considerably changed. The rules concerning penalties were moved from the VAT Act to the new Tax Administration Act. The normal additional tax (or penalty) payable if the taxable person has violated the VAT legislation by negligence, will be 20% of the VAT amount involved.

If the violation is deliberate or committed under gross negligence, additional tax ("*skjerpel tilleggsskatt*") of 20% or 40% on top of the penalty pursuant to § 14-5, may be imposed. The maximum additional tax that could be imposed for VAT violations is thus 60%.

From 1 October 2015, criminal offences regarding VAT and other taxes may also be prosecuted under the Criminal Code as Tax Fraud or Serious Tax Fraud. Gross negligence tax fraud may be punishable under the Criminal Code. Tax fraud can be punished by fines and/or up to 2 years of imprisonment. Serious tax fraud is subject to fines and/or imprisonment of up to 6 years. Gross negligence tax fraud may be subject to fines and/or imprisonment of up to 1 year, but up to 6 years if the negligence is considered to be serious.

Any person who deliberately or by negligence fails to comply with the bookkeeping legislation may be subject to fines or imprisonment of up to 3 years. In severe cases, imprisonment of up to 6 years may apply. In case of negligence, usually only fines are applied.

10.4 Intrastat

As Norway is outside the EU, no Intrastat reporting applies.

Information received from:

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The European Union (EU) VAT Directive is implemented through the Act dated 11 March 2004 on the taxation of goods and services (hereafter: the VAT Act). In Polish, the name of the VAT Act is "Ustawa z dnia 11 marca 2004 r. o podatku od towarów i usług".

Apart of the VAT Act, there are also Decrees of Polish Minister of Finance implementing specific provisions of the VAT Act. The examples of Decrees are as follows:

- dated 9 March 2020, on the layouts of registration documents for VAT purposes;
- dated 14 November 2014, on taxable persons who are not obliged to register for VAT;
- dated 15 October 2019, on data details of the tax returns and VAT records;
- dated 27 December 2021, on use of National e-Invoicing System;
- dated 29 October 2021, on issuance of invoices;
- dated 26 June 2020, on layouts of the recapitulative statements on intra-Community transactions relating to movements of goods under the call-off stock procedure;
- dated 9 December 2024, on reduced rates of tax on goods and services;
- dated 20 December 2013, on VAT exemptions and conditions under which these exemptions apply;
- dated 20 October 2021, on the VAT refunds for certain categories of taxable persons;
- dated 29 April 2019, on cash registers;
- dated 12 September 2021 on technical requirements for cash registers;
- dated 17 December 2024, on exemption from the obligation to keep sales records using the cash registers;
- dated 30 March 2023, on VAT evidence kept by Members of VAT Group;
- dated 22 December 2024, on notification of the intention to benefit from exemption in a Member State other than Poland and quarterly information (SME);
- dated 19 May 2020, on the layout of import declaration for VAT purposes.

Value Added Tax (VAT) is commonly called 'VAT' or 'ptu'.

1. Taxable Persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Any person or organization unit which conducts in Poland business activity subject to VAT, is obliged to register for VAT before the first activity is performed and is referred to as a 'taxable person'. The taxable persons who perform only activities exempt from VAT or whose annual turnover is below the threshold for registration, may opt for registration voluntarily.

There is an annual threshold for VAT registration PLN 200,000 (net) apart of the SME threshold. The values of:

- intra-Community distance sales of goods which are not subject to VAT in Poland;
- distance sales of imported goods which are not subject to VAT in Poland;
- supplies of goods and services exempt from VAT except for transactions related to:
 - immovable properties;
 - certain financial, security and re-security services;
- if these transactions do not have an ancillary character; and
- supply of goods which are considered, based on the separate provisions on corporate income tax, as fixed or intangible asset subject to a depreciation;

are not included in the above registration threshold.

The taxable person may opt for VAT registration before crossing the threshold for registration. The notification should be filed to the tax office before the beginning of the month from which the taxable person opts for taxation or before making his first taxable transaction (in the case of starting the activities during the tax year).

- goods listed in the Appendix No 12 to the VAT Act, i.e., for goods made from precious materials or with participation of such materials or others (CN ex 71, ex 8549, ex 9602, ex 9706);
 - goods subject to the excise tax, except for:
 - electricity (CN 2716 00 00);
 - tobacco products; and
 - passenger cars (except for a new means of transport) being the taxable person's fixed assets which are depreciated,
 - buildings, structures and their parts exempted from VAT with the exception to supplies made before the first occupancy or less than 2 years have elapsed between the first occupancy and the supply of the building or structures;
 - construction sites intended for buildings;
 - a new means of transport;
 - supply resulting from conclusion of a contract as part of an organized distance contracting system, without the simultaneous physical presence of the parties, with the exclusive use of one or more means of distance communication up to the moment of conclusion of the contract;
 - computers, electronic and optical products (PKWiU 26);
 - electrical devices (PKWiU 27);
 - machines and devices not classified elsewhere (PKWiU 28); and
 - wholesale and retail parts and accessories for: motor vehicles, excluding motorcycles (PKWiU 45.3) and motorcycles (PKWiU ex 45.4);
 - legal advisory services;
 - consultancy services except for agricultural advice relating to with the cultivation and breeding of plants, growing and breeding of animal stock, and the drawing up of an agricultural undertaking's development and upgrade plan;
 - debt collection and factoring services; and
 - jeweller's services.
- To register for VAT, it is necessary to submit to the competent tax office the registration forms called VAT-R and NIP.
- The tax office has the obligation to verify the registration forms before a VAT Id. No. is granted. The tax office does not register the person for VAT if:
- the data included in VAT registration form (i.e. VAT-R) is not true;
 - the person/entity does not exist;
 - despite attempts of the tax office, it is not possible to contact the person/entity or his attorney;
 - the person/entity or his attorney does not appear at the request of the tax office;
 - according to the information available by the tax office, it appears that the taxable person may conduct activities with the intention of using activities of banks for purposes related to tax fraud; and
 - a judgment was issued prohibiting the taxable person from running a business.
- In the above cases, the tax office does not have the obligation to inform the taxable person about denying his application for VAT registration.
- If the VAT registration form is submitted to the tax office by the attorney acting on behalf of the taxable person, the attorney is jointly and severally liable for overdue VAT together with this person. The attorney is liable for overdue VAT resulting from activities made by the taxable person during the first 6 months after VAT registration. The liability of the attorney is limited to PLN 500,000.00 (approx. EUR 116,000). The attorney is liable if overdue VAT results from any unreliable settlement made with the intention to receive financial advantage (i.e. VAT fraud).
- The tax authorities confirm registration via the issuance of a special confirmation called VAT-5. The confirmation is issued only at the request of the taxable person after payment of a stamp duty of PLN 170 (approximately EUR 40).

- The registration for intra-Community transactions (i.e., receiving VAT identification number with PL prefix visible in VIES) takes place on the same registration form, i.e., VAT – R. The authority confirms the registration for the intra-Community transactions without any special request. The confirmation for the intra-Community transactions is called VAT-5UE.
 - There is a special data base kept by the Ministry of Finance covering data of all taxable persons registered for VAT in Poland. This data base is called ‘Biała Lista Podatników VAT’ in Polish (in English the White list of VAT Taxable Persons). The data base is kept at: <https://tinyurl.com/59b267xw>. The White list is available for all interested persons and can be easily browsed by NIP number, REGON number, bank account number or name of the taxable person.
 - Before the VAT identification number is granted, the taxable person must obtain a Tax Identification Number, i.e., in Polish ‘Numer Identyfikacji Podatkowej’ (NIP).
 - In order to get a NIP it is necessary to file:
 - form NIP-8 for a legal person/capital company/partnership; and
 - NIP-7 for an individual person.
 - The tax authority issues a special decision in which it grants the NIP to the taxable person.
- The registration forms are available on the website of the Polish Minister of Finance:
- the NIP form can be downloaded at: <https://tinyurl.com/2ws6wpp>
 - the VAT-R form can be downloaded at: <https://tinyurl.com/5n86sz2v>
- As of 1 January 2025, Poland adopted the SME scheme resulting from VAT Directive. The taxable person established in Poland may exempt from VAT supply of the goods and services with the place of supply in other MS than Poland, if his entire annual net sales is in not higher than EUR 100,000. In order to benefit from the exemption, the Polish taxable person should notify the tax authorities about his intention to benefit from the exemption. Such prior notification should cover data of this taxable person and information about the MS in which he wants to benefit from the exemption as well as his annual turnover in the previous and current year in the EU. Polish tax authorities exchange the data with the other MS and in 35 days issues for him an ‘EX Identification number’. If the taxable person does meet the condition to benefit from the exemption for SME than the tax authorities refuse to issue Polish ‘Ex Identification number’. The taxable person using SME scheme is obliged to file to the tax office a quarterly information covering the following:
 - data of the taxable person including his ‘Ex Identification number’;
 - the amount of turnover for each MS for the quarter; and
 - the amount of turnover for Poland for the quarter.

1.2 Registration threshold and SME Scheme for foreign taxable persons

- SME Scheme for the foreign taxable person applies under the following conditions:
 - sale is carried out by a taxable person established in another MS than Poland;
 - the total annual net sales of goods and services with the place of supply within the EU made by the taxable person in the tax year, including the value of sales in Poland, did not exceed EUR 100,000 in the previous or current tax year;
 - the value of net sales of this taxable person did not exceed the threshold for VAT registration in Poland (i.e. PLN 200,000). The values of:
 - intra-Community distance sales of goods which are not subject to VAT in Poland;
 - distance sales of imported goods which are not subject to VAT in Poland;
 - supplies of goods and services exempt from VAT except for transactions related to:
 - immovable properties,
 - certain financial, security and re-security services, if these transactions do not have an ancillary character; and
 - supply of goods which are considered, based on the separate provisions on corporate income tax as fixed or intangible asset subject to a depreciation;
 - are not included in the above registration threshold.

- The threshold for VAT registration does not apply to taxable persons who supply the following:
- goods listed in the Appendix No 12 to the VAT Act, i.e., for goods made from precious materials or with participation of such materials or others (CN ex 71, ex 8549, ex 9602, ex 9706);
 - goods subject to the excise tax, except for:
 - electricity (CN 2716 00 00);
 - tobacco products; and
 - passenger cars (except for a new means of transport) being the taxable person's fixed assets which are depreciated;
 - buildings, structures and their parts exempted from VAT with the exception to supplies made before the first occupancy or less than 2 years have elapsed between the first occupancy and the supply of the building or structures;
 - construction sites intended for buildings;
 - a new means of transport;
 - supply resulting from conclusion of a contract as part of an organized distance contracting system, without the simultaneous physical presence of the parties, with the exclusive use of one or more means of distance communication up to the moment of conclusion of the contract;
 - cosmetic and toilet products (PKWiU 20.42.1);
 - computers, electronic and optical products (PKWiU 26);
 - electrical devices (PKWiU 27);
 - machines and devices not classified elsewhere (PKWiU 28); and
 - wholesale and retail parts and accessories for: motor vehicles, excluding motorcycles (PKWiU 45.3) and motorcycles (PKWiU ex 45.4);
 - legal advisory services;
 - consultancy services except for agricultural advice relating to with the cultivation and breeding of plants, growing and breeding of animal stock, and the drawing up of an agricultural undertakings development and upgrade plan;
 - debt collection and factoring services; and
 - jeweller's services.

If the foreign SME would like to benefit from the exemption from VAT registration in Poland, he is obliged to notify the MS of its establishment of his intention to benefit from the exemption. The foreign SME is obliged to obtain in the MS of his establishment an 'EX identification number', for the purposes of using the exemption in Poland. If the foreign SME does not notify the MS of its establishment and does not receive his 'EX identification number', Polish tax authorities refuse to benefit from exemption in Poland. If the foreign SME decides to resign from the exemption in Poland he is obliged to notify his MS of establishment.

In order to register for VAT, foreign taxable persons are obliged to file to the tax authorities the following forms:

- a VAT-R form; and
- a NIP-2 or NIP-7 form.

The VAT-R form can be downloaded at: <https://tinyurl.com/5n6sz2v>

The NIP form can be downloaded at: <https://tinyurl.com/2ws6wfp>

If the foreign taxable person wants to receive the official confirmation that he is registered for VAT in Poland, i.e.: document called VAT-5, he must first pay the stamp duty of PLN 170 (approximately EUR 40) to the tax authorities. In the description of the bank transfer the taxpayer should state that the payment relates to the request for confirmation that he is registered for VAT in Poland.

The owner of the bank account is:

Urząd Miasta Stołecznego Warszawy
NIP 525-22-48-481

KOD SWIFT: CITIPLPX

IBAN PL 21 1030 1508 0000 0005 5000 0070

The registration forms should be filed to the tax authorities together with the following supporting documents:

- the foreign taxable person's articles of association;
- a recent statement issued by the foreign taxable person's tax authority in the country of residence which certifies that the taxable person is registered for VAT purposes (so called 'VAT Certificate');
- the foreign taxable person's statement about having VAT identification numbers granted in countries other than its country of its establishment;
- an original copy of the agreement with a Polish bank or a written confirmation from a Polish bank which holds the foreign taxable person's bank account. If the bank account is not yet opened at the time of registration, it is possible to provide a statement from the foreign taxable person that the confirmation/copy of the agreement will be delivered after registration. The tax authorities must receive the agreement/statement before the first VAT refund in Poland takes place;
- a statement whether the foreign taxable person does or does not have a fixed establishment for VAT purposes in Poland;
- a brief description of the activity which the foreign taxable person plans to perform in Poland and information about the existence of human and as well as technical resources and office facilities necessary to conduct his business in Poland;
- a copy of the agreement concluded with an entity rendering VAT compliance services, if the foreign taxable person does not intend to maintain VAT records himself; and
- a power of attorney to arrange all formalities regarding the VAT registration (on the special form PPS-1); if the taxable person acts via an attorney (plus confirmation of payment of the stamp duty, i.e. PLN 17 (approximately EUR 4) on the same bank account as the registration fee).

The original copies of the above documents or copies certified by a notary are required. If the documents are issued in another language than Polish, they must be translated into Polish by a sworn/certified translator.

The foreign taxable person should submit the registration documents to the following tax office:

*Drugi Urząd Skarbowy Warszawa Śródmieście
Jagiellońska St. 15
03-719 Warsaw
Poland*

If the foreign taxable person has a fixed establishment for VAT purposes in Poland, the registration documents should be filed to the competent tax authority (which depends on the place of business and income value).

Non – EU taxable persons, except for persons established in Norway and the UK, must appoint a fiscal representative to register for VAT purposes in Poland.

De-registration from VAT

If the taxable person stops performing taxable activities he is obliged to notify the tax authorities (form VAT-Z) and the tax office de-registers the taxable person from the register of the taxable persons (the White list of taxable person). The tax authorities, in specific cases, are entitled to de-register the taxable person on their own accord. Depending on the circumstances of the case, the tax office restores the taxable person's registration for VAT, or the taxable person must register for VAT once again if needed. De-registration from VAT results in withdrawing the taxable person from VIES.

The tax office is entitled to de-register the taxable person from VAT without sending the notification to the taxable person, if:

- the taxable person does not exist;
- despite attempts of the tax office it is not possible to contact the taxable person or his attorney;
- data included in the VAT registration form are not true;
- the taxable person or its attorney does not appear at the request of the tax authorities;
- according to the information available by the tax authorities, it appears that the taxable person may conduct activities with the intention of using the activities of banks or cooperative savings and credit unions for purposes related to tax fraud; or
- a judgment was issued prohibiting the taxable person from running a business.

taxable persons belonging to the VAT Group.

As soon as the VAT Group is registered for VAT, the tax office automatically de-registers the Members of the VAT Group from VAT. Hence, there is a single VAT registration number of the VAT Group.

The VAT Group becomes a single taxable person on the date specified in the agreement establishing the VAT Group, but not earlier than on the date of registration by the tax office as so called 'Active VAT taxpayer'.

The VAT Group assumes the rights and obligations of the Members of the VAT Group regarding tax for the period in which this Group has the status of the taxable person.

The VAT Group can be created by taxable persons who are financially, economically, and organizationally related entities and who conclude an agreement based on which the VAT Group is established. The VAT Act specifies in detail the content of such an agreement. The VAT Group can be established for a period no shorter than 3 years.

1.3 VAT Grouping

If the taxable person issues invoices which certify activities which have not been actually performed, the tax office does not de-register the taxable person from VAT if the taxable person makes this only by mistake or has no knowledge about the issuance of such unrefutable invoices. In this case the tax office resumes VAT registration without the obligation to file the new registration forms. In this case the taxable person keeps the same VAT status as it had before the de-registration. Simultaneously the tax office de-registers the taxable person from the list of VAT EU taxable persons (i.e. VIES) if the taxable person files to the tax office for 3 consecutive months or one quarter (depending on the method of filing) VAT return with no sales or acquisitions effecting the right to deduct input VAT. In that case the tax office is obliged to notify the taxable person about the de-registration from VAT EU. The same applies, if the taxable person does not file to the tax office the EC Sales and Purchases Lists for 3 consecutive months.

The tax office does not de-register the taxable person if the taxable person provides the tax office with explanations demonstrating that not reporting sales and input VAT in VAT returns, results from the specifics of the taxable person's business activity. In that case the tax office resumes the VAT registration without the obligation to file the registration forms if the taxable person proves the specifics of his business activity.

If the taxable person makes taxable supplies despite of suspension of his business activity, he is obliged to notify the tax office about the period in which he will be making supplies during the suspension. In such case the tax office does not de-register the taxable person from VAT or restore VAT registration for the period indicated in the notification. As soon as the taxable person resumes his business activity after suspension, the tax office is required to register the taxable person for VAT once again without filing a new registration form. In that case the taxable person keeps the same VAT status as he had before the suspension of his business activity.

The tax office does not de-register the taxable person if the taxable person did not file VAT returns but - upon the tax office's request - proves that he conducted business activities. The taxable person must then submit the overdue VAT returns within 2 months of notification of the de-registration. The tax office will then be required to resume the VAT registration without the obligation for the taxable person to file a new registration form.

The tax office is also entitled to de-register the taxable person from VAT, if the taxable person:

- suspends conducting the business activity based on the provisions of the Act on the freedom of conducting business activity for the following 6 months;
- did not submit to the tax office VAT returns for 3 consecutive months or 1 quarter (depending on the method of filing of VAT returns);
- submitted to the tax office for 6 consecutive months or 2 consecutive quarters VAT declarations in which no sales or purchases from which it deducts input VAT are reported;
- issued invoices or correction invoices which certify activities which have not been performed;
- while conducting business activity, knew or had reasonable grounds to suspect that his suppliers or customers directly or indirectly participate in tax fraud involving goods and services provided by or to the taxable person.

- financially related if one of the taxable persons who is a member of the VAT Group directly holds more than 50% of the shares in the share capital or more than 50% of the voting rights in the control, constituting or management bodies, or more than 50% of the right to participate in profit of each of the other taxable person who are Members of the Group;
 - economically related if the main activity of the members of the VAT Group is of the same nature or the activities conducted by the members of the VAT Group are complementary and interdependent, or the member of the VAT Group conducts activities that are wholly or largely used by other members of the VAT Group; and
 - organizationally related if the members are legally or in fact, directly or indirectly, under common management, or organize their activities wholly or partly in agreed.
- The conditions relating to the existence of financial, economic, and organizational links between the members of a VAT Group must be met continuously for the period during which this Group has the status of one taxpayer.
- An entity can be a member of only one VAT Group. The members of the VAT Group cannot be modified, i.e., expanded to include other members or reduced by any of its members.
- The VAT Group may be created by taxable persons:
- established in Poland; or
 - not established in Poland but conducting business activities in Poland via a branch located in Poland.
- #### 1.4 Fiscal Representative
- The VAT Law differentiates between the foreign taxable persons established within the EU and outside the EU as regards to the obligation to appoint a fiscal representative.
- Taxable persons established in the EU - or not established in the EU but having a fixed establishment in the EU - may appoint a fiscal representative. Hence, appointing a fiscal representative is optional for taxable persons established in the EU.
- Taxable persons not established in the EU and not having any fixed establishments for VAT purposes in one of the EU MS, are required to appoint a fiscal representative to register for VAT in Poland. No fiscal representative needs to be appointed for taxable persons established in the UK and Norway.
- A legal entity or an individual person or organizational unit not having a legal personality must fulfil certain conditions to act as the fiscal representative of the foreign taxable person. Such person must:
- be established or domiciled in Poland;
 - act as a taxable person registered with the tax authorities as a so-called VAT 'Active VAT payer';
 - in case of taking over the obligation to settle VAT due on the importation of goods followed by an intra-Community supply of the goods from Poland, he must also be registered as a VAT EU taxable person;
 - have no overdue tax liabilities payable over the past 24 months to the Polish State (i.e. not exceeding 3% of the tax due; calculated separately on each type of tax which is payable in the given settlement period).
- This condition is met if the overdue tax is paid with penalty interest within 30 days from the day in which the overdue tax had appeared and the overdue tax related to no more than 2 periods in the given 24 months, calculated separately on each type of the tax;
- over the past 24 months have not been punished for committing a crime within the meaning of the Fiscal Penal Code. In case of fiscal representatives who are not natural persons - this condition applies to a person who is a shareholder of a civil or commercial entity without legal personality, a member of the management or its chief accountant; and
 - be entitled to render tax advisory services within the meaning of the Act on Tax Advisory services or is entitled to render accounting services within the meaning of the Act on Accounting. The condition to possess the license to act as a tax advisor or licensed accountant, does not apply for customs agents who act as the fiscal representative of taxable persons whose transactions exclusively consist of the importation of goods followed by the intra-Community supply of those goods.

• the use of the taxable person's goods for purposes other than business activity (in particular for the private use of the taxpayer or his employees, including former employees, partners, shareholders, members of Subject to VAT is also rendering services free of charge. Such supply involves:

There is no VAT taxation on samples provided free of charge. A sample is identified as an example of a good, or a small quantity thereof, provided free of charge, identifiable as a sample which allows for the assessment of the characteristics and properties of the goods in their final form, and their handling over by the taxable person aims to promote this product and it does not serve the purpose of essentially meeting the needs of the final recipient in terms of a free product, unless meeting the needs of this recipient is an inherent element of the promotion of this product and is intended to encourage this recipient to purchase the promoted product.

There is no VAT on the goods provided as a gift of low value and samples, if the transfer is made for purposes related to the taxable person's business activity. As gifts of low value are treated goods free of charge provided to one person with a total value not exceeding PLN 100 (net) (approx. EUR 26) in the tax year, if the taxable person keeps records enabling the identification of these persons. If there is no record of the goods provided free of charge, the supply of goods which price does not exceed PLN 20 (approx. EUR 4.70) is not taxed.

The supply of goods free of charge is subject to VAT if the goods are provided for the private use of the taxable person or his employees, including former employees, partners, shareholders, members of cooperatives and their household members, members of decision-making bodies of legal persons, members of associations or donated - if the taxable person was entitled to deduct the input VAT at the moment of purchase, import or production of these goods or their parts.

A supply of goods or services free of charge, as a rule, is subject to VAT in Poland.

2.2 Supplies free of charge

Additionally, the acquirer of the business or organized part of the business is required to continue adjustment of input VAT which is subject to the pro-rata deduction (if the assets were used for mixed supplies) until the end of the adjustment period for the given asset.

The VAT law defines 'an independent part of an enterprise' (the equivalent of 'a part of a totality of assets') as a set of tangible and non-tangible components organizationally and financially separated in an existing enterprise, including liabilities, intended for performing specific economic tasks, which could form an independent enterprise performing such tasks on its own.

The transfer of a business/enterprise or an independent part of a business/enterprise is out of the scope of Polish VAT.

2.1 Transfer of business

2. Taxable transactions

A fiscal representative is jointly and severally liable for payment of the VAT due by his principal (the foreign taxable person). With regard to the liability of a fiscal representative representing a taxable person who is not registered for VAT in Poland, effecting an importation followed by an intra-Community supply of the goods please see paragraph 2.3.1.

The fiscal representative is required to perform in the name and on behalf of the client all activities needed to settle the VAT, including preparation of VAT returns and EU sales and purchase listings, keeping and storing VAT evidence and other activities specified in the agreement.

There is an obligation to conclude a written agreement in which the fiscal representative is appointed. The VAT Act provides a list of information which should be covered by this agreement.

- cooperatives and their household members, members of the decision-making bodies of legal persons, members of the association) if the taxable person was entitled, in whole or in part, to deduct input VAT at the time of purchase, import or production of these goods or their parts;
- free provision of services for the taxable person or his employees, including former employees, partners, shareholders, members of cooperatives and their household members, members of the decision-making bodies of legal persons, members of associations, and any other free provision of services for purposes other than the business activities of the taxable person.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

- Importation followed by an intra-Community supply of the goods, is exempt from VAT if the following conditions are met:
- the importer who subsequently makes the intra-Community supply of the goods is registered for intra-Community transactions in Poland and provides his PL EU VAT ID. No. at the time of importation;
 - if the importer is not registered for the intra-Community transactions in Poland, he must appoint a fiscal representative and use EU VAT ID. No. of this representative;
 - the importer provides proof that the goods are intended for the intra-Community supply to another EU Member State;
 - the importer provides his own EU VAT ID. No., or the EU VAT ID. No. of his customer granted in the country to which the intra-Community supply will be made;
 - within 4 months from the month in which the tax obligation in respect to importation of the goods arose, the importer presents the tax authorities with:
 - the document confirming the reporting of this intra-Community supply in the European sales and purchase list; or
 - the confirmation from the head of the tax office that this intra-Community supply was reported in the European sales and purchase list if multiple intra-Community supplies were made and it is not clear from the European sales and purchase list alone that this transaction has been reported;
 - the importer has not violated the obligation to submit the European sales and purchase lists in respect to imported goods (intended for the intra-Community supply of the goods) for 12 of the last 17 months.

If the above conditions are not met, the taxable person is required to submit a security for the VAT due on the importation of the goods to the tax authorities. The amount of the security is equal to the amount of the VAT due on the importation of the goods. The security should be provided based on the Customs regulations. If the importer of the goods is not registered for VAT in Poland and appoints a fiscal representative, this fiscal representative must report the transactions in his own name but for the benefit of the importer. In such case the importer is jointly and severally liable for VAT together with the fiscal representative.

2.3.2 Postponed accounting on importation

It is possible to settle VAT due on importation of goods in a periodical VAT return without physical payment to the tax authorities. In such cases, the taxable person reverse charges import VAT in the VAT return over the period when the tax obligation arose. To benefit from the simplification, it is necessary to submit to the customs-fiscal office before each 6-month period in which the taxable person declares importation of goods (issued no earlier than 6 months before the importation of goods):

- a certificate of absence of tax arrears with respect to tax due to the State and social insurance contributions; and
- the confirmation of registration for VAT purposes in Poland.

Alternatively, the taxable person may submit its own statement confirming that he does not have any outstanding arrears of tax and social insurance contributions.

- In order to apply the reverse charge, customs declarations must be made by a customs representative, either directly or indirectly. This condition does not apply if the taxable person:
- is holder of an AEO Certificate; or
 - has customs authorizations to clear the goods with simplifications, i.e. file simplified declaration or entry of the goods the declarant's register.

Where Poland is the EU Member State of the arrival of the goods, the wording of the Polish VAT legislation does not preclude the application of the triangulation rules if the middleman (B) is VAT registered in the country of arrival of the goods but to benefit from the simplification, the middleman (B) cannot use a Polish VAT registration number. However, the middleman cannot be established in Poland.

3.4 Simplified triangulation

Polish VAT Law has been harmonized in line with the VAT Directive and Poland applies the same rules as the other Member States of the EU. There is one registration threshold, i.e., EUR 10,000 calculated based on the intra-Community distance sales as well as TBE services. There are special schemes for the importation of goods with an intrinsic value below EUR 150. The VAT returns relating to OSS and IOSS can cover amounts in EUR. Where payments for the supply of goods or services were made in currencies other than EUR, the exchange rate published by the European Central Bank on the last day of the relevant settlement period shall be used to convert them into EUR, and if it is not published on that day - the exchange rate published on the following day.

3.3 Distance sales

The supply of goods with installation is treated as a domestic supply of the goods. The VAT due on such supply may be reverse charged to the customer under certain conditions. The conditions to apply the reverse charge on domestic supplies of goods (including the supply of goods with installation) are explained below (see chapter 8).

Similarly to the provisions of the VAT Directive, the place of supply of goods which are installed or assembled (with or without a trial run), by an entity making the supply of goods or entity acting on its behalf, is the place where the goods are installed or assembled. Simple activities that enable the functioning of the goods that are installed or assembled in line with their purpose, cannot be considered as an installation or assembly supply. There is no formal definition of the term 'supply with installation' in Polish VAT law.

3.2 Installation supplies

Poland implemented simplification rules for goods supplied via a call-off stock resulting from Article 17a of the VAT Directive 2006/112/EC.

3.1 Consignment and call of stock

3. Place of supply

If the taxable person applies centralized clearance of the goods defined in the Article 179 of the Community Customs Code, it is required to calculate and settle the VAT due on the importation of the goods in a special VAT import declaration.

This special VAT import declaration must be submitted to customs authorities by the 16th day of each month following the month in which the tax obligation resulting from the importation of the goods arose. This same deadline applies for settling amounts of VAT due on importation.

If the customs clearance is performed by a taxable person who does not have its own permission on customs simplifications and uses the permission granted to the customs agent, this agent when acting as the direct representative of the taxable person importing the goods, is jointly and severally liable for VAT. The principle of joint and several liability does not apply to customs representatives if the taxable person they represent:

- is holder of the AEO Certificate; or
- has customs authorizations to clear the goods with simplifications, i.e. file simplified declaration or entry of the goods the declarant's register.

In the case of entities, which are not established and do not have a fixed establishment in Poland, the documents described above must be submitted to Urząd Celnno-Skarbowy we Wrocławiu.

Additionally, the VAT Act requires that party B includes in its invoice the following information:

“VAT: Faktura WE uproszczona na mocy art. 135-138 ustawy o ptu” or “VAT: Faktura uproszczona na mocy art. 141/197dyrektywy 2006/112/WE” and information that the last taxable person in the chain is liable to settle VAT. This description means that the transaction is subject to the simplified procedure. This provision of the VAT Act should be applied with consideration of the respective VAT provisions in force in the EU Member State in which B reports this supply.

There is also an obligation to keep a special accounting of the goods supplied based on this simplification. Poland did not implement the derogation specified in Article 197 (2) VAT Directive.

3.5 Acquisition threshold

Generally, the threshold for the intra-Community acquisition of goods is PLN 50,000 (net) (approx. EUR 11,900). This threshold is not applicable to the acquisition of a new means of transport (e.g. cars) and excise goods.

3.6 Effective Use & Enjoyment

Poland has implemented effective use and enjoyment rules based on Article 59a of the VAT Directive with respect to the transport of goods carried out for the benefit of taxable persons.

When transport of goods is carried out entirely outside of the EU, the place of supply is considered outside the EU if the transport is provided to a taxable person established in Poland or having a fixed establishment to which the services are rendered. When the transport of goods is carried out entirely on the territory of Poland, the place of supply is in Poland if the transport is supplied for the benefit of the taxable person established outside the EU or having a fixed establishment outside of the EU to which the service is rendered.

4. Chargeable event & Chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes chargeable at the time the goods or services are supplied. For goods, this is the date when the purchaser receives the right to dispose of the goods as the owner. A supply of service is deemed to be carried out on the date the service is finally executed.

However, in case of clearly enumerated activities VAT becomes chargeable as soon as the payment is received, or the invoice is issued. The list of activities for which a specific chargeable event occurs, is quite extensive, e.g.:

- receipt of all or part of the payment for:
- release of goods by the principal to the commission agent based on a commission contract;
- transfer based on the order of a public authority or an entity acting on behalf of such a body of ownership of goods in exchange for compensation;
- carried out during the execution of the delivery of goods;
- providing, based on separate provisions, at the request of common courts, administrative, military, or public prosecution services related to court or preparatory proceedings, except for general B2B services;
- provision of certain tax exempt financial and insurance services;
- subsidies and other similar payments;
- the issuance of an invoice due to:
- provision of construction or construction-assembly services;
- delivery of printed books (CN ex 4901 10 00, 4901 91 00, ex 4901 99 00 and 4903 00 00) - excluding maps and leaflets - as well as newspapers and magazines; and
- activities involving the printing of books (CN ex 4901 10 00, 4901 91 00, ex 4901 99 00 and 4903 00 00) - excluding maps and leaflets - as well as newspapers, magazines (CN 4902), except for services to which Art. 28b relates (i.e. services to which the Article 44 of VAT Directive 2006/112/EC applies) constituting the “import” of services;

The invoice issued by 'small taxable persons' which opted for cash accounting should mention 'metoda kasowa' (i.e., 'cash accounting').

If the small taxable person opts for cash accounting than the chargeable event takes place

- on the date of receipt of the entire or part of the payment - in the case of the supply of goods or services to other persons than taxable persons who are registered as so-called VAT active taxable persons.
- on the date of receipt of the entire or part of the payment - in the case of the supply of goods or services to the taxable person who is registered as so-called VAT active taxable person; and
- on the date of receipt of the entire or part of the payment, no later than the 180th day from the date of the supply of the good or service - in the case of the supply of goods or services to other persons than taxable persons who are registered as so-called VAT active taxable persons.

'Small taxable persons' must notify the tax authorities about opting for the cash accounting regime by the end of the month preceding the period from which the taxable person would like to apply the cash accounting.

(including the tax amount) did not exceed in the current and preceding tax year EUR 45,000.

- taxable persons whose value of sales (including the tax amount) did not exceed the amount expressed in PLN in the current and preceding tax year, corresponding to the equivalent of EUR 2,000,000; and
- taxable persons that run a brokerage company, manage investment funds, manage alternative investment funds, are an agent, contractor or other person providing services of a similar nature, with the exception of a commission - if the amount of the commission or other remuneration for the services rendered (including the tax amount) did not exceed in the current and preceding tax year EUR 45,000.

So-called 'small taxable persons' may opt for cash accounting. The following taxable persons are considered as 'small taxable persons':

4.4 Cash accounting

A service provided on a continuous basis for a period longer than one year, for which due to its supply in a given year, payment or settlement deadlines do not expire, shall be deemed to have been performed by the end of each tax year, until the service is completed.

If services are accepted partly, it is deemed that the service is supplied partly if for this part of service payment is received. If in respect to services, consecutive payments or settlements are established, it is deemed that the services are performed by the end of each period to which these payments or settlements relate, until the provision of this service is completed.

4.3 Continuous supplies

Where a payment is to be made before the goods or services are supplied, VAT becomes chargeable on receipt of the payment.

4.2 Advance payments

In case of B2B services (i.e., covered by the Art. 44 of VAT Directive), the general rules relating to the chargeable event apply.

For the intra-Community supply of goods, the chargeable event occurs on the date of issue of the invoice, latest on the 15th day of the month following the date of the supply.

For the intra-Community acquisition of goods, the VAT becomes chargeable on issue of the invoice, latest on the 15th day of the month following the acquisition if no invoice has been issued by that time.

- except for services to which Article 44 VAT Directive applies, constituting the "import" of services.
- distribution of electricity, heating or cooling and gas; and
- permanent legal and office services;
- protection of persons and services of protection, supervision and storage of property; and
- lease, tenancy, leasing, or services of a similar nature;
- several types of waste disposal and water treatment services;
- telecommunications;
- provision of services;
- electricity, heat or cooling, and gas; and

5. Taxable amount

5.1 Bad Debt Relief

As a rule, the supplier is entitled to adjust the taxable base and output VAT if the receivable is not paid in any form within 90 days from the date of payment resulting from the agreement or the invoice (i.e. the un-recoverability of the debt is substantiated). It is possible to adjust output VAT partly if the receivable is partially paid.

There are a few conditions which should be met by the supplier to adjust output VAT:

- on the day of filing of the VAT return in which the output VAT is adjusted, the supplier must be registered as an active taxable person; and
- the invoice documenting the receivable is not older than 3 years counted from the end of the year in which it was issued.

The output VAT can be adjusted in the VAT return filed for the period in which the recoverability of the debt becomes substantiated. The tax authorities should be notified in the VAT return about the amount of the adjustment.

On the other hand, the customer who does not pay the receivable within 90 days from the due date of payment, is obliged to adjust the amount of input VAT resulting from the invoice not paid.

If the customer does not pay the amount due for the supply within 90 days from the elapse of the payment deadline indicated on the invoice or respective agreement, he excludes the amount of input VAT recovered with respect to that supply, regardless of whether the supplier decreased his output VAT under the bad debt relief simplification. The exclusion of input VAT should be made by the customer in the VAT return filed over the period in which the 90 days' time limit for payment elapses.

5.2 Cash Discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
23% VAT	EUR 230
Total to be paid	EUR 1,230

If payment is received within the next 14 days, you can subtract 2% of the invoice as a cash discount"

Payment is indeed received within 14 days. In that case the supplier should report EUR 230 on its VAT return and should issue the correction invoice to adjust the taxbase and input VAT. The customer can deduct EUR 225.40 in total.

Polish VAT law provides detailed conditions relating to the method and time limits in which both the customer and the supplier should make the adjustment.

5.3 Open Market Value

Basically, if the supplier and customer are related parties, the value of the supply (the tax base of the transaction) should be established based on the open market value if one of the parties of the supply has a limited right to deduct input VAT. The tax authorities are entitled to determine the tax base based on the market value if it turns out that the connections between the parties of the transaction had an impact on the determination of remuneration for the supply of goods or services if the remuneration is:

- lower than the market value and the customer of goods or services does not have the full right to deduct the amount of input VAT;
- lower than the market value and the supplier of goods or services does not have the full right to deduction of input VAT and the supply of the goods or services is exempt from VAT;
- higher than the market value and the supplier of goods or services does not have the full right to deduct VAT.

The tax authorities have no right to determine the tax base based on the open market value if the transaction has been subject of the advanced pricing agreement concluded with the tax authorities based on special tax provisions being in force in Poland.

5.4 Returnable Packaging

There is a general rule based on which the value of the packaging increases the tax base of supplied goods as such. If the packaging is returned, then the tax base of supplied goods should be decreased accordingly.

If the taxpayer collects a deposit for the packaging, the value of the deposit is not included in the tax base. However, such a deposit must be specified in the contract for supply of the goods. If the customer fails to return the packaging for which the deposit has been taken, the tax base should be increased accordingly. The tax based should be increased:

- on the day following the day on which the contract provided for the return of the packaging - if the packaging was not returned within the period specified in the contract; and
- the 60th day from the date of delivery of the packaging - if the contract does not specify the deadline for returning this packaging.

In the case of reusable packaging, its value is not included in the tax base if the taxpayer delivered the goods in such packaging. If the buyer fails to return the reusable packaging, the entity introducing products in beverage packaging increases the tax base by the value of this packaging. The entity introducing products in beverage packaging calculates the amount of change in the tax base on the last day of the year by determining the difference between the number of reusable packaging placed on the market and the number returned in a given year. The amount of the difference includes VAT. If there is VAT payable on the difference it should be settled in return for the first month following the year for which VAT on reusable packaging has to be paid. If the number of reusable packaging returned in a given year is higher than the number of reusable packaging placed on the market in a given year, the entity introducing products in beverage packaging, takes this difference into account when determining the value of the tax base for the following years.

6. VAT rates

6.1 Standard rate

Currently the standard rate in Poland is 23%.

6.2 Reduced rate

There are two reduced VAT rates 8% and 5%.

The reduced 8% VAT rate applies to (for example):

- certain categories of foodstuffs;
- living animals;
- hotel accommodation;
- fertilizers;
- newspapers;
- products connected with healthcare;
- passenger transport;
- admission to certain sport and cultural events;
- construction work on certain houses;
- services related to waste disposal; and
- certain labor-intensive services such as hairdressers shoemakers.

The reduced 5% VAT rate applies to (for example):

- wide variety of foodstuffs;
- some hygienic products.

6.3 Super – reduced and zero rates

Poland has not introduced a 0% VAT rate to be applied to goods or services included in Annex III to the EU VAT Directive or similar supplies.

7. Exemptions

7.1 Exemptions with the right of deduction

Poland has exemptions with the right to deduct VAT ('zero rates') for the following exemplary supplies of goods and services:

- exports (export in Poland is subject to 0% VAT rate which is equivalent to exemptions with the right to deduct of input VAT);
- intra-Community supplies of goods (the intra-Community supply of goods is subject to 0% VAT rate which is equivalent to exemptions with the right to deduct input VAT);
- the following supplies made to seagoing ship owners:
 - supplies of seagoing passenger liners, cruisers, ferries, and similar units used for passenger transport;
 - supplies of seagoing tankers used for transport of petroleum and chemicals; and seagoing fishing vessels, etc.
- importation of means of sea transport, fishing vessels and sea salvage boats by seagoing ship owners; and supplies of parts and equipment for means of sea transport, fishing vessels and sea salvage boats;
- importation of means of air transport and related spare parts and equipment by air carriers performing mainly international transport;
- services related to air-traffic control supplied for air carriers performing mainly international transport;
- services supplied on the territory of seaports, related to international transport;
- services related to rental, leasing, charter etc. of means of sea and air transport;
- services directly related to the arrangement of the export of goods, in particular issuance of forwarding documents, bills of lading and dealing with customs formalities;
- services directly related to the importation of goods in the case where the value of these services has been included in the tax base, excluding insurance services and importation of tax-exempt goods; and the supply of international transport services.

7.1.1 Intra-Community supplies

The zero VAT rate on the intra-Community supplies of goods applies if the customer and the supplier are taxable persons having appropriate VAT EU Id. No. The supplier is obliged to collect the proof that the goods have been delivered to the customer located in the other EU MS. The taxable person can prove the intra-Community supply of the goods either by providing documents mentioned in the Polish VAT Act or Article 45a of Implementing regulation. Both lists of proofs are allowed and the decision of which documents are collected, is up to the taxable person.

According to Polish VAT Act, to apply the zero VAT rate on the intra-Community supply of goods, the taxable person should collect:

- transport documents received from the transport company, which confirm that the goods have been delivered to the destination in a different EU Member State than Poland; and
- a specification of the delivery.

If the above documents jointly do not prove the delivery of the goods, the supplier may prove the delivery by other documents such as:

- correspondence with the customer, including the purchase order;
- insurance and freight documents;
- confirmation of the payment for the goods; and
- confirmation that the customer received the goods in a different EU Member State than Poland.

If the goods were transported by the supplier's own trucks, the supplier must prepare a special document of delivery which includes the following information:

- the names and addresses of the supplier and the customer;

7.2 Exemptions, without the right to deduction

Polish VAT law provides for several exemptions which are regulated in the VAT Act as well as in the Decree of the Minister of Finance dated 20 December 2013.

Exemption in the public interest

Exempt from VAT are among others, the following activities:

- medical services;
- educational services; and
- certain postal services.

Other exemptions

Exempt from VAT are among others the following activities:

- the supply of goods which were used exclusively for exempt activities if the taxable person did not have the right to deduct input VAT;
- financial and insurance services;
- rental of apartments exclusively for residential use; and
- tenancy of ground for agricultural purposes.

7.3 Option for taxation

As regards the supply of immovable properties, the Polish VAT law exempts:

- the supply of undeveloped plots of ground other than those destined to be developed;
- the supply of buildings or parts of them, except if the supply is made before the first occupancy or less than 2 years have elapsed after the first occupancy. The taxable person has the option to tax such supply under the following conditions:
 - the supplier and the customer are registered for VAT as active taxable persons;
 - before the supply the supplier and the customer file to the tax authorities relevant for the customer, a statement that they opt for taxation of the building, structure or part thereof. This statement should include the following information:
 - the names, addresses and VAT ID numbers of the supplier and the customer;
 - planned date of the supply of the building, structure or part thereof; and
 - the address of the building, structure or part thereof.

The supply of buildings other than described above, are also exempted under the following conditions:

- the taxable person had no right to deduct input VAT at the moment of acquisition/construction of the buildings, structures, or parts thereof; and
- if the buildings, structures or parts thereof have not been modernized by the taxable person or the value of expenses (from which the taxable person had the right to deduct input VAT) of modernization was not higher than 30% of the initial value of the building, structure or part thereof.

The possibility to opt for taxation of financial services has not been introduced.

8. Liability

8.1 Reverse charges

There are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by non-resident suppliers to the taxable persons and legal entities with VAT EU Id. No. established

in Poland. This reverse charge applies in all EU MS and follows from Art. 44 and Art. 196 EU VAT Directive. There is also a reverse charge for the supply of natural gas and electricity and the transfer of CO₂ emission rights. (Article 199a EU VAT Directive).

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 Directive)

In the case of supply the goods (which a few exceptions mentioned below) the reverse charge applies under the following conditions:

- the supplier;
- does not have its registered office or a fixed establishment in Poland that intervenes in the transaction; and
- is not registered for VAT purposes in Poland; and
- the customer;
- is a Polish taxable person who has its registered office or a fixed establishment in Poland; or
- is a legal entity not being a taxable person but having its registered office in Poland and is registered for intra-Community transactions in Poland, i.e., has VAT EU Id. No.; and
- the supply is not made within the framework of the intra-Community distance sales of goods or distance sales of imported goods (Import One Stop Shop (IOSS)).

According to the above rules, the reverse charge does not apply if a non-resident supplier of goods is registered for VAT in Poland.

The reference 'odwrotnie obciążenie' meaning the reverse charge, is required on the invoice.

In the case of supply of gas or energy via a distribution system, the reverse charge applies if the supplier does not have its registered office or a fixed establishment in Poland that intervenes in the transaction and the customer is registered for VAT in Poland or for VAT EU transactions in Poland and the supply is not made within the framework of the intra-Community distance sales of goods or sales of imported goods (Import One Stop Shop (IOSS)).

The reference 'odwrotnie obciążenie' meaning the reverse charge, is required on the invoice.

In the case of transfer of an SPV (if the place of supply of the goods to which the SPV refers is Poland) the reverse charge applies if the supplier does not have its registered office or a fixed establishment in Poland that intervenes in the transaction and the customer is a taxable person or a non-taxable legal person and the supply is not made within the framework of the intra-Community distance sales of goods or sales of distance imported goods (Import One Stop Shop (IOSS)).

The reference 'odwrotnie obciążenie' meaning the reverse charge, is required on the invoice.

In the case of supply of services (other than B2B-services and a few others) the reverse charge is applicable, on the following conditions:

- the supplier;
- does not have its registered office or an intervening fixed establishment in Poland; and
- is a taxable person within the meaning of Polish law having in Poland its registered office or a fixed establishment taking part in the transaction; or
- is a legal entity not being a taxable person but having its registered office in Poland and registered or required to register for intra-Community transactions in Poland, i.e., has a Polish VAT Id. No.

The reference 'odwrotnie obciążenie' meaning the reverse charge, is required on the invoice.

The reverse charge on the supply of services connected to an immovable property, is applicable on the following conditions:

- the supplier;
- does not have its registered office or an intervening fixed establishment in Poland;
- is not registered for VAT in Poland; and

- the customer;
- is a taxable person within the meaning of Polish law having a registered office or a fixed establishment in Poland; or
- is a legal entity, not being a taxable person but being registered or required to register for intra-Community transactions in Poland, i.e., has Polish VAT ID. No.

The reference 'odwrotne obciążenie' meaning the reverse charge, is required on the invoice.

In the case of transfer of an SPV (if the place of supply of the service to which SPV refers is Poland) the reverse charge applies if the supplier does not have its registered office or a fixed establishment in Poland that intervenes in the transaction and the customer is a taxable person or a legal person not being the taxable person.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

Poland has not implemented specific domestic reverse charges apart from the reverse charges mentioned in paragraph 8.1.2.

8.2 Joint and several liability

There is joint and several liability of the customer together with the supplier for VAT due on the supply of the goods mentioned in the Annex No 15 the VAT Act (i.e. the same goods to which the obligatory split payment apply) if at the time of making the supply, the customer knew or had reasonable grounds to assume that the supplier will not pay the VAT due to the tax office. The taxpayer has reasonable grounds to assume that the entire amount of VAT attributable to the delivery of goods made to him, or part thereof, would not be paid if the circumstances surrounding the delivery of goods or the conditions under which it was made differs from the circumstances or conditions usually occurring in trade in such goods, in particular if the price for the goods delivered to the taxpayer was, without economic justification, lower than their market value.

There is an exception for:

- purchases made at fuel stations or liquefied gas stations, into standard tanks of vehicles used by taxpayers purchasing these goods, to power these vehicles;
- the supply of goods made by a taxpayer supplying gas through its own transmission or distribution networks;
- if the occurrence of tax arrears was not related to the participation of the supplier in an unreliable tax settlement to obtain financial benefits;
- for the purchase of goods documented by an invoice in which the total amount due exceeds PLN 15,000 (approximately EUR 3,500) or its equivalent expressed in a foreign currency;

- to purchase goods for which the taxpayer paid using the split payment mechanism. As mentioned, Poland implemented a specific joint and several liability for the VAT due on the goods mentioned in the Annex no 15 to the VAT Act (for which the obligatory split payment rules apply). Besides this liability, there is a general joint and several liability for the VAT due on the supply of goods and services (the value of the supply must be higher than PLN 15,000 (approx. EUR 3,500)), if the customer pays the supplier on a bank account that is not listed on the so-called 'whitelisted of taxable persons'. The whitelisted of taxable persons is a register of all taxable persons registered for VAT in Poland. The whitelisted is kept by the Polish tax administration and is publicly available for everybody interested. The whitelisted is available under the following link <https://www.podatki.gov.pl/wykaz-podatkow-vat-wyszukiwarka>. The joint and several liability is excluded if the customer pays for the invoice to the supplier with so-called split payment. The joint and several liability does not apply also to invoices relating to the intra-Community acquisition of the goods, acquisition of the goods and services to which the reverse charge applies.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

- The input VAT is not recoverable in case of:
- accommodation and restaurant services (except the ready-for-consumption meals served by companies transporting passengers or if the accommodation services are acquired by the taxable person to re-invoice them);
 - the invoice is issued by a non-existent entity;
 - the invoice is issued for a VAT exempt transaction or for a non-taxable VAT transaction;
 - the invoice is issued for a transaction which has not been performed, indicates amounts not corresponding to the facts, proves transactions which are invalid or the purpose of which is to circumvent provisions of civil law, i.e. pretense activities;
 - the invoices and correction invoices issued by the customer have not been accepted by the supplier;
 - the invoice indicates VAT which should not have been indicated on the invoice; and
 - reporting VAT on the intra-Community acquisition of goods if the intra-Community acquisition of the goods has been reported under a Polish VAT identification number, but the goods are delivered to a different EU Member State than Poland.

Poland implemented limitations of deduction to 50% of input VAT related to the acquisition of passenger cars and petrol, gas, diesel fuel, repair services and spare parts used for cars whereby the taxable person has a limited right to deduct input VAT. The limitation on deduction of input VAT does not apply if the car is used exclusively for business activities or is designed for 10 passengers including the driver.

If cars are used exclusively for a business activity, the taxable person is entitled to deduct 100% of input VAT under the following conditions:

- the construction of the car excludes the possibility of using the car for other than business purposes;
- the internal rules relating to using the car within the taxable person's business (an instruction) ensure that the car may only be used for business purposes;
- the taxable person keeps detailed evidence of the car's mileage; and
- the taxable person informs the tax office about its intention to use the car exclusively for business purposes within 7 days from the date of incurring the very first expense related to this car.

The limitation in deduction of input VAT does not apply to cars which are intended for re-sale or lease/rent, etc.

In the case of an intra-Community acquisition of goods, the input VAT becomes deductible in the month in which the taxable event occurs under condition that the taxable persons settle output VAT for that period.

9.2 Excess input VAT

Excess input VAT can be refunded to the bank account of the taxable person. However, it must be remitted on the bank account of a bank established in Poland (refunds made to foreign bank accounts are not possible) or, alternatively, can be carried forward to the VAT returns for subsequent periods. It is up to the taxable person how the excess of input VAT is settled, i.e., the structure of SAFT includes special fields in which the taxable person asks for a VAT refund or transfers VAT to future VAT settlements.

If the taxable person asks for the VAT refund on his bank account, the tax authorities must pay the refund within the following time limits:

- 60 days from the filing date of the VAT return in which the VAT refund is reported; or
- 180 days, if there was no taxable activity on the territory of Poland and no supply of goods or services outside Poland on which VAT would have been deductible if it had been made in Poland.

If certain additional conditions are met, the above time limits for the VAT refund can be shortened in the following ways:

- from 180 days to 60 days in the case of the provision of special security to the tax authorities; or

The money should be refunded on the VAT refund.

The money should be refunded on the taxable person's bank account within 10 days from the date of issue of

- 6 months from the date of receiving the application for the VAT refund if the tax authorities ask for additional explanations/documents; and
- 8 months from the date of receiving the application for the VAT refund if the tax authorities ask for additional explanations/documents twice.

If the tax authorities request additional data, VAT refund should be made within:

authorities.

The taxable person has 1 month to provide these additional explanations/documents to the tax documents. The tax authorities should issue their decision on the VAT refund within 4 months' time counted from the moment of receiving the application. If the tax authorities have not received all required documents/ information to issue the decision, they are entitled to ask the taxable person for additional explanations or documents.

The taxable person is required to attach to its electronic application, copies of the invoices and customs documents in which the tax base exceeds EUR 1,000, or EUR 250 for purchases of fuel.

The application for the VAT refund should be filed by 30 September of the year following the year for which the taxable person applies for the VAT refund. As a rule, it is not possible to file the application successfully after the above-mentioned deadline. The taxable person may apply for the VAT refund over a period not shorter than 3 calendar months and not longer than 1 calendar year. The minimum amount of the VAT refund is EUR 400 for an application filed for a period shorter than 1 year but not shorter than 3 months. EUR 50 for an application filed for a period of an entire year or a period shorter than 3 last months of a calendar year.

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The following tax office is responsible for dealing with the application for the VAT refund:

The application for a VAT refund for non-Polish taxable persons but established in one of the other EU MS, should be filed electronically in the EU MS in which the taxable person is established. The relevant tax administration subsequently transfers the electronic application for the VAT refund to the Polish tax office responsible for making the VAT refund.

9.4 VAT refund to EU taxable persons

- The adjustment period is:
- immovable property, ground, perpetual usufruct - 10 years following the year of first use;
- movable property, intangible assets - 5 years following the year of first use.

Poland implemented an obligation to adjust the input VAT deducted the acquisition of goods or services which became fixed assets including ground, perpetual usufruct and intangible assets, if their initial value is higher than PLN 15,000 (approximately EUR 3,575).

9.3 Adjustment periods

If the tax authorities have doubts that the VAT refund is justified, they can prolong the time limit for the refund. The VAT law does not specify for how long the VAT refund can be prolonged. The law states, however, that if prolongation is not justified, the tax authorities are required to refund VAT with interest.

- From 60 days to 40 days in case of issuance of only structured invoices or 25 days in case all amounts charged on the purchase invoices by the suppliers were paid and reported in the VAT return.

Any mistakes in the application detected by the tax authorities should be corrected by the applicant within the time limit specified in the correspondence from the tax authorities. If the tax office rejects the application for VAT refund entirely or partly, the taxable person is entitled to file an appeal against the negative decision.

The money should be refunded to the taxable person's bank account within 10 days from the date of issue of the decision on the VAT refund.

- If the tax authorities ask for additional data, the VAT refund should be made within:
6 months from the date of receiving the application for the VAT refund if the tax authorities ask for additional explanations/documents; and
8 months from the date of receiving the application for the VAT refund if the tax authorities ask for additional explanations/documents twice.

The tax authorities should issue their decision on the VAT refund within 4 months' time starting from the moment of receiving the application. If the tax authorities have not received all documents/information required to issue the decision on the VAT refund, they are entitled to ask the taxable person for additional explanations or documents. The taxable person has 1 month to provide these additional explanations/documents to the tax authorities. The correspondence may take place electronically.

- The minimum amount of the VAT refund is:
EUR 400 for an application that is submitted over a period of at least 3 months and less than 1 year; and
EUR 50 for an application that concerns the entire year or the remainder of the year.

The taxable person may ask, as a rule, for a VAT refund over a period not shorter than 3 calendar months and not longer than 1 calendar year.

The application for the VAT refund should be filed in Polish and should be accompanied by the following documents:

- the original invoices and customs documents based on which the VAT refund should be made; and
- the original VAT Certificate confirming that the applicant applying for the VAT refund acts as a taxable person. The certificate should be issued by the tax administration relevant for the applicant in the country of his establishment. The certificate which is filed with the tax authorities may not be older than 1 year. If the VAT Certificate is issued in a foreign language, it is necessary to also file a sworn translation into Polish.

The taxable person may ask, as a rule, for a VAT refund over a period not shorter than 3 calendar months and not longer than 1 calendar year.

*Drugi Urząd Skarbowy Warszawa Śródmieście
Jagiellońska St. 15
03-719 Warszawa
Poland*

The application should be submitted to the following tax office:

The VAT refund in respect of non-EU taxable persons, shall be made based on the reciprocity principle. Currently, Poland refunds VAT to taxable persons established in the following non-EU countries: UK, Norway, Switzerland, Macedonia and Iceland.

The application for a VAT refund for non-EU taxable persons should be filed in the paper form up to 30 September of the following year for which the taxable person incurred the VAT. As a rule, it is not possible to file the application successfully after this deadline.

9.5 VAT refund to non-EU taxable persons

Any mistakes in the application detected by the tax authorities should be corrected by the applicant in the time limit specified in the correspondence from the tax authorities. If the tax authorities reject the application for the VAT refund entirely or partly, the taxable person is entitled to file an appeal against the negative decision.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoices content

The VAT invoice must contain the following information:

- the date of issue;
- the sequential number, based on one or more series, which uniquely identifies the invoice;
- the name and surname or business name of the supplier and the customer and their addresses;
- the supplier's VAT number;
- the supplier's VAT identification number with country prefix "PL" in the case of intra-Community supplies of the goods and in the case of intra-Community supply of services to which Art. 44 EU VAT Directive applies;
- the customer's VAT identification number, under which the customer received the goods or services;
- the customer's VAT identification number with the country prefix valid for the relevant EU Member State under which the customer received the intra-Community services to which Art. 44 of the EU VAT Directive applies or in case of the intra-Community acquisition of goods;
- the date on which the supply of goods was made and/or the services were completed as far as that date can be determined and differs from the date of issuance of the invoice;
- the date of receiving the prepayment for the supply of goods or services as far as that date can be determined and differs from the date of issue of the invoice except for an intra-Community supply of goods;
- the nature/description of the goods or services;
- the measure and quantity of the goods supplied or the scope of the services rendered;
- the unit price of goods or services exclusive of VAT (unit net price);
- any discounts or rebates, including the rebates granted on account of earlier payment, if they are not included in the unit price;
- the value of the goods supplied or services rendered covered by the transaction without the amount of the VAT (net value of sale);
- the applied VAT rate;
- the sums of the net values of the goods or services grouped by their applicable VAT rates or exemptions from VAT;
- the total VAT amount per VAT rate;
- the total amount due;
- in the case of cash accounting corresponding reference: "metoda kasowa";
- the reference "odwrotnie obciążenie" meaning the reverse charge – in case of invoices documenting transactions in which the customer is the entity obliged to settle the VAT;
- in case of self-billing corresponding reference: "samofakturowanie";
- the reference "procedura marży dla biur podróży" in case of the margin scheme for travel agents;
- the reference "procedura marży – towary używane" in case of the margin scheme for second-hand goods;
- the reference "procedura marży – dzieła sztuki" in case of the margin scheme for works of art;
- the reference "procedura marży – przedmioty kolekcjonerskie i antyki" in case of the margin scheme for collector's items and antiques;
- in case of a supply which is VAT exempt, the reference either to the Polish VAT provisions or the VAT Directive or any other legal basis indicating that the supply is VAT exempt;
- where the invoice is issued on behalf of a debtor by an enforcement authority or a court executive officer, the name and address of the executive authority or the court executive officer and name and address of the debtor;
- the name, address, and VAT identification number of the fiscal representative (if the invoice is issued by the fiscal representative);
- in case of an intra-Community supply of a new means of transport, the first entry into service of the new means of transport and the information necessary to determine whether the means of transport is new;
- the reference "mechanizm podzieleni płatności" in case of domestic supplies of goods or services mentioned in the Annex no 15 to the VAT Act which value is higher than PLN 15,000.00 (approximately EUR 3,500), i.e. the invoices for which the payment must be made with the split payment; and

- in case of an intra-Community triangular transaction (simplification), when the invoice is issued by the second taxable person (party B):
 - the note: "VAT: Faktura WE uproszczona na mocy art. 135-138 ustawy o ptu" or "VAT: Faktura WE uproszczona na mocy artykułu 141 dyrektywy 2006/112/WE";
 - the indication that the VAT will be settled by the third taxable person;
 - the VAT identification number of the second taxable person; and
 - the VAT identification number of the third taxable person.
- ### 10.1.2 Time limits
- As a rule, the invoice should be issued no later than the 15th day of the month following the month in which the supply took place (delivery of goods or provision of services or receiving the prepayment). At the same time the invoice cannot be issued earlier than 60 days before making the supply of the goods or completion of the service or receiving the prepayment for the future supply. There are a few exceptions from this principal rule relating to certain types of services.
- ### 10.1.3 Currency
- Polish currency is called zloty, i.e., "PLN". The invoice can be issued in any currency, i.e., there is no obligation to issue it in PLN. There is only the obligation to show on the invoice the amount of output VAT in PLN. So, the amount on the invoice can be issued for example in EUR. But the VAT amount must be shown in PLN separately.
- ### 10.1.4 Conversion and exchange rate
- If the invoice is expressed in a foreign currency (i.e. not in PLN) conversion for into PLN should be made based on the average exchange rate published by the Polish National Bank valid for the last business day preceding the day in which the tax point arose.
- The taxable person may also apply the exchange rate published by the European Central Bank. In such a case it is necessary to use the exchange rate published by this bank on the last business day preceding the day in which the tax point arose. Currencies other than EUR should first be re-calculated into EUR and next recalculated from EUR into PLN.
- If the invoice is issued before the tax point, it is necessary to convert it into PLN based on the average exchange rate published by the Polish National Bank or the European Central Bank valid on the last business day preceding the day of issuance of the invoice.
- In the case of import, the amounts should be converted into PLN based on the customs exchange rates.
- ### 10.1.5 Self-billing
- Self-billing is allowed on condition that:
- there is a prior agreement between the 2 parties; and
 - there is a procedure specified for the approval of individual invoices by the taxable person performing the supply.
- ### 10.1.6 Simplified invoice
- If the total value of the invoice is not higher than PLN 450 or EUR 100, the taxable person may issue a simplified invoice. The simplified invoice should include the following information:
- the date of issue;
 - the sequential number, based on one or more series, which uniquely identifies the invoice;
 - the name and surname or business name of the supplier;
 - the supplier's VAT identification number;
 - the supplier's VAT identification prefix "PL" in the case of intra-Community supplies of the goods and in the case of intra-Community supply of services on which Art. 28b of VAT Act (i.e., Art. 44 EU VAT Directive) applies;
 - the customer's VAT identification number, under which the customer received the goods or services;
 - the customer's VAT identification number with the country prefix valid for relevant EU Member States; under which the customer received the intra-Community services to which Art. 44 EU VAT Directive applies or in case of the intra-Community acquisition of goods;

Quarterly SAF-T filing is also available for taxable persons who opt for paying CIT based on a simplification called 'Estonian CIT' if the value of its annual turnover for the previous year is lower than EUR 4,000,000.

'Small taxable persons' who do not opt for 'cash accounting can choose for a quarterly filing of SAF-T's.

quarterly basis.

So-called 'small taxable persons' (i.e., whose annual turnover is lower than EUR 2,000,000 including VAT/ or EUR 45,000 in the case of so-called agents) who opt for so-called cash accounting, file SAF-Ts on a

SAF-T returns should be filed monthly.

All taxable persons are required to file SAF-T returns. The periodical SAF-T consists of 2 parts, i.e. the declaration part and the registers part. In the declaration part of SAF-T, the taxable person provides summary data about sales and purchases realized in the settlement period. In the registers part of SAF-T, the taxable person reports sales and purchases invoices one by one.

10.2.1 VAT return period

10.2 Compliance

As of 1 January 2022, taxpayers can voluntarily issue structured invoices via KSeF (i.e. Country System of Electronic Invoices). Issuance of structured invoices require acceptance by the customer. As of 1 February 2026 issuing structured invoices will become obligatory for the taxpayers whose turnover exceeded PLN 200 million (approximately EUR 47 million) in the previous year and from 1 April 2026 for other taxpayers. Issuance of the structured invoices via KSeF will be obligatory for taxpayers established in Poland.

invoices are guaranteed.

The use of an electronic invoice is subject to acceptance by the customer. The taxable person may choose any format for the electronic invoicing if the authenticity of origin, integrity of content and readability of such

10.1.8 Electronic invoicing

Stored invoices should be divided into settlement periods so that they are easy to find and the authenticity of origin, integrity of content and readability must be guaranteed during the whole VAT assessment period. Taxable persons established in Poland must store the invoices on the territory of Poland unless they are stored electronically in a way to allow the tax authorities online access to them.

they have been issued.

Structured invoices issued via KSeF should be stored for 10 years counted from the end of the year in which

services are completed.

The taxable person is required to store all VAT records, including invoices, until the lapse of the assessment period for VAT, i.e. 5 years from the end of the year in which the VAT was payable to the tax authorities. There is an exception for taxable persons supplying telecommunications, broadcasting and electronic services which are taxed based on the special scheme referred to in the Articles 358a-369 and 369a-369k of the EU VAT Directive. In that case documents must be stored for 10 years from the end of the year in which the

10.1.7 Storage of invoices

- the date on which the supply of goods was made and/or the services were completed as far as that date can be determined and differs from the date of issuance of the invoice;
- the date of receiving the prepayment for the supply of goods or services except for an intra-Community supply of goods, as far as that date can be determined and differs from the date of issue of the invoice;
- the nature/description of the goods or services;
- any discounts or rebates, including the rebates granted on account of earlier payment, if they are not included in the unit price;
- the total amount due; and
- under condition that the simplified invoice includes all information needed to determine the VAT rates and, based on these VAT rates, the VAT amounts.

There are no national recapitulative statements in Poland.

10.2.4 National recapitulative statement

<https://tinyurl.com/5n86sz2v>

The layouts of the EU sales and purchases listing (VAT-EU and VAT-EUK) are published on the website:

following month.

The European sales (and purchase) listings should be filed electronically monthly by the 25th day of the

- transfer of goods from Poland under the call-off stock simplification.
 - intra-Community supply of services referred to in Article 44 of the EU VAT Directive; or
 - supplies of goods on which the simplified triangulation rules apply;
 - intra-Community acquisition of goods;
 - intra-Community transfer and supply of goods;
- transactions starts performing the following activities:
- and VAT-EUK). Hence, the obligations arise as soon as the taxable person registered for intra-Community Poland has not implemented any thresholds to file the European sales listing (the form called: VAT-EU

10.2.3 European sales listing

If the taxable person is required to file VAT returns electronically, it must file a special authorization for the person who will send VAT returns to the tax authorities electronically. The authorization is called "UPL-1".

The same applies, i.e., the taxable person must file an updated version of SAF-T within 14 days, if the tax office detects an irregularity or a mistake in SAF-T. The obligation to file the updated version of SAF-T appears on the request of the tax authorities if the authorities are not able to verify the correctness of the reported transactions in SAF-T due to mistakes or irregularities in it. In that case the tax office sends a written notification to the taxable person with a request for the correction of SAF-T. Depending on the situation, the taxable person files the correction of SAF-T or provides an explanation that the filed SAF-T is correct and justifies this standpoint. If the taxable person does not respond to the request of the tax office, a fine is issued for PLN 500 (approximately EUR 116) for each detected mistake.

If the taxable person detects a mistake in a filed SAF-T in the part relating to registers or changes the data in this register, he is required to file to the tax office the updated version of SAF-T within 14 days.

In case of quarterly filing, for the first 2 months of the quarter, the taxable person files SAF-T called JPK_V7K in part relating to registers. The deadline for filing is always the 25th day of the following month. For the last month of the quarter, the taxable person also files a JPK_V7K but in the part related to registers, the taxable person provides the data for the last month of the quarter but in the declaration part he provides the data for the entire quarter.

In case of monthly filing, SAF-T called JPK_V7M should be filed and the VAT due should be paid by the 25th day of the following month.

Both resident and non-resident taxable persons must file and pay VAT due within the same time limits. All taxable persons are obliged to file SAF-T electronically to the tax office.

10.2.2 Filing of VAT return and payment

Poland; all taxable persons must follow the same rules. There is no difference in the methodology of filing between taxable persons established and not established in

- who settles import VAT using so called 'postponed accounting' scheme.
 - EUR 11,600) in each month of these quarters; and
 - payment applies obligatory, unless the net value of the goods was lower than PLN 50,000 (approximately taxable persons who in the given quarter or in the last four quarters supplied goods for which split
 - newly registered taxable person, i.e., for the first 12 months from the date of registration;
- Quarterly SAF-T filing is not available at all for:

10.2.5 Tax assessment period

The tax assessment period is 5 years calculated from the end of the year in which the VAT should have been paid.

10.2.6 SAFI reporting

Apart of forms JPK_VAT7M and JPK_VAT7K, the Ministry of Finance has published the following structures of SAF-T's which may relate to VAT settlements:

- JPK_FA – i.e. SAF-T file relating to invoices;
- JPK_MAG – i.e. SAF-T file relating to warehouses;
- JPK_WB – i.e. SAF-T file relating to bank accounts;

Depending on the settlement period chosen by the taxable person, the JPK_VAT7M or JPK_VAT7K is required to be filed to the tax office, without any request by the tax authorities, within the time limits resulting from the VAT Act.

The other SAF-T's, i.e. JPK_FA, JPK_MAG, JPK_WB are to be filed at the request of the tax authorities.

10.2.7 Split payment

Poland obtained the Decision (i.e. Council Implementing Decision (EU) 2022/559 of 5 April 2022 authorizing Poland to introduce a special measure derogating from the Article 226 of Directive 2006/112/EC on the common system of value added tax) authorizing Poland to implement the obligatory split payment for certain goods and services listed in this Decision.

Based on the above Decision, Poland implemented the so-called 'voluntary split payment' and 'obligatory split payment'. The split payment means that the customer pays for the invoice with a so-called split where the net amount goes on the supplier's business bank account and the VAT amount goes on the supplier's VAT bank account. The banks operating in Poland are obliged, among others, to:

- open a VAT account for the business bank accounts of the taxable persons; and
- create a special layout of the bank transfer which allows for the payment of invoices to be made with a split payment.

The taxable persons who do not have an establishment or a fixed establishment in Poland, who will carry out supplies covered by the obligatory split payment, are required to open a bank account in a bank established in Poland. The costs of maintenance of this bank account can be refunded by the Polish tax office to foreign companies registered for VAT in Poland.

Money collected by the supplier on his VAT account can be used to pay for:

- the VAT to the tax authorities;
- the VAT to the suppliers;
- corporate income or personal income tax;
- excise tax;
- customs duties; and
- social security liabilities.

The taxable person can also ask the authorities to refund the money kept on the VAT account.

The split payment may be applied by the supplier for all invoices which cover VAT. However, in case of certain goods and services recognized as "sensitive", the customer must pay for the invoice when the value is higher than PLN 15,000. (approximately EUR 3,500) gross with the split payment. The list of goods and services to which the split payment must be applied obligatory, is covered by the Annex no 15 of the VAT Act. The Annex covers the list of 150 items of goods and services, for example: ferro-alloys, non-alloys steel, copper, investment gold, electronic integrated circuits, laptops and notebooks, mobile phones, video game consoles (such as those used with a television set or a stand-alone screen) and other gaming or gambling apparatus with electronic display - excluding parts and accessories, waste materials, construction services, spare parts and accessories to cars.

The invoices documenting transactions covered by the obligatory split payment must contain the following clause in Polish "mechanizm podzielenia płatności" (in English "split payment mechanism"). If the invoices do not contain this note, the taxable person will be charged with a penalty sanction equal to 30% of the VAT indicated on the invoice. The sanction is not imposed if the customer pays with the split payment, despite the omission of the clause in Polish on the invoice. Moreover, the net amount of the invoices could not be treated as tax deductible for respectively CIT or PIT purposes.

The payment for the supply of the goods via the split payment exempts also the customer from joint and several liability for VAT due on the supplied goods.

10.3 Penalties

10.3.1 Penalty interest

If VAT due to the tax office is not paid by the taxable person on time (or at all) or the taxable person claims and receives an amount of VAT refund more than what he is entitled to, he must pay this VAT back to the tax office together with a penalty interest. The rate is 14.5% per year. The percentage of interest varies in time, hence the percentage of interest is not fixed as such.

There is an exemption from the obligation to pay the penalty interest if the overdue amount is lower than PLN 8,70 (approximately EUR 2).

The rate of the penalty interest may be decreased to 50% (i.e. 7.25%) or increased up to 150% (i.e. 21.75%) of the basic rate (i.e. 14.5%).

The decreased 50% rate of penalty interest applies if the taxable person:

- files a valid correction of the VAT return within 6 months from the initial time limit for filing that VAT return to the tax office; and
- pays the VAT due within 7 days after filing the correction VAT return to the tax office.

However, the decreased 50% penalty interest cannot be applied if the taxable person files his correction VAT return:

- after receiving a notice of intention to initiate a tax audit, and where the notice does not apply - after the closing of a tax audit;
- after the taxable person received an authorization to start a customs-fiscal inspection;
- as a result of the supervision of the VAT return by the tax office.

The increased 150% penalty interest applies, if:

- the tax authorities detect during the tax audit or customs-fiscal inspection or tax litigation that the taxable person has diminished the VAT due or overestimated an overpayment of VAT or of a VAT refund;
- the taxable person files its corrected VAT return;
- after receiving the notice of intention to initiate a tax audit, and where the notice does not apply - after the closing of a tax audit;
- after receiving the authorization to start a customs-fiscal inspection; and
- as a result of the supervision of the VAT return by the tax office.

If the incorrectly reported VAT is higher than 25% of the VAT due and is lower than the amount being equivalent of 5 times the statutory minimum salary in Poland valid on the day following the date of the VAT payment or refund.

Additionally the increased 150% penalty interest applies if non filing of the tax return has been detected by the tax authorities in the result of the tax audit, customs – fiscal inspection, supervision activities or tax litigation.

The increased penalty interest does not apply if additional VAT penalty sanction applies.

10.3.2 Penalty sanction

The VAT Act provides with a few types of penalty sanctions, i.e., up to 15 %, up to 20%, up to 30% and 100%.

According to the Fiscal Penal Code, the penal responsibility affects any individual person who is responsible for conducting the VAT settlement of the taxable person and/or sign tax returns. Hence, the fine resulting from the Fiscal Penal Code is not directed to the company/the taxable person as such, but to its employees, Members of the Board, VAT Managers, etc. Such person may avoid the fine if a voluntary disclosure is filed to the tax authorities. The voluntary disclosure is effective only if it is submitted to the tax authorities before the tax authorities learn about the violation of the tax law. Additionally, if the irregularity results in

10.3.3 Offence penalties

- The 100% penalty sanction applies to the deduction of input VAT resulting from invoices:
 - issued by a non-existent entity;
 - for activities that have not been performed;
 - that show amounts inconsistent with reality; and
 - if the tax office proves that the transactions were invalid or the purpose of which is to circumvent the provisions of civil law, i.e. preference activities.
- The penalty sanctions do not apply if, before initiation of a tax audit or a customs-fiscal inspection, the taxpayer:
- submitted correction of VAT return; or
 - submitted correction of VAT return with the tax amounts shown and paid the amount resulting from the submitted return or correction of the tax return together with default interest to the tax office.
- The penalty sanctions also do not apply if irregularity results from:
- arithmetic errors or obvious mistakes made in the declaration; and
 - failure to include the tax due or input tax in the settlement for a given settlement period, and the tax due or input tax was included in previous settlement periods or in periods following the relevant settlement period, if this occurred before the date of initiation of a tax audit or a customs and fiscal audit.
- While the amount of penalty sanction is established by the tax authorities they shall consider:
- the circumstances of the irregularity;
 - the type and degree of breach of the taxpayer's obligation, which resulted in the irregularity;
 - the type, degree and frequency of irregularities identified so far concerning non-statutory tax liabilities;
 - the amount of irregularities identified, including the amount of understatement of tax liability, the amount of overstatement of the tax difference of refund, the refund of input tax or the tax difference to reduce the tax due for the next settlement periods; and
 - actions taken by the taxpayer after the irregularity was identified to eliminate the effects of the irregularity.
- The sanction up to 30% shall be decreased by the tax office up to a 20% sanction, if after the tax inspection the taxable person:
- corrects irregularities detected by the tax office; and
 - files overdue VAT returns and pays overdue VAT to the tax office.
- The sanction up to 15% shall apply if the taxable persons after receiving the notification from the tax and customs authorities about incoming customs – fiscal inspection, files within 14 days a correction of VAT return and pays the overdue VAT as a result thereof.
- The sanction is calculated up to 30% of underestimated VAT due to the tax office or overestimated VAT refund or VAT carried forward depending on the circumstances of the case.
- The sanction up to 30% shall be decreased by the tax office up to a 20% sanction, if after the tax inspection the taxable person:
- an amount of VAT due to the tax office lower than should have been reported;
 - an amount of VAT refund higher than should have been reported;
 - an amount of VAT carried forward to the VAT return for the following periods is higher than should have been reported;
 - an amount of VAT refund or VAT carried forward when VAT is due to the tax office; and
 - did not file a VAT return and did not pay VAT due to the tax office.
- The sanction up to 30% applies if the tax office detects that the taxable person reported in his filed VAT return:

Intrastat should be filed by the 10th day of the month following the reference month. Intrastat must be filed electronically via the customs portal called PUESC. The portal PUESC is kept by the Ministry of Finance on the following web page: <https://tinyurl.com/5n8wvwyef>. The Ministry of Finance published a special

Liability to file Intrastat is a natural person or a legal person, as well as an organizational unit without legal personality, participating in trade in goods within the EU and obliged to provide information for the purposes of records and statistics on trade in goods between the Member States of the EU, the provisions on public statistics and the provisions of the customs law or its tax representative within the meaning of the provisions on the tax on goods and services.

- arrivals of goods to Poland;
 - dispatches of goods from Poland.
- Intrastat should be filed in respect to:

10.4 Intrastat

If VAT has not been reported correctly, the tax authorities may issue a fine of up to PLN 23,330 (approximately EUR 5,500) to the person responsible. This is because the tax authorities' right to issue fines is limited to minor offences of the tax law. However, in the case of more serious offences, such as tax avoidance, tax evasion or tax fraud, the tax authorities are not competent, and the case is judged by the court. Depending on the type of the irregularity, the court may issue a monetary fine to the person responsible which may be very high or even decide on imprisonment.

10.3.3.4 Penalties on VAT assessments when VAT is not reported correctly

Regardless of the above, the tax authorities may also impose a fine on the person responsible for not paying VAT on time. The penalty, issued by the tax office, cannot be higher than PLN 23,330 (approximately EUR 5,500). The tax authorities' right to issue fines is limited to minor offences of the tax law. If the case is more serious and the offence of VAT law leads to avoidance of VAT, the tax office is not competent to issue the fine. In such a case the tax authorities will direct the case to the competence of the criminal court. The criminal court may issue different types of penalties such as a financial penalty, restriction of personal liberty, or imprisonment.

10.3.3.3 Default penalties for not paying VAT on time to the tax authorities

If a VAT return or European sales listing is not filed on time, the tax authorities may issue a penalty to the person responsible for not keeping to the time limit for filing. The penalty, issued by the tax office, cannot be higher than PLN 23,330 (approximately EUR 5,500). The tax authorities' right to issue penalties is limited to minor offences of the tax law. If the case is more serious and the offence of VAT law leads to avoidance of VAT, the tax office is not competent to issue the fine. In such a case the tax authorities will direct the case to the competence of the criminal court. The criminal court may issue different types of penalties such as a financial penalty, restriction of personal liberty, or imprisonment.

10.3.3.2 Default penalties for not filing a VAT return or a European sales listing on time

If the taxable person does not register for VAT on time (i.e. before making his very first activity subject to VAT) the person responsible may receive a fine for the tax offence. The tax office may issue a fine up to PLN 23,330 (approximately EUR 5,500). If the case is more serious and the offence of VAT law leads to avoidance of VAT, the tax office is not competent to issue the fine. In such a case the tax authorities will direct the case to the competence of the criminal court. The criminal court may issue different types of penalties such as a financial penalty, restriction of personal liberty, or imprisonment.

10.3.3.1 Default penalties for late registration

It is necessary to emphasise that the tax office has limited rights to issue fines for small offences of the tax law. The tax office cannot issue a fine higher than PLN 23,330 (approximately EUR 5,500). If the case is more serious, then the tax office does not handle the case and it falls under the jurisdiction of the criminal courts. Relating to serious crimes with tax affairs, the court may issue very substantial sanctions, including imprisonment.

program allowing to generate Intrastat electronically called IST@T. It can be downloaded directly from the portal PUEBSC. Each taxable person liable to file the Intrastat returns should register himself in this portal and subsequently file declarations via this portal.

Intrastat must be signed on behalf of taxable person by an individual person whose authorisation to act on behalf of given taxable person is registered by the customs authorities as such.

Intrastat must be filed electronically and signed using:

- a qualified electronic signature;
- a signature confirmed by the trusted ePUAP profile; or
- an advanced electronic signature verified by means of a customs certificate.

The contact details of the Chamber of Fiscal Administration in Szczecin dealing with Intrastat are the following:

Izba Administracji Skarbowej w Szczecinie
Wydział INTRASTAT
72-002 Dohyge, Lubieszyn III
Poland
Email address: igi.ias.szczecin@mfi.gov.pl
Phone number: ++ 48 (91) 425-16-38
Fax number: ++ 48 (91) 425-16-73

10.5 Intrastat threshold

The threshold for filing the basic Intrastat for arrivals is PLN 6,000,000 (approximately EUR 1,430,000) and for dispatches PLN 2,800,000 (approximately EUR 670,000).

The threshold for filing the detailed Intrastat for arrivals is PLN 105,000,000 (approximately EUR 25,000,000) and for dispatches PLN 158,000,000 (approximately EUR 37,620,000).

10.5.1 Intrastat date to be reported

The thresholds for filing Intrastat reports are published on the following website <https://tinyurl.com/3c3p5j84>

The basic Intrastat report should include the following information:

1. General fields:

- field 1 – the reference period;
- field 2 – the type of declaration (i.e. the first declaration, the modification of the declaration, the correction of the declaration);
- field 3 – the code of the Customs Chamber in Szczecin;
- field 4 – the recipient in the case of arrivals or the sender in the case of dispatches (the name, the address, NIP number and REGON number; REGON is required only from Polish entities or Polish sole traders);
- field 5 – the representative if the declaration is filed by a representative (e.g. customs agent or a third party acting on behalf of the company, the name, the address, NIP number and REGON number; REGON is required only from Polish entities or Polish sole traders);
- field 6 – the total value of invoices in PLN; and
- field 8 – the total number of positions.

II. Detail fields:

- field 9 – the number of the position;
- field 10 – the description of the goods;
- field 11 – the code of the country from which the goods were dispatched in the case of arrivals or the country of destination in the case of dispatches;
- field 13 – the code of the transaction;
- field 14 – the CN code of the good;
- field 16 – the code of the country of origin, in the case of arrivals;

- field 17 – the net weight (in kilograms);
 - field 18 – the quantity in supplementary units;
 - field 19 – the invoice value in PLN; and
 - field 21 – the data of the person filing in Intrastat, i.e. the first and the second name, phone number, fax, email address, date and place, signature;
 - field 22 – the VAT identification number of the recipient of the goods in case of reporting intra-Community dispatches.
- The detailed Intrastat should cover the same information as the basic one. The additional information on the statistical value of the goods is in the following fields:
- field 7 – the total statistical value;
 - field 12 – terms of delivery;
 - field 15 – type of transport; and
 - field 20 – the statistical value in PLN.

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The European Union (EU) VAT Directive is implemented in Portugal through the "Cdi go do Imposto sobre o Valor Acrescentado" (hereafter referred to as the "VAT Law"), approved by Decree Law 394-B/84, of 26 December, and through the "Regime do IVA nas Transaes Intracomunitrias" or "RIIT"(VAT Regime on intra-Community transactions), approved by Decree Law 290/92, of 28 December. VAT is referred to in Portugal as "Imposto sobre o Valor Acrescentado" or "IVA".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

As a rule, there is no registration threshold for domestic taxable persons who are required to register for VAT. However, a person who, on an occasional basis, carries out a taxable transaction below the threshold of EUR 25,001 does not have to register.

The registration is usually started at any Tax Office or at any other authorised location, prior to the commencement of the activities. The following information must be provided for the registration:

- statement of the Commencement of the Activities duly signed by a director and by the accountant (if applicable);
- details of the account number, i.e. the International Bank Account Number (IBAN) of the legal entity;
- online commercial certificate or certified copy of the entity's incorporation deed;
- certified copy of the resolution appointing the corporate bodies (if the documents mentioned above do not identify the corporate bodies); and
- copies of passports or identity cards of the company's representatives and, if applicable, the company's accountant ("Tcnico Oficial de Contas").

The form of the Statement can be downloaded at the following link: <https://tinyurl.com/59bcyfav>

1.1.1 General exemption criteria for small businesses

Small taxable persons are eligible for VAT exemption if they meet the following conditions:

- they do not have, nor are they required to have, organized accounting for IRS (Personal Income Tax) or IRC (Corporate Income Tax) purposes;
- they do not engage in import, export or related activities;
- they do not conduct activities involving the supply of goods or services listed in Annex E of the VAT Law (corresponds to Annex VI of the EU VAT Directive);
- their annual turnover in the previous calendar year did not exceed EUR 15,000.

1.1.2 Additional exemption criteria for small businesses

Despite the general criteria, the following taxable persons are also exempt from VAT:

- those with an annual turnover exceeding EUR 10,000 but less than EUR 15,000, who would qualify for the small retailers' regime if taxed; and
- those who did not exceed an annual turnover of EUR 15,000 in the previous calendar year and the three preceding years, provided they meet the conditions outlined for the general exemption criteria.

For taxable persons who are starting their activity, the turnover to be considered is based on the forecast for the current calendar year, subject to the confirmation by the Portuguese Tax Authority.

If the reference period for determining the turnover is less than a full calendar year, the turnover for that period should be annualized to determine the corresponding annual turnover.

Portugal has not yet implemented rules under which access to the special exemption regime for domestic SME will be extended (namely, rules under which SMEs established in Portugal will not be eligible for the special exemption regime if they engage in exports or related activities, or if their annual turnover in the previous calendar year exceeds EUR 15,000).

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no registration threshold for foreign legal entities that need to register for VAT purposes in Portugal. Foreign private individuals who must register in Portugal can benefit from the above-mentioned SME Scheme for small and medium sized taxable persons (paragraph 1.1).

When registering, the following information must be provided by non-residents:

- certificate of good standing of the company issued less than 3 months ago or an extract from the Chamber of Commerce or a similar document;
- declaration in which a fiscal representative is appointed (see also paragraph 1.4). This document must be drawn up by a Notary Public and be duly legalised with the apostille of The Hague Convention or issued by the local Portuguese Consulate;
- statement of Commencement of Activities duly signed by a Portuguese fiscal representative (if applicable) and by the accountant (if applicable);
- statement issued by the bank with the details of the International Bank Account Number (IBAN) held by the foreign legal entity or its Portuguese tax representative in case of non-EU resident entity (account to be used for the payment of tax reimbursements).

The form of the Statement can be downloaded at the following link: <https://tinyurl.com/59bcyfay>

The Portuguese Authorities accept documents in Portuguese, English, Spanish or French. Documents written in other languages need to be accompanied by a certified translation into Portuguese.

The declaration can be filed electronically (an electronic password must be obtained) or in the local tax office. If the non-resident appoints a fiscal representative, the relevant tax office will be the tax office of the place of establishment of the fiscal representative (otherwise, the relevant tax office will be the Lisbon Tax Office 3).

Lisbon-3

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As long as all documents referred to above are duly and timely provided, it is possible to complete the VAT registration within one week; in most of the cases the VAT registration is concluded in 1 or 2 business days. However, the taxable person will only be able to access his private area on the Portuguese Tax Authority's website (where VAT returns and other compliance obligations are submitted) after receiving a letter containing the password for the login into that private area. The amount of time required for the password to reach the taxable person's address may vary according to the country of residence.

Portugal has not yet implemented rules under which EU SMEs will be eligible for exemption (namely, rules under which EU SMEs will be eligible if their annual turnover in the EU does not exceed EUR 100,000 in the previous calendar year or if this threshold is not exceeded by more than 25% in the current).

1.3 VAT grouping

VAT grouping is not possible in Portugal.

1.4 Fiscal representative

Appointment of a fiscal representative is voluntary for taxable persons from EU countries and mandatory for taxable persons from non-EU countries.

The fiscal representative can be a company in Portugal or any other person or entity that is a VAT taxable person in the Portuguese territory and has a power of attorney (signed by the non-resident entity) granting enough powers to act as such.

The fiscal representative will be liable for all obligations inherent to the application of the Portuguese VAT Law and is severally liable for the payment of the tax. There is no special tax advantage granted to the non-resident taxable person for the simple fact of appointing a fiscal representative.

The non-resident taxable person can also grant powers to the fiscal representative to receive in his bank account amounts arising from any VAT refunds.

Taxable persons from EU countries and non-EU countries are waived from the registration and appointment of a fiscal representative when they perform solely supplies of goods listed in Annex C to the VAT Law (similar to Annex V of the EU VAT Directive) exempt under the following procedures:

- placed in a temporary storage (after having been presented to the customs authorities);
- placed in a free zone or a free warehouse;
- placed in a bonded warehouse or in an inward processing arrangement;
- allocated to be admitted into territorial waters in order to be incorporated into drilling or production platforms for purposes of the construction, repair, maintenance, alteration or fitting-out of such platforms, or to connect such drilling or production platforms to the mainland; or
- placed in a warehouse other than a bonded warehouse (excise warehouses or VAT warehouses as described in chapter 7.1.3).

2. Taxable transactions

2.1 Transfer of business

In principle, no VAT will have to be charged on the transfer of a commercial undertaking of all or part of the totality of goods and/or services which qualifies as an independent branch of activity. This is in accordance with Article 3, paragraphs 4 and 5, and Article 4, paragraph 5 of the VAT Law, which implement Articles 19 and 29 of the EU VAT Directive.

The Portuguese legislator has made use of the option granted to Member States to take measures necessary to prevent distortion of competition in cases where the recipient is not wholly liable to tax (e.g. if the recipient is a mixed taxable person applying the pro rata method), by granting the tax authorities the power to restrict the right of deduction.

The Portuguese tax authorities have exercised this power by issuing a ruling (Ofício-Circulado No. 134850, dated 21 November 1989). This ruling is a generic guideline to which the tax authorities are bound. The conformity of this ruling with the EU VAT Directive and with Portuguese legislation is highly debatable. It provides that, in case the recipient is not wholly liable to tax, the following should apply:

- if the transferee deducts VAT on the basis of the pro rata method, although the transfer of the business as a going concern will not be subject to VAT, the transferee will have to "adjust" (self-assess) VAT in favor of the Portuguese State for the difference between: (i) the VAT amount that would have been assessed (by the transferor) had the transfer been subject to VAT and (ii) the VAT amount resulting from the application of the transferee's pro rata to the amount referred in (i); and
- if the transferee deducts VAT on the basis of the direct allocation method, the transfer of the business as a going concern will, or will not, be subject to VAT depending on whether the business transferred is, or is not, respectively, allocated to a sector that does not grant the right of deduction or to a sector that does grant such right.

Based on the above "ruling", according to the Portuguese tax authorities:

- if transferor and transferee are wholly liable to tax, there is no VAT on the transaction;
- if transferor and transferee are both exempt from VAT, VAT will need to be charged by the transferor;
- if transferor and transferee are mixed taxable persons applying the pro rata method, no VAT needs to be charged by the transferor, but the transferee will need to self-assess VAT on the basis of his pro rata; and
- if transferor and transferee are mixed taxable persons applying the direct allocation method:
 - VAT will need to be charged by the transferor if the business transferred is allocated to a sector of the transferee's activity that does not grant the right of deduction; or

This means that VAT is remitted at the same time as when the deduction right is exercised (if the goods are used for taxable supplies). Thus, in reality, the obligation to remit VAT does not arise at all.

Provided a guarantee is granted by the taxable person in favour of the tax authorities (which may vary between 20 and 100% of the VAT due), it is possible to report the import VAT in the VAT return instead of separate payment of import VAT to the customs authorities.

2.3.2 Postponed accounting on importation

Customs duties and other levies, if any, must be paid on importation into Portugal. A prior license from the proper tax authority is required. The intra-Community supply must be made within 30 days after the importation.

Non-residents, without a fixed establishment and not registered for VAT purposes in Portugal, which use their VAT identification number issued by another EU Member State for the import of the goods, may also benefit from the VAT exemption referred to above, provided the import is made through a representative.

• his VAT identification number or the VAT identification number of his tax representative, issued in Portugal;

• the VAT identification number of the recipient, to whom the goods are supplied, issued in another EU Member State, or his own VAT identification number issued in the EU Member State in which the dispatch or transport of the goods ends; and

• evidence that the imported goods are intended to be transported or dispatched to another EU Member State.

The importation of goods into Portugal from a third country which, at the time of importation, are consigned to another EU Member State is exempt from VAT. This exemption shall apply in cases where the importation of goods is followed by the dispatch or transport of the goods to another EU Member State and the taxable person provides:

2.3.1 Importation followed by an intra-Community supply

2.3 Importation

Low-value business gifts are those made according to trade usage, not exceeding EUR 50 per unit and a global annual value of 0.5% of the taxable person's preceding calendar year turnover, as specified in Article 3(7) of the VAT Law. These gifts can include goods produced or marketed by the taxable person or purchased from third parties, as mentioned in Article 3(1) of Implementing Order 497/2008.

Samples are defined as goods not intended for market placement, differing in format or size from the normal sale unit, presented in substantially smaller quantities, and intended to promote the products. Specific examples include books and publications supplied free of charge to promoters, educators, critics, cultural organizations, or press-related entities, as well as CDs, DVDs, and other media supplied free of charge to promoters such as radio/TV stations, critics, DJs, specialized magazines, and entertainment entities. There are distribution limits for these samples: up to five copies of the same record for radio/TV stations and one copy of the same work or record per year to the same beneficiary, as outlined in Article 2(3) of Implementing Order 497/2008.

There are exceptions to this rule. Free-of-charge supplies of samples and low-value business gifts are not regarded as supplies of goods, as per Article 3(7) of the VAT Law.

According to the general rule, free-of-charge supplies of goods are subject to VAT if the taxable person has benefited from any deduction of input tax paid on the acquisition of those goods. However, if no input tax was deducted on the acquisition, the allocation is not regarded as a supply of goods, as stated in Article 3(3)(f) of the VAT Law.

2.2 Supplies free of charge

• no VAT needs to be charged by the transferor (or self-assessed by the transferee) if the business transferred is allocated to a sector of the recipient's activity that grants the right of deduction.

Importers of goods may also self-assess and deduct the VAT due on those importations in the same VAT return. To benefit from this option, the following conditions must be met by the importers:

- submit VAT returns on a monthly basis;
- their tax situation must be duly settled (i.e. importers cannot have outstanding tax debts or they must have challenged any outstanding debts before the Tax Authority or the Tax Courts);
- they must only carry out transactions which are subject to, and non-exempt from VAT, or exempt transactions with the full right of deduction (exceptions apply for ancillary real estate and financial transactions made by the taxable person); and
- they cannot benefit from the deferral of the payment of VAT related to prior imports.

The procedures and the deadline to opt for this regime are established in Regulation 215/2017, of 20 July 2017.

3. Place of supply

3.1 Consignment and call-off stock

Regarding domestic supplies of goods under consignment arrangements, VAT becomes chargeable at the time the consignee supplies the goods to a third party. This applies to both the supply by the consignor to the consignee and the subsequent supply by the consignee to a third party. The same rule is applicable to supplies made by a principal to its agent under commission agreements.

In respect of consignment arrangements, if the consignee does not supply the goods to a third party or return the goods to the consignor within a 1-year period from the supply by the consignor to the consignee, VAT becomes chargeable for the latter supply on the expiry of this period.

In the case of a supply of consigned goods, invoices should be issued within 5 working days after:

- the moment of the supply of the consigned goods to the consignee; and
- the moment in which the VAT is due concerning those goods (this invoice should refer to the documents issued at the time of the supply of the consigned goods).

A simplification measure applies to supplies of goods under consignment arrangements and call-off stocks in the framework of which goods move from one Member State to another. If the simplification conditions are met, the supplier does not perform a transfer of own goods followed by a domestic supply, but rather an intra-Community supply to his customer. This dismisses the need for the consignor to have a VAT registration in Portugal.

The Portuguese VAT legislation is in line with the EU VAT Directive.

3.2 Installation supplies

There is no formal definition of the notion "supply with installation or assembly" in Portugal.

The place of supply of goods which are installed or assembled by or on behalf of the supplier, is the place where the goods are installed or assembled. If a non-resident supplier installs goods at his customer's premises in Portugal, then Portuguese VAT is due on the installation work.

The non-resident supplier is not required to register for VAT purposes and in such case the liability to account for VAT is shifted to the customer, as a consequence of the broad definition of taxable person and broad application of the local reverse charge adopted in Portugal (see also paragraph 8.1.1).

3.3 Distance sales

As of 1 July 2021 the distance selling threshold covers all European TBE services and distance sales of goods and has been set at EUR 10,000.

The threshold for the acquisition of goods (excluding new means of transport and goods subject to excise duties) by taxable persons engaged in exempt activities and non-taxable legal persons (state, regional and

3.5 Acquisition threshold

- If Party B is not registered in Portugal and Portugal is the Member State of arrival, party B does not have to be registered in Portugal for his intra-Community acquisition and subsequent supply provided that the following conditions are met:
 - the invoice must contain the VAT identification number of party B in another Member State than the Member State of dispatch and arrival and party C's Portuguese VAT identification number since he is liable for the remittance of the VAT;
 - Party B must make an explicit reference on the invoice that the triangulation rules are applicable (reverse charge); and
 - party B must periodically report its triangular transactions in his European Sales Listing.
- If Party B is registered in Portugal, the acquisition is taxable as an intra-Community acquisition under the Portuguese VAT registration number; and
- his supply to party C is taxable in Portugal.
- If Party B is registered in Portugal, the acquisition is taxable as an intra-Community acquisition under the acquisitions of goods for the purpose of making subsequent supplies of these goods in Portugal;
- if party B is registered in Portugal, the acquisition is taxable as an intra-Community acquisition under the person (party B) is established in an EU Member State (other than Portugal) and makes intra-Community acquisitions of goods for the purpose of making subsequent supplies of these goods in Portugal;
- there is no obligation to register for VAT or appoint a fiscal representative in Portugal if the taxable person (party B) is established in an EU Member State (other than Portugal) and makes intra-Community acquisitions of goods for the purpose of making subsequent supplies of these goods in Portugal;
- If Portugal is the Member State of arrival of the goods, the relevant domestic provisions on simplified rules for triangulation provide, among other things, for the following:
 - If Portugal is the country of arrival of the goods, Portugal does not allow the reverse charge mechanism to apply to the supply between party B and the person to whom the subsequent supply is rendered party C, if party B is registered for VAT purposes in Portugal. Consequently, Portuguese VAT must be applied on such supply by party B. The wording of the Portuguese legislation, however, does not preclude the application of the simplified triangulation rules if party B is VAT registered in the country of dispatch.

If Portugal is the country of arrival of the goods, Portugal does not allow the reverse charge mechanism to apply to the supply between party B and the person to whom the subsequent supply is rendered party C, if party B is registered for VAT purposes in Portugal. Consequently, Portuguese VAT must be applied on such supply by party B. The wording of the Portuguese legislation, however, does not preclude the application of the simplified triangulation rules if party B is VAT registered in the country of dispatch.

Under the simplification regime, the middleman (party B) may shift his obligation to account for VAT in EU Member State C to his customer in Member State party C (by way of a reverse charge). This exempts B from registering or the need to appoint a VAT representative in Member State C.

Under Portuguese VAT legislation, the simplified triangulation rules have been implemented broadly in line with the EU VAT Directive.

3.4 Simplified triangulation rules

In these cases, since two suppliers take place (the supply by the supplier of the goods to the facilitator and the supply by him to the end customer), the supply with transportation/dispatch is the one made by the facilitator to the end customer.

With the entry into force of the VAT e-commerce package, on 1 July 2021, taxable persons who facilitate the sale of goods through an electronic interface such as a marketplace, portal or similar means, are considered to have received and supplied those goods themselves, in the following situations:

- in a distance sale of imported goods made through an electronic interface, if the intrinsic value of the goods does not exceed EUR 150; and
- in a supply of goods within the Community made by a taxable person not established here, through an electronic interface such as a marketplace, portal or similar means, to a non-taxable person.

Transfer of goods through the use of an electronic interface

A taxable person of another EU Member State may opt for voluntary registration in Portugal for its distance sales before the threshold is exceeded. In that case, this option will apply for 2 calendar years.

Once the threshold is exceeded the supplier may either register in Portugal or in its country of establishment via OSS to account for Portuguese VAT for its sales to Portugal.

Local government authorities and other bodies governed by public law) from suppliers established in another EU Member State is EUR 10,000 (exclusive of VAT) for Portugal.

3.6 Effective use and enjoyment

Portugal has implemented effective use and enjoyment rules.

The place of supply is shifted to Portugal if the effective use and enjoyment of the following services takes place in Portugal and not in the non-EU country:

- hiring out of moveable tangible property, with the exception of means of transport, to a person established or domiciled outside the EU;
- short-term hiring of a means of transport to a non-taxable person; and
- hiring out of a means of transport (other than short-term hiring out) by a non-EU company to a non-taxable person.

4. Chargeable event & chargeability of VAT

4.1 Principles

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied. For goods, this is the date when they are placed at the disposal of the acquirer. If the supply of goods includes installation or assembly, the VAT becomes chargeable when the installation or assembly is concluded. A supply of services is deemed to be carried out at the date the service is materially executed.

Whenever the supply of goods or services triggers the need to issue an invoice, the VAT becomes chargeable on the date of issuance of the invoice. If the invoice is not issued within the 5 working day legal deadline, the VAT becomes chargeable on the date when the legal deadline for issuing the invoice expires.

For intra-Community acquisitions of goods, the VAT becomes chargeable on issue of the invoice or on the 1st day of the month following the acquisition if no invoice has been issued by that time.

If VAT was unduly charged, this VAT becomes chargeable on the date of issuing the invoice.

4.2 Advance payments

Where a payment is to be made on account before the goods or services are supplied, VAT becomes chargeable on receipt of the payment.

4.3 Continuous supplies

VAT on ongoing services becomes chargeable each time a payment is made. If no payment is made within 12 months or the periodicity for the payment is undefined, the VAT becomes chargeable after each 12-month period.

4.4 Cash accounting

Upon request, the tax authorities may permit a taxable person to opt to apply a cash accounting scheme for the payment of the VAT if:

- the total turnover in the previous calendar year did not exceed EUR 500,000;
- he does not develop an exempt activity which does not grant the right to deduct input VAT;
- he does not apply the SME Scheme;
- he has been registered for VAT purposes in the last 12 months;
- he does not have any tax debts to the state; and
- he has no missed declarative obligations.

This regime is applicable to all transactions made by taxable persons with the exception of:

The documents, certificates and information must be included in the taxable person's tax file.

For the purposes of the adjustment of VAT initially deducted, the debtor who is a taxable person must be informed of the total or partial VAT annulment. This information/communication to the debtor must identify the invoices, the amount of the credit due and the VAT to be adjusted, the process or agreement at stake, as well as the period in which the adjustment is made.

The moment as of which a credit due is deemed irrecoverable under an insolvency procedure (and, as a consequence, the moment at which the taxable person may benefit from the bad debt relief) is as follows:

- in an insolvency procedure, when the insolvency is declared with a limited nature or when its end is declared based on the insufficiency of goods according to the Insolvency and Corporate Recovery Code ("Código da Insolvência e da Recuperação de Empresas") or after the final goods assessment, from the latter of which the definite non-payment of the credit is a result; and
- in an insolvency or special procedure which is used to revitalize and to recover corporations in difficult economic situations ("Processo Especial de Revitalização") whenever there is the ratification of the off-court insolvency plan or whenever the company's recovery plan anticipates the definite non-payment of the credit.

Regardless of the value of the credits owed to the supplier, the payment delay and the debtor VAT status, bad debt relief is available for credits considered irrecoverable in:

- an enforcement procedure, following the registration in the enforcement's database register of the enforcement's extinction on the grounds that no seizable goods were found;
- an insolvency procedure, after the insolvency is declared with a limited nature. The moment the credit is deemed irrecoverable under an insolvency procedure (and, as a consequence, the taxable person may benefit from the "bad debt relief"), is the moment when the insolvency is declared following a final judgment (as res judicata) on the verification, admission and ranking of the credits, as foreseen in the Insolvency and Corporate Recovery Code ("Código da Insolvência e da Recuperação de Empresas"), or whenever there is the ratification of the off-court insolvency plan; and
- special procedures which are used to revitalize and to recover financially distressed companies ("Processo Especial de Revitalização" and "Regime Extrajudicial de Recuperação de Empresas")

In Portugal, bad debt relief is available to taxable persons, under specified circumstances, if they prove to the satisfaction of the tax authorities that the amount not yet paid by the customer became a bad debt in the relevant period.

5.1 Bad debt relief

5. Taxable amount

However, recently, the Portuguese Government has announced plans to change the cash accounting scheme, which will encompass companies with an annual turnover of up to EUR 2 million, compared to the current threshold of EUR 500,000.

Where the scheme applies, output VAT is chargeable when the payment is received. However, even if the payment is not totally or partially made by the acquirer or recipient of the goods or services, VAT becomes due in the twelfth month after the date of issue of the invoice, in the period in which such deadline ends;

- in the period following the communication of deregistration of the regime; or
- in the period following the communication of cancellation of activity.

- import, export and related activities;
- intra-Community supplies and acquisitions;
- intra-Community supplies of services;
- transactions in which a reverse charge mechanism applies; and
- transactions involving related parties.

Bad debt relief is also available for credits owed to the supplier not expressly referred to above, under the following conditions:

- credits with a VAT-inclusive value equal to or higher than EUR 750 and unpaid for at least 6 months, provided that the debtor is a non-taxable person or a taxable person engaged only in exempt activities that do not grant the right to deduct input VAT;
- credits with a VAT-inclusive value higher than EUR 750 and lower than EUR 8,000 (regardless of the payment delay) and provided that the debtor is a non-taxable person or a taxable person engaged only in exempt activities that do not grant the right to deduct input VAT, when:
 - the debtor is listed in the enforcement's database register as a debtor against whom a previous enforcement procedure has been filed which has already been suspended or abandoned on the grounds that no seizable goods were found;
 - the debtor is listed on the public access list of expired enforcement procedures with partial payment or on the grounds that no seizable goods were found at the moment in which the transaction takes place;
 - the order of enforcement has been appended in an injunction procedure; or
 - the credits have been recognized by judicial action;
- credits with a VAT-inclusive value lower than EUR 6,000 (regardless of the payment delay) and the debtor is a taxable person with the right to deduct input VAT, when the credits have been recognized by judicial action or claimed in an enforcement procedure and the debtor has been serviced by publication. In this case, the debtor must be informed of the total or partial VAT annulment for the purposes of the adjustment of VAT initially deducted.

The total amount of these credits, the total amount of the VAT to be deducted, the creditor's efforts to collect the credits and the total or partial failure of such efforts, must be duly documented and certified by a registered chartered accountant. This certification must be effected for each of the periods in which an adjustment was made and until the expiry of the time limit to submit the VAT return, or until its submission when submitted after that time limit.

The documents, certificates and information must be included in the taxable person's tax file.

In any case, if, following the adjustment of VAT, the credit is fully or partially recovered, taxable persons have to deliver the corresponding VAT to the Treasury in the period in which the credit was recovered. The statute of limitations for the assessment/payment of VAT (4 years) does not apply.

Beside above-mentioned bad debt relief, the bad debt relief is applicable to the following credits:

- credits with a VAT-inclusive value not higher than EUR 750 which are unpaid for more than 6 months, when the debtor is a private person or a taxpayer that performs exclusively exempt operations without the right to deduct. The deduction may be made without the prior authorization from the Portuguese tax authorities within 2 years counting from the following calendar year; and
- credits which are unpaid for more than 12 months for which there is clear evidence of impairment and that efforts to collect such debts were made. In this case, there is the obligation to present, within a period of 6 months, a prior authorization request to the Portuguese tax authorities for the bad debt VAT adjustment. The submission of such request implies that the debtor shall be notified to provide its opinion or to adjust the VAT in favour of the State. After 4 months, this request is deemed to be tacitly rejected if the credit value exceeds EUR 150,000 (VAT included) or tacitly accepted, if the credit value does not exceed EUR 150,000 (VAT included).

Whenever there is an assignment of "bad debts" after the adjustment of the VAT in favour of the assignor, and if bad debts are subsequently (fully or partially) recovered, the assignor must adjust, in favour of the state, the VAT previously deducted. In its turn, the assignee is entitled to request from the Portuguese tax authorities the recovery of such tax upon submission of the appropriate application. The 4-year statute of limitation for the assessment/payment of VAT does not apply.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

“Supply of goods	EUR 1,000
23% VAT	EUR 230
Total to be paid	EUR 1,230

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount”

If, after the time limit for the registration of the transaction (i.e. within the period between the moment at which the transaction takes place and until the moment of submission of the corresponding VAT return or expiry of the time limit for its submission), its taxable amount is reduced as a consequence of granting of bonuses or discounts, the supplier may deduct the corresponding tax until the end of the taxable period following that in which the above-referenced circumstances have occurred.

If the customer (a taxable person) already reported the transaction in respect of which the taxable amount has been reduced, he may rectify the deduction. He should do so before the end of the taxable period following that in which he has received the rectifying document.

When the taxable amount has been reduced, the adjustment in favour of the supplier can only be made when the customer has in his possession evidence that he is aware of the rectification or that the VAT has been refunded to him. Otherwise the deduction should not be accepted.

Where the taxable amount is reduced, the amount of the reduction should be split between the consideration and the VAT at the moment the corresponding document is issued if the adjustment of VAT is also intended.

5.3 Open market value

In respect of transactions involving connected parties, the taxable amount should be the open-market value. This applies to the supply of goods or services where there are family or close personal ties, management, ownership, membership, financial or legal ties, including relationships between employers and employees or their families or any other closely connected persons.

The actual consideration may be replaced by the open-market value in the following scenarios:

- lower consideration and limited deduction: When the consideration is lower than the open-market value and the recipient of the supply is not entitled to a full deduction of input VAT;
- exempt supply with lower consideration: When the consideration for an exempt supply is lower than the open-market value and the supplier is not entitled to a full deduction of input VAT; and
- higher consideration and limited deduction: When the consideration is higher than the open-market value and the supplier is not entitled to a full deduction of input VAT.

Deviations from the actual consideration do not apply if it can be proven that the difference between the consideration and the open-market value is not due to the special relationship between the taxable person and the acquirer of the goods or services.

Portuguese VAT legislation does not explicitly define “connected parties” or entities with “special relationships.” Instead, it refers to the definition provided in Article 63(4) of the Corporate Income Tax Code. However, the VAT Law specifically includes the relationship between an employer and employee (or the employee’s family or any closely connected person) as a special relationship.

5.4 Returnable packaging

Costs associated with packing expenses and containers are excluded from the taxable amount under certain conditions, namely: firstly, the reimbursement of these costs by the purchaser or customer must not have been originally agreed upon; secondly, these costs must be separately itemised on the invoice; and lastly, the invoice must clearly indicate that the packaging is returnable and that its return is required. These rules ensure that the costs of returnable packing materials are not included in the taxable amount, provided the specified conditions are met.

6. VAT rates

6.1 Standard rate

The standard rates in Portugal are 23% for the mainland, 22% for the Autonomous Region of Madeira and 16% for the Autonomous Region of the Azores.

6.2 Reduced rate

In Portugal there are 5 reduced rates:

- the intermediate rates of 13% for the mainland, 12% for the Autonomous Region of Madeira and 9% for the Autonomous Region of Azores; and
- the reduced rates of 6% for the mainland, 4% for the Autonomous Regions of Madeira and 4% for the Autonomous Region of Azores.

The intermediate rates apply for instance, to:

- listed foodstuffs, including table wines; and
- coloured and marked diesel fuel, traded under the conditions and for the purposes legally defined, and fuel oil and respective blends.

The reduced rates apply, for instance, to:

- listed foodstuffs, including, among others, cereals, bread, meat, fish, milk, fresh and dehydrated fruit and vegetables;
- pharmaceutical products;
- passenger transport; and
- hotel accommodation.

6.3 Super-reduced and zero rate

Portugal has not implemented a super-reduced or a zero rate other than the ones mentioned in chapter 7.1.

7. Exemptions

7.1

Exemptions with the right to deduction Portugal has zero rates for the following supplies and services:

- exports and intra-Community supplies of goods;
- goods supplied to travellers resident outside the EU under retail export schemes or through tax-free shops;
- services in the framework of inward processing on behalf of principals resident outside the EU;
- services of intermediaries relating to transactions carried out outside the EU;
- sea vessels and aircraft and related goods and services;
- supplies made to customers with (diplomatic) tax immunity;
- supplies of monetary gold to the Portuguese central bank;
- transport of people and goods to and from Madeira and the Azores;
- international and intra-Community passenger transport by seagoing vessels and airplane;
- goods under customs control or VAT warehousing arrangements;
- services to goods under customs control;
- goods and services supplied to exporters; and
- domestic sales of goods made by suppliers to national exporters of goods established in Portugal, under certain requirements.

7.1.1 Intra-Community supplies

An intra-Community supply of goods may be zero-rated in the following circumstances:

- the customer is registered for VAT purposes in another EU Member State and has a valid VAT identification number;

For the purposes of the above-mentioned exemption which are applicable to supplies of goods that are intended to be placed under the VAT warehousing regime, VAT warehouses include:

- the customer's VAT identification number is obtained and recorded in the supplier's records;
 - the customer's VAT identification number and the supplier's VAT identification number are quoted on the sales invoice;
 - the intra-Community supply is reported in the EC sales listing;
 - the goods are dispatched or transported to another EU Member State; and
 - evidence that the goods have left Portugal is retained.
- In order to demonstrate that the goods were transported to another EU Member State or exported, the supplier must keep evidence that the goods have left the country, such as a copy of the sales invoice, proof of payment, correspondence with the customer (if available) or transport documents. Suppliers who cannot provide sufficient evidence are held liable for Portuguese VAT at the applicable rate. Proof of intra-Community transport is presumed in the following cases:

- supplier possesses two items of non-contradictory evidence, consisting in documents relating to the dispatch or transport of the goods (such as a signed CMR document or note, a bill of lading, an airfreight invoice or an invoice from the carrier of the goods); or
 - one item of evidence consisting in a document relating to the dispatch or transport of the goods (such as a signed CMR document or note, a bill of lading, an airfreight invoice or an invoice from the carrier of the goods) and one of the following documents that is not contradictory:
 - an insurance policy with regard to the dispatch or transport of the goods;
 - bank documents proving payment for the dispatch or transport of the goods;
 - official documents issued by a public authority, such as a notary, confirming the arrival of the goods in the Member State of destination; and
 - a receipt issued by a warehouse keeper in the Member State of destination, confirming the storage of the goods in that Member State.
- The two items of evidence required shall be issued by two parties independent of each other and of the supplier and the acquirer (non-related to each other, nor to the supplier or the acquirer). When the goods are transported or dispatched by the acquirer or by a third party acting on its behalf, the seller must be in the possession of:
- a written statement from the acquirer (to be issued until the 10th day of the month following the date where the goods were placed at its disposal) stating that the goods have been dispatched or transported by the acquirer. The statement should also contain other elements.
- The presumption that the dispatch or transport of the goods has taken place may be refuted by the Tax and Customs Authority if it has information contradicting the veracity of the evidence presented. In that case, the taxable person must demonstrate that the conditions for the application of the exemption are met.

7.1.2 Export supplies

Exports are zero-rated, entitling the taxable person to a deduction of the related input tax previously paid. The export of goods must be evidenced by appropriate customs documents or, if there is no legal intervention of customs authorities, a statement issued by the customer of the goods, indicating the destination they will be given. Suppliers who cannot provide sufficient evidence are held liable for Portuguese VAT at the applicable rate.

7.1.3 Warehousing

7.1.3.1 VAT warehouse

Exempted from Portuguese VAT are:

- imports of goods into Portugal which are intended to be placed under the VAT warehousing regime;
- supplies of goods that are intended to be placed under the VAT warehousing regime, as well as supplies of services related thereto; and
- supplies of goods or services carried out under the VAT warehousing regime (and where this regime still applies).

- authorized locations pursuant to Article 21 of the Excise Duty Code, for excisable goods; and
 - authorized locations pursuant to the applicable legislation, for non-excisable goods.
- With respect to non-excisable goods, the authorization can only be granted for goods listed in Annex C to the VAT Law (similar to the EU VAT Directive) that are not intended to be supplied at the retail stage and provided that these goods already benefit from the customs warehousing regime.

In spite of the above, the VAT warehousing regime may also apply to goods in the following cases:

- where the goods are intended to be supplied, within the airport or maritime terminal, to travellers to another EU Member State or to a third country;
- where the goods are intended to be supplied on board of an aircraft or a ship in the course of a flight or sea crossing where the place of supply is situated in another Member State or outside the EU; and
- where the goods are intended for taxable persons for the purposes of carrying out exempt supplies under Article 14 Paragraph 1 (l to m) of the VAT Law (similar to Article 151 Paragraph 1 (a to c) of the EU VAT Directive).

Portuguese VAT becomes due when the goods are released from the VAT warehouse and is levied from the person that releases the goods from the VAT warehousing regime. The taxable amount includes the value of any exempt transactions that may eventually be carried out while the goods were kept under the VAT warehouse regime (Article No. 15 paragraph 6 of the VAT Law).

7.1.3.2 Excise warehouse

Portugal has no excise warehouses.

7.1.3.3 Bonded (customs) warehouse

It is possible to put goods into a bonded warehouse in Portugal.

If the goods are brought from outside the EU into a bonded warehouse in Portugal, no importation takes place. However, the release of the goods from the bonded warehouse into free circulation in Portugal is considered an import.

Supplies of goods and related services from and in bonded warehouses (as well as customs-free zones) are treated as zero rated, provided that such goods are not used or consumed within these areas.

If imported goods are under the bonded warehouse procedure, the payment of VAT is effectively deferred as the entry into free circulation is deferred. However, if imported goods are subject to customs duties, agricultural levies or to charges having equivalent effect established under a common policy, and the chargeable event occurs, then the VAT becomes chargeable when the chargeable event in respect of those duties occurs.

7.2 Exemptions without right to deduction

Exemptions in the public interest

Professional services of medical and odontology practitioners, midwives, nurses and paramedical practitioners; certain health, welfare and educational supplies; certain supplies made by non-profit organizations; certain supplies by the public postal services; supply of public services related to garbage removal; services supplied by funeral and cremation establishments. This includes ancillary goods related to the examples of exemptions in the public interest.

Other exemptions

There are also various other exemptions including:

- financial and insurance transactions, including certain transactions related to shares, bonds and other securities not representing merchandise;
- immovable property transactions;

The VAT exemption on the letting of immovable property can also be waived. The option for taxation of the letting of immovable property is subject to the same rules as those referred to for the supply of immovable property. It is also required that the annual rent be in an amount equal to or higher than 1/25 of the acquisition or construction value. The lessor must request and obtain a certificate in order to be able to opt for taxation.

The supplier must request and obtain a certificate in order to be able to waive the exemption. In such a case, VAT must be assessed by the customer.

The supplier of immovable property may also waive the right to the exemption provided that the following requirements are met:

- the supply refers to the acquisition of the proprietorship of urban immovable property, fractions thereof or building land;
- the customer is also a taxable person who will use immovable property, totally or mainly, in activities which give right to the VAT deduction;
- both parties, i.e. the supplier and the customer, carry out exclusively or mainly (more than 80%) activities which give the right to VAT deduction (that percentage may be lower for taxable persons which carry out activities of (re)construction or acquisition of immovable property for sale or letting);
- both parties must have their accounts duly organized;
- the immovable property must be registered in the appropriate register (or its entry has been requested);
- the immovable property must not be used for housing;
- the supply must refer to the full ownership of the immovable property; and
- it must be the first supply of a property following:
 - the completion of its construction, provided that the transaction takes place when VAT on the cost of purchase or construction can still be deducted, in part or in full, as input VAT;
 - its extensive renovation or transformation which gives rise to an increase in its taxable value for immovable property tax of more than 30%, provided that the transaction takes place when the VAT on the cost of renovation or transformation can still be deducted, in part or in full, as input VAT; or
 - a transaction which was subject to VAT, provided that the 20-year period for adjustment of the initial deduction of the VAT on the cost of purchase or construction of the property has not yet expired

(Article 12 (5) and (6) of the VAT Law and Circular Letter 30099 of 9 February 2007).

The supplier may exercise the option to tax in the commencement or (as applicable) amendment of activity declaration to be presented in any tax office. The option to tax produces effects immediately after the presentation of that declaration and remains valid for a minimum 5 years period.

The option to tax is available, namely, for the following exempt supplies:

- vocational training and related supplies of goods and services made by public bodies or entities recognized by the relevant Ministries as having expertise in this domain;
- medical and sanitary services and strictly related transactions made by hospitals, clinics, health care centres and similar facilities not owned by the State nor by private institutions integrated in the National Health Service (except services provided by private hospitals which are deemed to be supplied under social conditions comparable to those of public hospitals - i.e. at prices fixed by public contracts and whose costs are partially borne by the social security institutions of that Member State), within the scope of the health system as provided under its basic law;
- services provided by cooperatives that develop activities for their farming members; and
- employer-supplied meals and drinks to employees.

7.3 Option for taxation

The option to tax is available, namely, for the following exempt supplies:

- supplies of goods used exclusively in exempt activities or related to goods the purchase or allocation of which took place excluding the right to credit any input tax;
- employer-supplied meals and drinks to employees; and
- non-commercial activities of the state-owned radio and television companies.

betting and gaming transactions, including duly authorized lotteries as well as any game of chance, subject to the special gaming tax;

8. Liability

8.1 Reverse Charges

In Portugal there are several domestic reverse charges asides from the reverse charge for general B2B supplies of services and domestic supplies of goods provided by non-resident suppliers to taxable persons and legal entities established in Portugal. There is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Portugal (Article 195 EU VAT Directive).

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

In Portugal, the reverse charge mechanism is mandatorily applied to all supplies of goods and/or services subject to VAT, provided by taxable persons who do not have a head office, fixed establishment, domicile, or fiscal representative in Portugal, to a taxable person established in Portugal.

According to a literal interpretation of the VAT Law, the reverse charge mechanism only applies if the recipients are:

- taxable persons established in Portugal; or
- taxable persons who have appointed a VAT representative in Portugal.

Therefore, the law does not foresee the application of the reverse charge to transactions where a non-resident supplier provides goods or services to a non-resident taxable person in Portugal (without a tax representative in Portugal) who only has a VAT registration in Portugal.

In FAQs released on the rules applicable to non-resident taxable persons, the Tax Authorities clarified that the reverse charge does not apply to domestic supplies carried out by a non-resident taxable person to another non-resident taxable person. However, these FAQs did not expressly address situations where the non-resident customer, unlike the non-resident supplier, is already VAT registered in Portugal. Furthermore, the guidance from the Tax Authorities suggests minimizing situations that require VAT registrations in Portugal. Therefore, it can be argued that in cases where the customer is a non-resident company VAT registered in Portugal and the supplier is not, the customer should self-assess the VAT due under the reverse charge mechanism. Consequently, the supplier would not be required to register for VAT in Portugal. However, it is recommended to seek confirmation from the Tax Authorities to ensure compliance.

On the invoice reference must be made to the application of the reverse charge, as follows: "IVA – Autoliquidação" (VAT – self-assessment).

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

On the following supplies and/or services domestic reverse charge rules apply:

- construction work, including repair, cleaning, maintenance, alteration and demolition services in relation to immovable property, including the supply of staff engaged in those activities;
- as of 1 January 2020, supplies of forestry goods including cork, wood, pine cones and pine nuts with bark;
- immovable property under the option for taxation;
- old used materials, scrap, waste and specific services;
- CO2 Emission Rights; and
- investment gold (whenever the taxable person opts for taxation).

A supplier must refer to the reverse charge. The following text should be mentioned on the invoice: "IVA – Autoliquidação" or (VAT – self-assessment).

8.2 Joint and several liability

Several provisions for joint and several liability ensure the proper remittance of VAT to the tax authorities. Firstly, a VAT representative appointed by a non-resident entity is jointly liable for the remittance of VAT due to the tax authorities.

- Additionally, the recipient of taxable goods and services, who is a taxable person, may be jointly liable with the supplier for the remittance of VAT if the mandatory invoice has not been issued or contains incorrect information. This includes errors in the name and address of the parties, the description and quantity of goods or services supplied, the price or the amount of VAT due. However, the recipient can waive this liability by providing evidence that he has paid the VAT due to the supplier, either in full or partially. The waiver applies to the amount of tax paid.
 - Moreover, the recipient may also be jointly liable with the supplier for VAT due in cases of sham transactions. Furthermore, any taxable person involved in the supply of goods or services with the intention of not remitting VAT to the state may be held liable for VAT remittance if the person has or should have knowledge of the situation. There is a legal rebuttable presumption that the taxable person has knowledge that the VAT due will not be fully remitted to the state if the price paid for the goods or services is lower than the lowest price reasonably expected in a competitive market.
 - These rules are designed to ensure compliance and prevent VAT evasion by holding various parties accountable for the proper remittance of VAT.
- ## 9. Recovery of input VAT
- ### 9.1 Non-recoverable input VAT
- The input VAT is not recoverable in case of:
- vehicles for passenger transport (motor cars, yachts, helicopters, aircraft and motorcycles), including modification and repair;
 - fuel for motor vehicles. However, in respect to diesel oil, liquefied petroleum gas (LPG), natural gas and biofuel, input VAT is recoverable for (i) 50% or (ii) 100% under certain circumstances, namely, when used for public transport vehicles (excluding rent-a-car), heavy vehicles for passenger transport and machines which run on the public roads with a special licence plate but are not treated as vehicles;
 - travel, including toll fees;
 - accommodation, food, drinks and tobacco. However (with the exception to tobacco), VAT is recoverable for:
 - 100% if the expenses refer to the provision of lodging, meals and drinks made by the taxable person to his staff in canteens, dormitories and similar facilities,
 - 50%, when incurred for the purpose of the organisation of congresses, fairs and exhibitions, provided that they are incurred to meet the participants' direct needs, that they are directly contracted with the service supplier(s) or through legally qualified entities and that they clearly contribute to carry out supplies subject to VAT, or
 - 25%, when incurred for the purpose of the participation in these events, provided that they are directly contracted with conference organisers and that they clearly contribute to carry out supplies subject to VAT. However, entities that organize fairs, congresses and other similar events are entitled to a refund of the amount equal to the VAT incurred and not deductible related to the organization of congresses, fairs, exhibitions, seminars, conferences and similar events. This refund request must be submitted by the beneficiary through the website of the *Instituto do Turismo de Portugal, I.P.* (Portuguese Tourism Institute, Public Institute), and accessible through a link on the ePortugal portal, from the second month following the issuance of the supporting documents until the end of 1 year from the date of issuance, and must refer to monthly periods, encompassing all supporting documents. The refund request will be analysed by the Turismo de Portugal, I.P. within a period of 90 days, counting from the date of submission by the beneficiary. This benefit was initially approved by Decree-Law 54/2020, dated 11 August 2020 (in the context of exceptional measures to deal with the COVID-19 pandemic), on a temporary basis to be in force relating to expenses incurred between 12 August 2020 and 31 December 2021, and was granted permanently with effect from 22 December 2022 by Decree-Law 85/2022 of 21 December 2022.
 - entertainment and luxury; and
 - second-hand goods, art or collection works and antiques, where the taxable amount of the supply is equivalent to the difference between the selling price and the purchase price.

The application for a refund must relate to goods or services purchased, acquired or imported in mainland Portugal or the Autonomous Regions of Madeira and Azores during the period for which the claim is made. Those goods and services must be used for conducting taxable transactions for which VAT is deductible.

Permission to obtain a refund of Portuguese VAT is granted to EU taxable persons who, during the period for which the application for refund is made, satisfy the following conditions:

- they do not have a head office, a fixed establishment, domicile or usual residence in Portugal from where services are supplied; and
- they have not carried out any taxable transactions within the Portuguese territory other than the following:
 - transport and services ancillary thereto (including commission, packing and insurance) the value of which is added to the value of imported goods as incidental expenses incurred up to the first place of destination of such goods in Portugal or which are related to exports of goods, intra-Community supplies or transactions covered by special warehousing procedures; or
 - supplies of goods and services for which the tax liability is shifted to the resident customer under the reverse charge mechanism.

9.4 VAT refund to EU taxable persons

Portugal does not have an adjustment period for services.

- Immovable property - 19 years following the year of first use;
- Movable property - 4 years following the year of first use.

9.3 Adjustment periods

The Minister of Finance may also authorize the tax authorities to give a refund to taxable persons on conditions other than the ones referred to above (e.g. if the turnover of those taxable persons is mainly obtained from certain transactions, such as exports).

The Portuguese tax authorities may require that, when the amount to be refunded exceeds EUR 30,000, the taxable person presents a bank guarantee or any other appropriate security, which should be maintained for a 6-month period.

- Excess input VAT exceeds EUR 3,000; or
 - excess input VAT exceeds EUR 25, if the taxable person ceases his activity or leaves the normal taxation regime.
- may be claimed under the following circumstances:
- after a 12-month period, if excess input VAT exceeds EUR 250; or
 - before that period if:

9.2 Excess input VAT

- Input VAT is generally deducted in the VAT return of the tax period in which the right of deduction has arisen. Excess input VAT in a given tax period, must be carried forward to the following periods. However, a refund may be claimed under the following circumstances:
 - after a 12-month period, if excess input VAT exceeds EUR 250; or
 - before that period if:
 - Excess input VAT exceeds EUR 3,000; or
 - excess input VAT exceeds EUR 25, if the taxable person ceases his activity or leaves the normal taxation regime.
- Under the Environmental Taxation Reform, approved by Law 82-D/2014 of 31 December 2014, which entered into force on 1 January 2015, taxable persons with the right of deduction are entitled to deduct:
- 100% of the input VAT on the purchase, manufacture or import, hire, utilization, modification and repair of electric or hybrid plug-in vehicles for passenger transport with a purchase cost which does not exceed the amount established by Ministerial Order (EUR 62,500 for full electric vehicles and EUR 50,000 for hybrid plug-in vehicles purchased after 1 January 2015). The VAT on electricity for charging electric vehicles is fully deductible; and
 - 50% of the input VAT purchase, manufacture or import, hire, utilization, transformation and repair of vehicles for passenger transport fuelled by liquefied petroleum/propane gas (LPG) or compressed natural gas (CNG) with a purchase cost which does not exceed the amount established by Ministerial Order (with respect to vehicles purchased after 1 January 2015: EUR 37,500).

The VAT refund request must refer to the previous calendar year as long as the amount refundable is not lower than EUR 50. Nevertheless, a refund application regarding an ongoing year can be filed if it refers to at least 3 consecutive months and the amount refundable exceeds EUR 400.

A refund of an amount relating to a period of less than 3 months is also possible as long as the period ends on 31 December of the previous calendar year and the amount to be refunded exceeds EUR 50. The deadline for filing the application is 30 September of the year following the one in which the tax was due. This application must be made by electronic means.

After the VAT refund request is presented, it is possible to submit a replacement request (which will imply the annulment of the former request), provided the latest application is filed before 30 September of the year following the one in which the tax was due.

The Portuguese tax authority has a 4 month term, counting from the time of receipt of the request, to decide whether to grant the refund (this term can be extended to 6 or 8 months where the Portuguese tax authority requests additional information). If these deadlines are not respected, the refund claim is deemed to be (tacitly) rejected.

During the time of evaluation of the request, the Portuguese tax authority may request certain information from the applicant (or even third parties) which may include the original or copies of the invoices or relevant import documents.

Refunds must be paid within 10 working days counting from the notification of the decision to grant the refund (if this deadline is not met, late payment interest is assessed and paid by the Portuguese tax authority). If the request for refund is denied, the applicant may present a claim, within 120 days after being notified of the decision, to the Refund Services Director or start a legal action at the first instance tax court, within 3 months after being notified of the decision.

9.5 VAT refund to non-EU taxable persons

VAT refund rules have been made available for taxable persons established in third countries under reciprocity arrangements for Portuguese taxable persons (there is no official list of countries that satisfy the reciprocity requirement) and under the requirement to appoint a duly empowered fiscal representative who is a resident of Portugal. The fiscal representative must comply with all VAT procedural formalities and is held jointly and severally liable for any unduly obtained refunds of VAT.

The request for a refund may be presented by paper or electronic means within the same periods and deadlines (which depend on the amount of VAT to be refunded) as mentioned above for applicants from the EU.

Non-EU applicants are required to present (besides the original invoices and any import documents) an official certificate issued by the state where they are established, proving that they are subject to a general tax on turnover in that state and the recognition of a reciprocity treatment for taxable persons established in Portugal (this requirement is waived if there is an agreement between Portugal and the state concerned).

The refund of the tax must be paid by the end of the 6th month following the presentation of the request (the deadline is measured from the date on which all the documents required by the Portuguese tax authority are presented or from the date of the receipt of the application if it is made by electronic means).

If the request for refund is denied, the applicant may present a claim, within 120 days after being notified of the decision, to the Refund Services Director or start a legal action at the first instance tax court, within 3 months after being notified of the decision.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

A VAT invoice must contain the following information:

- a single document code (from 1 January 2022);
- a two-dimensional barcode (QR code) (from 1 January 2022);
- date of issue of the invoice;
- invoice number (sequential);
- name and address of the supplier or service provider;
- VAT identification number under which the supply or services is performed;
- name and address of the customer or recipient;
- VAT identification number of the customer;
- name, address and VAT identification number of the fiscal representative (if applicable);
- the country prefix, in accordance with the ISO-3166 alpha 2 code of the customer in the case of intra-Community supplies (e.g., "PT", "BE", "DE", "ES", "FR", "GB", etc.);
- the quantity and a clear description of the goods or services supplied, including in particular, all characteristics necessary to determine the applicable VAT rate. Packages not included in the transaction should be referred to separately, with an express reference to the fact that it has been agreed that they will be returned;
- date of supply of goods or the period of supply of services as well as the date(s) on which any advance payment falls due if different from the date of invoice;
- place where the supply ends, for (zero rated) intra-Community supplies;
- price (VAT exclusive) and all other elements included in the taxable amount;
- the applied VAT rates;
- the VAT amount;
- where an exemption applies (i.e. no VAT is charged), the reason of the exemption;
- in case of self-billing the following reference is required: "autofaturação" (self-billing);
- in case of transactions following special regimes, the following references are required (as applicable): "Regime da margem de lucro - bens em segunda mão" (margin scheme - second-hand goods), "Regime da margem de lucro - objetos de arte" (margin scheme - works of art), "Regime de colação e antiguidades" (common flat-rate scheme for farmers), and
- where the customer/recipient is liable for the payment of the VAT, the reference "IVA - Autoliquidação" (VAT - self-assessment).

If the customer is a private person, his name, address and tax/VAT identification number is only mandatory if requested by the customer.

10.1.2 Time limits

An invoice must be issued within 5 working days counting from the date on which VAT becomes due. For continuous supplies of services at least once per year an invoice must be issued.

For (zero rated) intra-Community supplies of goods, invoices must be issued within 15 days counting from the month following that in which the goods are made available to the customer/recipient.

For intra-Community B2B services taxable in the territory of another EU Member State, invoices must be issued within 15 days counting from the date in which VAT becomes due.

In relation to payments made before the actual supply of goods or services or to payments made before VAT becomes due, invoices need to be issued on the date of receipt of such payments and for the amount received. This obligation does not apply in relation to the payments made before the actual intra-Community supply of goods takes place. With respect to these supplies, the invoice must be issued within 15 days counting from

the month following the one in which the goods are made available to the customer, for the full amount of the intra-Community supply of goods (regardless of the fact whether an advance payment has been made or not).

10.1.3 Currency

As a general rule, the invoices should be issued in EUR. Despite this, the issuance of invoices in foreign currency is allowed (see paragraph 10.1.4).

10.1.4 Conversion and exchange rate

Where the factors used to determine the taxable amount are expressed in a currency other than EUR, the exchange rate shall be determined in accordance with the indicative tables released by the European Central Bank or in accordance with the selling rates recorded by any bank established in Portugal. As an alternative, the taxable person may also opt to use the exchange rate verified at the time the VAT was due or on the first business day of the respective month.

10.1.5 Self-billing

Under Portuguese VAT legislation, self-billing is allowed provided that: (i) there is a written agreement between the supplier of the goods or services and the customer, (ii) the customer proves that the supplier of the goods or services acknowledged the issue of the invoices and accepted their content and (iii) the invoices contain the following reference: "autofaturação" (self-billing).

If the customer does not have its head office, fixed establishment or domicile within the EU, self-billing is subject to the Portuguese tax authorities' prior authorization. The Portuguese tax authorities may require certain conditions to be met for the purposes of authorizing self-billing.

10.1.6 Simplified invoice

Simplified invoices can be used in relation (i) to supplies of goods made by retailers or peddlers to non-taxable persons, where the amount of the invoice does not exceed EUR 1,000 and (ii) to other supplies of goods and services, where the amount of the invoice does not exceed EUR 100.

Simplified invoices must contain the following information:

- date of issue;
- invoice number (sequential);
- name and address of the supplier or service provider;
- VAT ID number under which the supply or services is performed;
- the quantity and description of the nature of the goods supplied or services rendered;
- the price (VAT exclusive), the applied VAT rates and the VAT amount, or the price (VAT inclusive) and the applied VAT rates; and
- where an exemption applies (i.e. no VAT is charged), the reason of the exemption and if the customer or recipient is a taxable person, the VAT ID number of the customer or recipient; otherwise whenever the recipient so requires it.

10.1.7 Storage of invoices

Invoices and other documents must be stored for 10 years.

Invoices should, in principle, be stored in the original form, i.e. received paper invoices must be stored in paper form and electronically received invoices must be stored in electronic form. However, if the taxable person wishes to keep a digital archive, it is possible to digitalize and electronically store invoices which have been issued and received in paper form as long as certain requirements are met.

10.1.8 Electronic invoicing

Taxable persons may choose any form for the electronic invoicing as long as the authenticity of origin, integrity of content and readability are guaranteed through business controls which create reliable audit trails between the invoices and the supplies of goods or services. A customer is allowed to refuse an electronic invoice.

Electronic invoicing is mandatory in the context of public tenders and public contracts.

10.1.9 Real-time reporting

Both resident and non-resident companies with a local VAT registration are required to communicate invoices and other relevant tax documents to the Portuguese Tax and Customs Authority, regardless of their value. The communication process can be accomplished in one of the following three ways:

- Electronic transmission of data using a standard structured file based on the Standard Audit File for Tax (SAF-T file): Companies can export the SAF-T file and upload it to the Portuguese Tax and Customs Authority's website;
- Transmission in real time through the webservice channel;
- Direct insertion of the data on the Portuguese Tax and Customs Authority's website. This option is available for micro-sized businesses.

It is important to note that failure to comply with this obligation can result in. As such, it is crucial for companies with a local VAT registration to ensure that they are reporting their invoices and other tax-relevant documents using one of the three methods provided by the Portuguese Tax and Customs Authority. Given the practical complexity of transmitting in real time through the webservice channel and directly inserting invoice data into the Portuguese Tax and Customs Authority's website, and considering that most certified invoicing software includes the capacity.

In Portugal, businesses must submit the SAF-T file on a monthly basis (regardless of VAT return deadlines) for all months in which invoices and other tax-relevant documents have been issued. Irrespective of market segments (B2C, B2B, or B2G) or geographical origin and destination (domestic, intra-EU, or extra-EU transactions), the Portuguese SAF-T system covers all transactions carried out by taxable persons.

Portugal was the first country to implement the OECD's SAF-T file, in 2009. Initially only submitted upon the Portuguese Tax and Customs Authority's request linked to a tax audit, the obligation to send the SAF-T file on a periodic basis was introduced in 2013. Since then, several adjustments to the data structure of the SAF-T file have been made, with the latest amendment introduced by Ordinance no. 302/2016 of 2 December 2016. Starting in 2025, companies will also be required to submit an annual SAF-T file on accounting data which will then be used for the pre-filing of the IBS (Simplified Business Information) return.

In addition to the obligation to submit transactional information digitally to the Portuguese Tax and Customs Authority, and in line with the European Union's efforts to harmonize e-invoicing adoption in public procurement, Portugal has enforced mandatory e-invoicing in the B2G context beginning in 2021. The Public Administration Shared Services Entity (Entidade de Serviços Partilhados da Administração Pública) is responsible for the implementation and management of B2G e-invoicing in Portugal. Currently, outside the B2G context, e-invoicing is merely optional and dependent on the acceptance of the recipient, and there is still no forecast for the transition to mandatory B2B and B2C e-invoicing.

10.2 VAT Compliance

10.2.1 VAT return period

VAT returns must be submitted:

- on a monthly basis, if the annual turnover in the preceding calendar year was equal to or exceeded EUR 650,000; and
- on a quarterly basis, if the annual turnover in the preceding calendar year was lower than EUR 650,000.

However, taxable persons whose annual turnover in the preceding calendar year did not exceed EUR 650,000, may opt to submit VAT returns on a monthly basis (this option is applicable for a minimum of a 3-year period).

There are no differences for foreign and local businesses regarding the period for VAT returns. Electronic filing is mandatory.

- for legal persons – EUR 600 (except in case of reduction) and EUR 7,500 (in case of negligence) or EUR 15,000 (in case of deliberate infringement); and
- If a late registration occurs, the Portuguese tax authorities can issue a penalty that may vary between:

10.3.1 Default penalties for late registration

10.3 Penalties

As a rule, the VAT assessment period in Portugal is 4 years counted from the beginning of the calendar year following that in which VAT became chargeable. This means that in the year 2025, the last open year for assessment is the year 2021.

10.2.5 Tax assessment period

An explanatory note to the Annual Statement “Declaração Anual” may be found on the site of the Portuguese tax authorities, through the following link: IES - Declaração anual (portaldaefinancas.gov.pt).

Electronic filing is mandatory.

This annual statement must be filed electronically before 15 July of the following year (or until the 15th of the seventh month after the authorized year end if the taxable person's tax year is not the calendar year). The annual lists of suppliers or customers (which are submitted if the total amount of internal transactions with each of them in the preceding year exceeded EUR 25,000) are included in this annual and accounting tax return.

Persons who are subject to Personal Income Tax or Corporate Income Tax who must keep their accounts organized must file a yearly statement with the relevant tax and accountancy information (“Declaração Anual/ IES”).

10.2.4 National recapitulative statement

Electronic filing is mandatory.

- Resident taxable persons making intra-Community supplies of goods or services must file a recapitulative statement containing the VAT identification numbers of their customers, the total value of the goods or services supplied to them in the reporting period and any triangular transactions. The recapitulative statements must be filed electronically:
- by the 20th day of the first month following the transactions in the case of taxable persons with monthly accounting periods or in the case of taxable persons with quarterly periods when the total amount of the relevant operations in that quarter or in any of the 4 preceding quarters exceeds EUR 50,000; or
- by the 20th day of the first month following the quarter, where the transactions were carried out by taxable persons with quarterly periods when the limit referred to above is not exceeded.

10.2.3 European sales listing

An explanatory note to the VAT return “Declaração Periódicca de IVA” may be found on the site of the Portuguese tax authorities, through the following link: Declaração periódica de IVA (portaldaefinancas.gov.pt).

Taxable persons must ensure that the VAT due is paid (i) for monthly VAT returns, before the 25th day of the second month following the tax period (month) the transactions refer to, except for the VAT due for the period of June, which must be paid until 25 September; and (ii) for quarterly VAT returns, before the 25th day of the second month following the tax period (quarter) the transactions refer to, except for the VAT due for the second quarter, which must be paid before 25 September.

Quarterly VAT returns must be submitted before the 20th day of the second month following the tax period (quarter) to which the transactions refer to, except for the VAT return for the second quarter, which is due by 20 September.

Monthly VAT returns must be submitted before the 20th day of the second month following the tax period (month) to which the transactions refer to, except for the VAT return for June, which is due by 20 September.

10.2.2 Filing of VAT return and payment

- VAT ID number of the entity responsible for the information reported;
 - reference period (i.e. the reporting year and month);
 - nature of the movement of the goods (i.e. arrival or dispatch);
- The information which needs to be reported is the following:

10.4.2 Intrastat data to be reported

The Intrastat threshold for dispatches is EUR 600,000 (if based on the mainland or the Azores). The threshold is EUR 50,000 if based on Madeira.

The Intrastat threshold for arrivals is EUR 650,000 (if based on the mainland or the Azores). The threshold is EUR 50,000 if based on Madeira.

10.4.1 Intrastat threshold

In Portugal, separate Intrastat returns need to be submitted to the National Statistical Institute (Instituto Nacional de Estatística or INE).

10.4 Intrastat

The Portuguese tax authorities may also decide to prosecute for a criminal offence, whenever the transgressive behaviour falls within one of the crimes established by law.

As referred to above, generally whenever there is a deliberate infringement, the penalty framework applied to the transgressors is doubled.

10.3.5 Offence penalties

If the VAT is paid on the basis of a voluntarily disclosure, the taxable person may benefit from a scale of reductions from 12.5% (provided that (i) payment of the reduced penalty is requested within 30 days counting from the infringement and (ii) a tax audit has not been launched) up to 75% (provided that (i) payment of the reduced penalty due is requested before the end of the tax audit and (ii) the infringement is merely negligent) of the minimum legal penalty. Under certain circumstances, a waiver of penalties may also be granted.

A 4% (yearly rate, counted on a daily basis on the VAT amount that has not been assessed) compensatory interest is due for the late assessment of VAT. The maximum accrual period for compensatory interest is 180 days.

mentioned.

If the VAT is not paid up to the correct amount, the VAT authorities can also issue penalties, as already

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

As of 1 January 2025, a 8.309% (yearly rate counted on a daily basis on the VAT amount that has not been paid) late payment interest is also payable until the date of payment of the tax debt.

Infringement; or EUR 45,000 for legal persons and EUR 22,500 for natural persons, in case of negligence.

- maximum – EUR 165,000 for legal persons and EUR 82,500 for natural persons, in case of deliberate infringement; and
 - minimum – EUR 50 (or EUR 25, in case of reduction of the penalty); and
- due (for legal persons) or of 15 to 50% (for natural persons), in case of negligence, being:
- If the VAT is not paid on time, the Portuguese tax authorities can issue a penalty of 30 to 100% of the VAT

10.3.3 Default penalties for not paying VAT on time to the tax authorities

- EUR 3,750 (in case of deliberate infringement).
 - for natural persons – EUR 150 (except in case of reduction) and EUR 1,875 (in case of negligence) or 7,500 (in case of deliberate infringement); and
 - for legal persons – EUR 300 (except in case of reduction) and EUR 3,750 (in case of negligence) or EUR 7,500 (in case of deliberate infringement); and
- If VAT returns and European sales listing are not filed on time, the penalty may vary between:

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

- for natural persons – EUR 300 (except in case of reduction) and EUR 3,750 (in case of negligence) or EUR 7,500 (in case of deliberate infringement).

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Information received from:

Portugal has not implemented any additional compliance requirements.

10.5 Additional compliance requirements

An explanatory note to the Intrastat return may be found on the site of the Instituto Nacional de Estatística, through the following link: <https://tinyurl.com/yc2xh9fz>

- VAT ID number of the customer;
- VAT ID number of a third party reporting the information;
- code of the country of dispatch or destination;
- code of the country of origin;
- code of the region of destination or origin;
- code of the delivery conditions;
- code of the nature of the transaction;
- code of the means of transport;
- code of the port or airport of loading or unloading;
- HS Code (8-digit harmonised commodity code according to the Combined Nomenclature (CN));
- net weight in kilograms;
- exact supplementary units according to the HS code;
- invoice value of the goods;
- statistical value; and
- place, date, legible name and signature of the responsible for the information reported or of the third party reporting the information.